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About the Title and Cover



Kasabay sa Patuloy na Pagsulong Continuing the Journey towards Progress, Together

Shell Pilipinas Corporation (“Shell Pilipinas”, “SPC”, or “the Company”) is committed to delivering more sustainable and cleaner energy solutions, purposefully and profitably, to support the nation’s growing economy. SPC plays a key role in transportation, aviation, energy, infrastructure, and manufacturing by providing innovative products and services, including low-carbon options, to help these sectors thrive while meaningfully contributing to the global energy transition.

The title of Shell Pilipinas’ 2024 Annual and Sustainability Report, “110 Years: Kasabay sa Patuloy na Pagsulong” (“Continuing the Journey towards Progress, Together”), marks a significant milestone in the Company’s journey—celebrating 110 years of progress and collaboration with the Filipino people. The phrase “Kasabay sa Patuloy na Pagsulong” emphasises the importance of unity and partnership, acknowledging the shared effort between Shell Pilipinas, its employees, partners, customers, and communities in advancing toward a sustainable future. This theme underscores the Company’s commitment to growth, innovation, and responsible energy solutions, ensuring that the journey toward a cleaner and more sustainable world is one we take together.

The cover art honours Shell Pilipinas’ 110-year legacy while looking ahead, symbolising the enduring partnership between Shell and the Filipino people.

Introduction from the Chairman

2-22

Min Yih Tan

Chairman of the Board



Welcome to the Ninth Annual Report of Shell Pilipinas Corporation.

As we commemorate 110 years of progress in 2024, Shell Pilipinas honours its enduring legacy of energy leadership. Our journey is defined by agility, determination and a steadfast commitment to addressing today's needs while preparing for the future in a dynamic energy landscape.

Introduction from the Chairman



Enhancing Resilience

Shell Pilipinas continues to grow earnings and maintain rigorous capital discipline that underpins long-term value, even amid macroeconomic challenges. With a focus on performance, discipline and simplification, we are steadily enhancing our ability to deliver consistent results and unlock our full potential.

Strategic investments in operational excellence, supply security and customer-centric solutions have strengthened our business. We have maintained high premium fuel leadership with Shell V-Power and achieved robust lubricants growth with Shell Helix and Shell Advance. Moreover, our expanded non-fuel offerings – including Shell Café, auto workshops, and digital marketing initiatives in our lubricants and mobility segments – have elevated customer experiences and driven growth. The inauguration of our fourth import terminal in



South Mindanao in 2025 will further secure our supply and meet rising demand.

Sustainable Innovation

Innovation is the cornerstone of our balanced growth. Since 2016, Shell Pilipinas has reduced Scope 1 and Scope 2 carbon emissions by over 90% and introduced sustainable, lower-carbon solutions such as Shell Bitumen FreshAir, Carbon Neutral Lubricants and Shell Recharge stations. These early-stage initiatives underscore our commitment to being a responsible energy provider.

Through the Pilipinas Shell Foundation Inc., we actively advance national development by promoting the UN Sustainable Development Goals. Our initiatives in education, livelihood, health, food security, environmental stewardship, and energy access are making a lasting impact on the communities we serve.

Driven by a relentless pursuit of excellence, we are transforming our downstream business to deliver more value with less emissions while focusing on areas of competitive strength.



Winning Team

With an emphasis on safety, people and sustainability, we achieved employee engagement and diversity & inclusion scores of 81% and 86% respectively in our latest Shell People Survey, placing us in the top quartile. Our commitment is further recognised by our second consecutive Diversity Company Circle of Excellence award at the CEO Asia Awards, reaffirming Shell Pilipinas as an employer of choice. Our success is built on a robust performance culture and a unified team working toward a common vision.

Powering Progress

Driven by a relentless pursuit of excellence, we are transforming our downstream business to deliver more value with less emissions while focusing on areas of competitive strength. Shell Pilipinas is dedicated to creating lasting value as the preferred energy partner and the most customer-focused energy marketer. Together, we will forge ahead to shape a better future in the Philippines.

A handwritten signature in blue ink, appearing to read 'Min Yih Tan'.

Min Yih Tan

Chairman of the Board

About the Report

2-2, 2-3



The 2024 Annual and Sustainability Report (ASR) of Shell Pilipinas is titled *110 Years: Kasabay sa Patuloy na Pagsulong (Continuing the Journey towards Progress, Together)*. It is the ninth ASR, and it covers the environmental, social, safety, governance, and financial performance of Shell Pilipinas in 2024.

This report has been prepared in accordance with the GRI Standards, following the industry sector-specific GRI 11: Oil and Gas Sector 2021. The report also complies with the Sustainability Reporting Guidelines for Publicly Listed Companies of the Philippine Securities and Exchange Commission (SEC) as well as the guidelines of the Task Force on Climate-related Financial Disclosures (TCFD), and Sustainability Accounting Standards Board (SASB).

Reporting Framework

Philippine SEC Sustainability Reporting Guidelines, GRI Standards, TCFD, and SASB

Reporting Period

January 1 to December 31, 2024

Reporting Cycle

Annual

Reporting Scope

Shell Pilipinas Corporation

Contact

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How Do We Report?

3-3

1

Consultations and Alignment

Business unit heads identified key stakeholder concerns, business achievements, and performance indicators during the reporting period.

2

Stakeholder Review and Materiality Assessment

The feedback and concerns from stakeholders, industry trends, and the Company's sustainability goals informed the identification of key material topics.

3

Data Gathering and Review

Business unit heads answered data templates based on sustainability reporting frameworks and were also invited for one-on-one interviews to contextualise their performance data.

4

Writing and Evaluation

The report underwent several levels of review and approvals from the business representatives, business unit heads, and function heads.

5

Final Review

The report was designed, relevant photos and graphics were added, and the report was then sent to the Corporate Disclosure Committee for review and final approval.

6

Publication and Dissemination

The printed and digital copies of the 2024 ASR are distributed to shareholders and other stakeholders, especially during the Annual Stakeholders' Meeting and other engagements. It is also made publicly available on Shell Pilipinas' website.

With this reporting process, Shell Pilipinas ensures the completeness, accuracy, balance, clarity, comparability, reliability, and timeliness of this report's content. Involving internal and external stakeholders in this process also ensures that the materiality of the topics reflects the current concerns and aspirations of Shell Pilipinas as it Powers Progress for more Filipinos.



Shell Pilipinas at a Glance

2-1

Shell Pilipinas Corporation represents the downstream operations of Shell companies in the Philippines (SciP) engaged in oil importation, distribution, marketing, energy trading, and other services.

Shell Pilipinas operates an integrated supply chain and mobility network composed of 24 fuel terminals and supply points, 10 lubricant warehouses, two bitumen facilities, and three import facilities. The Company supports a network of more than 1,100 service stations in addition to industrial and commercial customers.

The Company imports and markets a range of petroleum products, such as gasoline, diesel, jet fuel, fuel oil, lubricants, and bitumen. In addition, it provides non-fuel retail products and services through Shell Select convenience stores, Shell deli2go outlets, Shell Cafés, and vehicle service centres nationwide.

SciP is part of Shell plc, a global group of energy and petrochemical companies operating in over 70 countries.

Find out more about Shell Pilipinas at www.pilipinas.shell.com.ph.

History and Ownership

3-3, 2-1

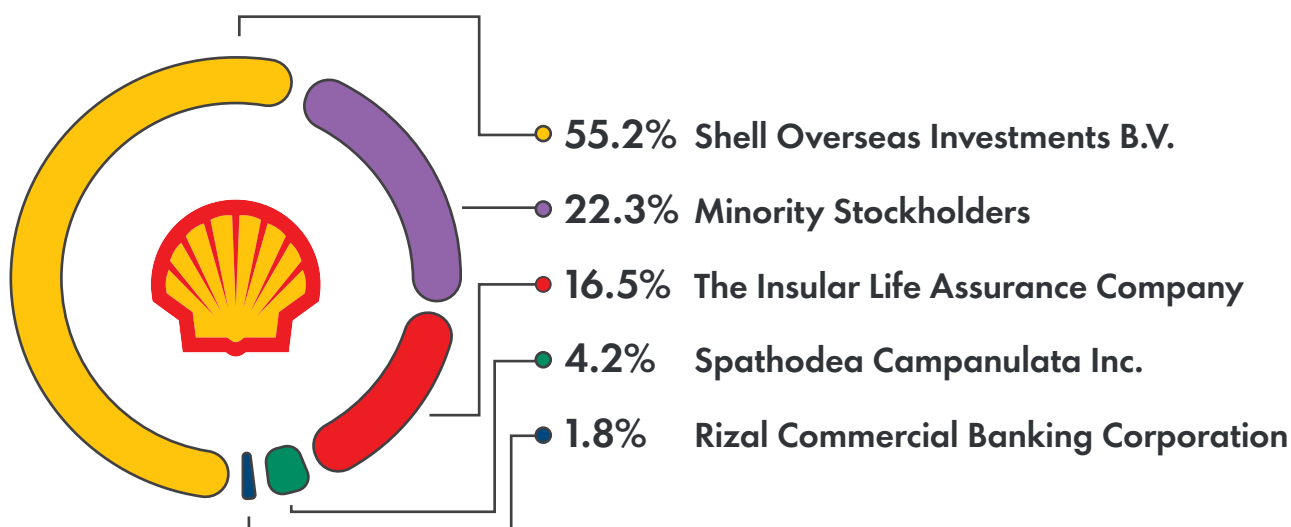
Shell Pilipinas traces its roots back to Asiatic Petroleum Company (Philippine Islands) Ltd., an importer and retailer of motor gasoline and kerosene. The organisation underwent several structural and name changes, becoming Pilipinas Shell Petroleum Corporation in 1973. The Company's corporate name was changed to Shell Pilipinas Corporation (SPC) in 2023 to reflect its adaptive business strategy and progressive sustainability priorities, as the Company aims to deliver services beyond petroleum.

The Tabangao Refinery began its commercial operations in 1962, with an initial nameplate capacity of 30,000 barrels per day (bpd). Modernisation and expansion activities between 1993 and 1995 further increased the oil refinery's nameplate capacity to 110,000 bpd. It was one of only two oil refineries in the Philippines.

In 2020, the Company permanently ceased its refining operations and shifted into a full-import supply chain model. The Company transformed its Tabangao Refinery into a 100% import terminal aptly called Shell Import Facility-Tabangao, or SHIFT. The new supply strategy is supported with two other import terminals—one in northern Luzon and one in northern Mindanao. A fourth import terminal in southern Mindanao will be opened in 2025.

Today, Shell Pilipinas continues to be one of the most recognisable, trusted, and preferred brands in the country, serving thousands of motorists every day through its network of over 1,100 service stations nationwide.

Shell Pilipinas Shareholdings Structure



110

TAON

Since 1914

Kasabay sa Patuloy na Pagsulong Continuing the Journey towards Progress, Together

2-1

Shell's presence in the Philippines for 110 years has been marked by continuous growth, innovation, and commitment to national progress.

1914 to
1954



1955 to
1994



1914–1934

A New Era of Partnership

Shell Pilipinas established facilities and distribution points, including a facility in Pandacan, Manila, which became a major oil depot, ushering a new era of connectedness, productivity, and mobility.

1935–1954

Fuelling Resilience

Shell further expanded throughout World War II, thereby fuelling the nation's resilience, demonstrating its steadfast commitment even in the face of adversity.

1955–1974

Incorporation and Expansion of Shell in the Philippines

In 1959, the Company was incorporated as The Shell Refining Company (Philippines), Inc., marking its formal establishment in the country. Following this, Shell expanded its presence, establishing the Tabangao Refinery in Batangas City in 1962.

1975–1994

Strengthening Leadership and Social Responsibility

In 1975, Cesar A. Buenaventura became the first Filipino Executive President of SPC and the following year, Shell became the first multinational oil firm in the country. By 1982, Pilipinas Shell Foundation, Inc. was formed as a social responsibility arm of the company.

By 1990s, the Company started modernising its operations, introducing various product offerings including Formula Shell and Helix motor oil. Consequently, Shell Select was introduced as the Company's petroleum convenience store.



**1995 to
2014**



**2015 to
present**



1995–2014

A Century of Innovation in the Philippines

Shell embraced its role of enabling mobility and enriching everyday journeys by providing innovative and convenient products and services, including Shell Velocity, the country's first differentiated fuel.

At the turn of the millennium, new projects and facilities were inaugurated including the Shell Helix Service Centre, Malampaya Deep Water Gas-to-Power Project, and Shell Business Operations Manila, and North Mindanao Import Facility (NMIF). By 2014, Shell celebrated a century in the Philippines, showcasing a legacy of presence and contributions.

2015–Present

Advancing Sustainability and Energy Transition

Shell advanced its energy transition with innovations like Shell Energy, Site of the Future, and Shell Recharge. Key milestones included the Company's listing on the Philippine Stock Exchange (2016), Subic Import Facility (2020), Tabangao Import Facility (2021), and the first renewable-powered Shell Recharge station (2022). In 2023, Shell Pilipinas Corporation rebranded and expanded Shell Café. In addition, Pilipinas Shell Petroleum Corporation's name changed to Shell Pilipinas Corporation, reflecting its shift toward sustainable energy. By 2024, SPC completed a 700 km EV loop, launched 11 mall-based EV chargers, and achieved 5,400 metric tons of Carbon Credits.

Shell Companies in the Philippines

3-3, 2-1



Shell Pilipinas
Corporation



Shell Energy
Philippines



Shell Business
Operations Manila



Pilipinas Shell
Foundation, Inc.

Our Mission

To power progress together with the Filipino by providing more and cleaner energy solutions.

Our Vision

A world-class investment

We aim to maximise cash generation while maintaining competitive returns built upon a strong financial framework and capital discipline.

Shared value with society

We aim to be a welcomed neighbour who manages the social impact of our activities and shares wider benefits to society. We aim to deliver energy responsibly and safely, while looking after the welfare of our employees, business partners, customers, local communities, and the environment.

Trusted partner in nation-building

We aim to be a reliable partner in nation-building by fulfilling the country's requirement for sustainable energy products and services.

Our Values

At Shell, we share a set of core values—honesty, integrity, and respect for people—which underpin all the work we do. The Shell General Business Principles, Code of Conduct, and Ethics and Compliance Manual help everyone at Shell act in line with these values and comply with relevant laws and regulations.

Honesty

Staff and Business Partners are encouraged to speak up and celebrate those who do the right thing.

Integrity

By committing to our policies and rules, we empower our staff and business partners to make the right decisions.

Respect for People

Our people are given the opportunity to progress irrespective of sex, gender, ethnicity, or other differences.

Our Business Principles

- Economic Competition
- Business Integrity
- Political Activities
- Health, Safety, Security, and the Environment (HSSE)
- Local Communities
- Communication and Engagement
- Compliance

Please visit [Shell Pilipinas About Us](#) for more information on our history and values, and how we apply the Shell General Business Principles and Code of Conduct.

Our Business

Shell Pilipinas provides innovative energy solutions to industrial and retail customers.

Our Business Strategy

- 1 Regain strong earnings, cash & dividend-paying positions
- 2 Continue to be a major player in the energy industry
- 3 Elevate industry standards on governance & advancing the energy transit

Please visit our latest [Business Strategy and Investors Briefings](#) for more information.

Our Value Chain

2-6



CLASS OF BUSINESS



Supply and
Distribution



Commercial
Business



Mobility

STAKEHOLDERS



Customers



Business
Partners



Employees



Community

Our Classes of Business

2-6



Mobility

Shell Pilipinas maintains a strong nationwide mobility network that offers high-quality fuels designed for optimal vehicle performance, efficiency, and emissions technology. Recognising that our customers' needs go beyond fuel, our non-fuel retailing business operates convenience stores and vehicle service centres that cater to motorists' needs for food and non-food products and maintenance services such as oil change and repair.



Commercial Business

Our business includes wholesale commercial fuels, aviation fuel, lubricants, and bitumen. Beyond product differentiation and competitive customer value propositions, Shell Pilipinas also provides end-to-end technical services for our customers.



Supply and Distribution

Shell Pilipinas operates an integrated supply chain network that encompasses procurement, import, storage, and distribution of finished petroleum products through different modes of transport, such as vessels and trucks. Our nationwide network includes strategically located fuel storage terminal/s and supply points, warehouses, and import facilities. Through this integrated network, Shell Pilipinas ensures the safe, timely, and reliable delivery of our products to our customers.

Sustainability at Shell Pilipinas

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- 17 [The Powering Progress Strategy](#)
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Our Approach to Sustainability

2-22



Shell Pilipinas incorporates its sustainability goals into the Powering Progress strategy, which focuses on delivering more value with less emissions. This strategy integrates economic, environmental, and social factors into the Company's business operations and decision-making processes. Powering Progress outlines Shell's commitment to transitioning to a net-zero emissions business, guided by our core values of honesty, integrity, respect for people, and a strong emphasis on safety.

The Powering Progress Strategy

In 2024, we delivered our strategy against the four themes of generating shareholder value, achieving net-zero emissions, respecting nature, and powering lives.

Like all businesses, we will continue to adapt how we implement our strategy as the world evolves. This adaptability is crucial for navigating the dynamic energy landscape, enabling long-term success. We will continue to deliver more value with less emissions.



Achieving Net-Zero Emissions

Working with our customers and sectors to accelerate the energy transition to net-zero emissions.



Powering Lives

Powering lives through our products and activities, supporting an inclusive society, and contributing to local communities.



Respecting Nature

Protecting the environment, reducing waste, and making a positive contribution to biodiversity.



Generating Shareholder Value

Growing value through a dynamic portfolio and disciplined capital allocation.

Support for International Agreements

2-22, 2-28, 3-3

Shell Pilipinas respects and upholds human rights, in line with the UN Universal Declaration of Human Rights and the International Labour Organisation Declaration on Fundamental Principles and Rights at Work. As a founding member of the UN Global Compact Network in the Philippines, the Company adheres to voluntary codes that promote responsible business practices.

The Company continuously supports governments and societies in advancing the Sustainable Development Goals (SDGs) and the UN Paris Agreement on climate change, to which the Philippine government is also a signatory.

Shell Pilipinas and the UN Sustainable Development Goals

In 2015, all United Nations Member States adopted the 2030 Agenda for Sustainable Development, launching 17 SDGs to bring peace and prosperity to people and the planet, now and in the future. The goals address the world's most urgent challenges, such as ending poverty, improving health and education, making cities sustainable, and addressing climate change.

The Powering Progress strategy was developed with these goals in mind. Shell believes that this strategy directly contributes to 13 of the SDGs, while also indirectly supporting others. The Company's commitment to upholding Human Rights, and its goal to be a net-zero energy business by 2050 further advance the progress of the SDGs.

Our Focus	Our Enablers 3-1, 3-2	Our Impact (SDGs)
Achieving Net-Zero Emissions	- Product & Service Offerings - Development and Innovation - Evolving Customer Demands - Digital Transformation - Energy Transition	  
Powering Lives	- Local Community Development - Employee Management - Social Impact of Operations on Host Communities, Business Partners, and Local Government - Social Investment - Customer Service - Promotion of Sustainable Development	   
Respecting Nature	Environmental Compliance and Impact Including Biodiversity	   
Generating Shareholder Value	- Corporate Governance - Transparent, Accurate, and Responsible Reporting - Economic Performance - Supply Chain Management - Asset Integrity and Process Safety - Brand Management	  

Additionally, Shell Pilipinas indirectly contributes to SDGs 1, 2, 3, 4, 7, 11, and 13 through the various programmes of Pilipinas Shell Foundation, Inc. (PSFI).

Review of Stakeholder Concerns

2-26, 2-29, 3-3, 207-3, EM-EP-210a.0

Shell Pilipinas prioritises stakeholder engagement to gain valuable insights into the needs and concerns of our diverse stakeholders. For this reporting cycle, various business units provided feedback, which was evaluated and then presented to the Sustainability Reporting Committee.

The Vice President for Finance, the Vice President for Corporate Relations, and the Managing Counsel and Chief Compliance Officer make up the committee that oversees



the materiality assessment process. They identify key topics through stakeholder consultations, global energy trends, Shell plc's strategic goals, and Shell Pilipinas' sustainability performance.

Stakeholder Group	Our Responsibilities	Stakeholder Concerns	Engagement Channels	Company Response
Customers	Develop and provide products and services that meet customers' needs in terms of quality and price, and comply with local and international standards.	- Financial growth and resilience - Tight cash flow - Delayed payments to vendors - Safety in mobility stations - Supply reliability	- Customer feedback mechanisms (i.e., Voice of the Customer survey, other consumer surveys, tenders, visits, research data) 24/7 customer service call centre	- Engagement and training support - Flexibility and leniency in payment collections - Digital payment channels - Regular safety audit and Philippine National Police partnership
Business Partners	Develop mutually beneficial partnerships. We work with companies that share our values and promote the application and adoption of the Shell Pilipinas General Business Principles, or their equivalent.	Road safety	- Supplier quality assessment and feedback - Business reviews - Day-to-day operation logs	- Road safety programmes - Provision of HSSE-related programmes (i.e., social impact management and defensive driving courses)

Review of Stakeholder Concerns

Stakeholder Group	Our Responsibilities	Stakeholder Concerns	Engagement Channels	Company Response
Employees	To be the employer of choice by providing safe and good working conditions, competitive employment terms, and respect and uphold our employees' human rights.	■ Job security, financial wellness, mental health, and physical safety ■ Overall productivity and welfare of the entire workforce ■ Awareness of professional and career development opportunities in Shell Pilipinas	■ Annual Shell People Survey ■ Voice of Territory Managers ■ Voice of District Managers ■ Voice of Retail Service Champions ■ Quarterly town hall meetings ■ Safety Day activities ■ Engagements with Country Chair	■ Compliance with the Worker Welfare Guide ■ Roll-out of various fit-for-purpose Care Plans ■ Flexible working arrangements ■ Ergonomic support for home office setup ■ Provision of financial support and emergency loans
Society	To invest in local community development projects and foster collaboration to ensure health, safety, security, and environmental protection in areas of operation.	■ Employment opportunities for local communities ■ Health and environmental concerns ■ Disaster resilience and emergency response (i.e., typhoon response) ■ Food security ■ Lack of regular income ■ Road safety	■ Community feedback register and mechanisms socio-economic profiling and perception community dialogue and town hall meetings (Ugnayan sa Barangay) ■ Community bulletins ■ Community programmes ■ Regular dialogue and communication with the local and national governments and the media	■ Entrepreneurship, agriculture, and livelihood (Shell LiveWIRE) development programmes ■ Sanayan sa Kakayahang Industriyal (SKIL) and Job Referral System (Job Link) ■ Health and safety programmes (MAM, PROTECTS, BiyaHERO) ■ Scholarships and youth-related programmes ■ Disaster response and assistance (Project SHELTER, Master of Disaster Programme, Children and the Community Disaster Awareness and Preparedness Programme) ■ Road Safety Programmes (BiyaHERO) ■ Science Technology Education Programme (STEP) ■ Science, Technology, Engineering, and Mathematics (STEM) education opportunities (NXplorers) ■ Access to Energy Programme (SINAG) ■ Environmental awareness and conservation initiatives (Turismo at Negosyo Dulot ng Ingat Kalikasan)

Stakeholder Group	Our Responsibilities	Stakeholder Concerns	Engagement Channels	Company Response
Government/ Regulatory Bodies	To partner in nation-building through strict adherence to applicable local laws and international standards.	■ Compliance with health and safety guidelines ■ Ensure we give proper attention to health, safety, security, and the environment ■ Timely and accurate payment of taxes	■ Email, F2F meetings, and virtual engagements	■ Compliance with all applicable laws and regulations ■ Dialogue and communication when there are changes in the requirements of the regulatory body ■ Participation in government-led conferences and inter-agency meetings
Shareholders	To protect the interests of our shareholders and ensure healthy and long-term competitive returns.	■ Business continuity ■ Sustainability ■ Company innovations and growth opportunities ■ Dividend payment	■ Investors' conferences ■ Quarterly analysts' and investors' briefings ■ Annual Shareholders' Meetings ■ One-on-one meetings	■ Midpoint Strategy cascade to achieve 2025 targets through Strategy Day ■ Sustainability-related programmes and projects ■ Effective Business Continuity Plan (BCP) and Enterprise Resource Planning (ERP)

Our Value Creation Model

Shell Pilipinas takes a strategic approach to value creation, ensuring that our business drives positive and measurable impact that creates lasting value for all stakeholders. Our Value Creation Model outlines how key inputs, such as financial, natural, and human resources, are transformed through our operations into strong business performance, operational efficiency, sustainability initiatives, and social impact aligned with the UN-SDGs.

Input

Financial

- Php 2.1 Bn CAPEX
- Php 900 Mn OPEX savings

Intellectual

- Expanded Shell Advantage Rewards (SHARE) App

Manufactured

- Approximately 60 branches operated, including new outlets and shop of Shell Cafe

Human

- 509 employees
- 61% male and 39% female employees
- 5,520 total hours of training per employee
- 6% turnover rate

Natural

- 128,819.7 GJ energy used
- 36,075.7 GJ renewable electricity imported
- 3,912.3 GJ fuel consumption
- Upcycling 3,000 kilograms of plastic waste into 110 bicycle racks

Social and Relationship

- Over 100 families participated in SPC's Sustainability Week, Likasayahan Family Day
- 92 contractor staff attended Eye Camp Programme
- 13 PSFI Community Programmes
- Php 158.3 Mn community investments

Business Model

Our Mission

To power progress together with the Filipino by providing more and cleaner energy solutions.

Our Vision

A world-class investment

We aim to maximise cash generation while maintaining competitive results built upon a strong financial framework and capital discipline.

Shared value with society

We aim to be a welcomed neighbour who manages the social impact of our activities and shares wider benefits to society. We aim to deliver energy responsibly and safely, while looking after the welfare of our employees, business partners, customers, local communities, and the environment.

Trusted partner in nation-building

We aim to be a reliable partner in nation-building by fulfilling the country's requirement for sustainable energy products and services.

Classes of Business



Mobility



Commercial Business



Supply and Distribution

Output

SDG Impacts

Generating
Shareholder Value

- Php 1.3 Bn net income, marking a 6% increase
- Php 243.9 Bn value generated
- Php 2.6 Bn core earnings
- SHARE App Signup Bonus achieved 18% of target volume scans

Achieving
Net-Zero
Emissions

- Launched 11 mall-based EV charging points
- 940 tonnes equivalent (CO₂e) Carbon Reduction Offset
- 5,400 metric tons of Carbon Credits
- 605.7 tCO₂e gross direct and 1,653.8 tCO₂e gross indirect for Terminal Operations
- 23,102.0 tCO₂e gross indirect for Mobility Operations

Respecting
Nature

- 1,079.6 ML water withdrawn
- 14.6% water withdrawn decreased (2024 vs. 2023)
- 382.9 tonnes hazardous and 921.3 tonnes non-hazardous waste generated and disposed
- 55 bike racks will be installed by 2024

Powering
Lives

- 11 new hires
- 889,084 total exposure man-hours for employees
- 509 employees participated in trainings
- 96.7% successfully received prescription eyeglasses
- 738 scholars who participated workshops and trainings
- 1,526 volunteers in community programme activities



Shell Celebrates Sustainability Week 2024

Shell Pilipinas marked its third annual Sustainability Week with the theme *Likas-Kaya: Sulong sa Kinabukasan at Kalikasan* (Moving Forward for the Future and Nature). In 2024, the celebration expanded its reach beyond employees, which actively involves partner contractors, retailers, and community members to foster collective progress and collaboration. Since its inception, Sustainability Week has shown remarkable growth, engaging 10 partners in 2022 and expanding to 20 partners in 2024, including The Finance Centre, Shell Business Operations, SHIFT, and Levi Mariano 2 mobility station.

As part of SPC's Sustainability Week, *Likasayahan Family Day* brought together over 100 families for a fun and educational celebration of sustainability. The event extended Shell's commitment to sustainable practices beyond the workplace, fostering awareness and action among employees and their loved ones.



The day's activities revolved around three key themes: the Disaster Resiliency segment, held in partnership with ASSIST, featured Master of Disaster, an engaging board game designed to teach families about disaster preparedness and emergency response. A Robotic Learning Session introduced children to digitalization and STEM (Science, Technology, Engineering, and Mathematics), inspiring the next generation to explore technological advancements. Finally, the Paper Circularity activity partnered with Klaypel to offer kids a creative, hands-on experience making paper-mâché art, promoting the importance of reusing materials and embracing sustainable practices.

Awards and Recognitions



Asia-Pacific Stevie® Awards

Grand Stevie® Award ■ Winner of Award for Innovation in Community Relations

Gold Stevie® Award ■ Winner of Award for Innovation in Community Relations
■ Winner of Award for Innovation in Customer Service

Bronze Stevie® Award ■ Winner of Award for Innovation in Sustainability – Saving Energy
■ Winner of Award for Innovation in Sustainability – Sustainable Business Models
■ Winner of Award for Innovation in Diversity and Inclusion

Stevie Awards of Sales and Customer Service

Gold Stevie® Award ■ Winner of Award for Innovation in Customer Service – All Other Industries

Silver Stevie® Award ■ Winner of Best Use of Technology in Customer Service – All Other Industries
■ Winner of Customer Service Employer of the Year
■ Winner of Best Use of Thought Leadership in Sales

Bronze Stevie® Award ■ Winner of Ethics in Sales Award

League of Corporate Foundations CSR Guild Awards

Top Outstanding CSR Projects ■ Winner of Movement Against Malaria
■ Winner of Shell LiveWIRE

Asian Oil and Gas Awards

Asian Oil and Gas Awards ■ Winner for Digital Transformation Initiative of the Year – Philippines

Golden Arrow Awards

Corporate Governance ■ Winner of 2 Golden Arrow Award by Institute of Corporate Directors



EVP Award

Ethics and Compliance ■ Winner for HSSE & Ethics

Movement Against Malaria (MAM)

Community Relations ■ Winner for Gold Standard Award for Corporate Citizenship

Philippine Food Service Category

Food Service ■ Best Market in Asia

Recognitions

- Bureau of Customs recognised Shell Pilipinas Corporation as Top 1 Importer
- Recognition for People Asia of the Year Awardee
- Asia Leaders Awards for Men and Women of Power and Purpose
- Plaque of Recognition – Kapakanan Award for Philippine Coast Guard Marine Environmental Protection Command
- Recognition for Hero of Hope: ChildHope Philippines Foundation, Inc.
- Recognition for Fortune's 100 Most Powerful Women in Asia

Finalist/ Shortlisted



IR Magazine Awards - Southeast Asia (Shortlisted)

- Best annual report (small cap)
- Best use of social media and video



Gold Standard Awards (Finalist)

- The Gold Standard Award for – Shell Pilipinas Corporation
- The Gold Standard Award for a Public Service Campaign
- The Gold Standard Award for Corporate Citizenship (Philanthropy) – Shell Pilipinas Corporation – Roots to Shoots: Advancing Nutrition and Food Security in the Philippines

Message from the President and Chief Executive Officer

2-22

Lorelie Q. Osial

President and
Chief Executive Officer



Celebrating Shell Pilipinas' 110 years of powering progress, we uphold our commitment to delivering innovative energy solutions that fuel industries, businesses, and communities, ensuring we drive impact where it matters most.



Shell Pilipinas delivered robust financial results in 2024, generating net income of Php 1.3 Bn, with higher core earnings despite macroeconomic pressures amidst a highly competitive environment. Our ability to enhance operational and supply efficiencies and manage costs, enabled us to sustain a competitive edge while continuing to serve our customers with operational excellence.

Fueling Growth Across Industries and Customer-centric Innovations

We put our customers at the heart of everything we do, ensuring that they receive the best fuels, lubricants, services and convenience offers. In 2024, we saw a further strengthening of our loyal customer base where they enjoyed great privileges as Shell GO+

members. Our asset optimisation and the high-grading of our mobility sites further cemented the robustness of our nationwide network, operated by the best retailers in the business, and powered by the Shell brand.

Our portfolio of class-leading fuels and lubricants continue to increase earnings and defend market positions. The new Shell FuelSave formulation helps motorists maximise fuel economy, saving up to one litre for every full tank. Shell V-Power continues to set the pace in the premium market, delivering unmatched engine performance and efficiency, with V-Power Diesel standing unrivaled in the local market. Our Helix lubricants remain to be the engine oil of choice by most OEMs in the country.

Message from the President and Chief Executive Officer



We have our customers at the center of our strategy. From quality fuels and oil change services to the most mouth-watering bites, Shell mobility sites have everything you need to get back on the road, however far the journey. Our Non-Fuel Retail business continued to gain momentum in 2024, achieving double-digit growth and expanding its footprint across mobility sites. We have seen increased repeat customers patronise our network of over 500 Shell Helix Oilchange+ and over 250 Shell Advance Motocare Express facilities across the country. For the B2B segment, we are driving digital and fleet innovation forward through strategic partnerships. Our collaboration with Cartrack, a global leader in telematics, is helping businesses optimise fleet management, reduce fuel consumption, and enhance operational efficiency.

These efforts reaffirm Shell Pilipinas' role as one of the country's most trusted leaders in energy and innovation. As we move forward, we remain committed to delivering the highest-quality energy solutions, expanding our presence through strategically located mobility sites, and continuously raising the bar for customer experience.

Investing in People and Partnerships

At Shell Pilipinas, our people make the difference real, and their success is at the heart of our progress. We are committed to fostering a workplace where every individual feels valued, supported, and empowered to grow. Our Employee Value Proposition continues to evolve, ensuring that our benefits, opportunities, and culture remain relevant, inclusive, and responsive to the needs of our diverse workforce.



Our ability to enhance operational and supply efficiencies and manage costs, enabled us to sustain a competitive edge while continuing to serve our customers with operational excellence.

For years to come, we will continue to create an environment where our people can thrive both personally and professionally by championing inclusivity and work-life integration. When our employees thrive, our businesses succeed.

Beyond the workplace, we take pride in our positive social impact. Through Pilipinas Shell Foundation, Inc., our social investment focuses on six thematic areas—nutrition & food security, health & safety, education, energy, livelihood, environment—that are best fit for communities that we work with, aligned with the UN Sustainable Development Goals and developed and implemented by experts, driving meaningful change in communities, touching over 16 million beneficiaries to date.

Powering Progress with Purpose and Strong Performance

Looking ahead, Shell Pilipinas will continue to focus on delivering high-impact solutions, strengthening our market presence, and driving operational excellence. With a clear strategy and an unwavering commitment to innovation, we will continue to power progress and create sustainable growth for generations to come.

Lorelie Q. Osial

President and Chief Executive Officer

2024 Financial Highlights

201-1

Summary Statement of Financial Position (in Php million)

	2020	2021	2022	2023	2024
Current assets	29,902.6	36,475.6	49,833.3	39,081.7	44,626.3
Non-current assets	56,647.5	58,673.6	67,203.2	76,840.6	72,481.5
Total assets	86,550.1	95,149.2	117,036.4	115,922.2	117,107.8
Current liabilities	33,394.3	32,704.3	59,770.8	47,848.9	50,538.2
Non-current liabilities	29,524.0	36,372.4	28,336.2	37,791.6	34,388.7
Total liabilities	62,918.3	68,977.7	88,107.0	85,640.5	84,926.9
Total equity	26,631.8	26,171.5	28,929.4	30,281.7	32,180.8
Total liabilities and equity	85,550.1	95,149.2	117,036.4	115,922.2	117,107.8

Summary Statement of Income (in Php million)

	2020	2021	2022	2023	2024
Gross sales	162,022.7	182,522.5	296,382.4	258,788.8	249,750.2
Sales discounts and rebates	(5,070.8)	(5,365.6)	(4,899.8)	(5,472.7)	(6,184.4)
Net sales	156,951.8	177,156.9	291,482.6	253,316.1	243,565.8
Cost of sales	(153,291.2)	(154,412.7)	(266,119.8)	(233,176.7)	(221,324.1)
Gross profit	3,660.6	22,744.2	25,362.8	20,139.4	22,241.7
Operating expenses	(13,722.8)	(15,347.7)	(16,679.6)	(17,372.0)	(17,022.0)
Other operating income (expenses), net	177.8	1,914.8	(3.1)	1,273.8	837.5
Income (loss) from operations	(21,008.8)	9,010.9	8,680.2	5,038.2	6,057.2
Income (loss) before income tax	(23,028.2)	6,765.9	5,466.3	1,614.1	1,908.0
Profit (loss) for the year	(16,182.7)	3,855.7	4,075.7	1,182.9	1,250.2

Summary Statement of Cash Flow (in Php million)

	2020	2021	2022	2023	2024
Net cash from operating activities	5,945.5	1,071.6	1,621.0	4,255.8	7,466.1
Net cash used in investing activities	(3,961.5)	(3,339.3)	(4,507.8)	(5,303.9)	(2,281.0)
Net cash from (used in) financing activities	(472.3)	(2,351.5)	4,172.7	(112.2)	(4,023.9)
Net increase (decrease) in cash for the year	1,511.6	(4,619.3)	1,285.9	(1,160.4)	1,161.2
Cash at the beginning of the year	4,778.8	6,290.5	1,684.3	2,957.2	1,796.8
Cash at the end of the year	6,290.5	1,684.3	2,957.2	1,796.8	2,958.0

Net Income Segmentation (in Php billion)

	2020	2021	2022	2023	2024
Core Income ¹	1.1	2.3	2.8	2.3	2.6
Marketing	4.9	3.1	2.9	4.8	4.7
Corporate/Others	(3.8)	(0.8)	(0.1)	(2.5)	(2.1)
Inventory Holding Gains/Losses ²	(4.8)	2.3	1.6	(1.8)	(0.8)
Non-Core Income One-Offs	(11.8)	(0.7)	(0.3)	0.7	(0.6)
Net Income	(16.2)	3.9	4.1	1.2	1.3

¹ Inventory holding gains/losses driven by changes in crude/finished products prices is removed to reflect the underlying performance of the Company. This methodology calculates the cost of goods sold as the monthly average of goods purchased and is consistent with the basis of reporting used by other oil refining groups.

² The calculation of core income was obtained by excluding one-offs and offsetting supply chain inventory holding gain/loss with marketing-driven lag loss/gain. This is done to reflect an integrated view of the Company's end-to-end purchase-to-sale process.

Key Financial Ratios

	2020	2021	2022	2023	2024
Current ratio ¹	0.9	1.1	0.8	0.9	0.9
Debt to equity ratio ²	0.7	0.8	1.1	1.3	1.3
Debt ratio ³	0.2	0.2	0.3	0.3	0.3
Return on assets ⁴	(18.7%)	4.1%	3.5%	1.0%	1.1%
Return on equity ⁵	(70.3%)	15.1%	14.6%	4.0%	4.0%
Return on average capital employed ⁶	(40.0%)	18.0%	14.0%	8.0%	8.0%

¹ The current ratio is computed by dividing current assets by current liabilities.

² Debt to debt-to-equity ratio is computed by dividing net debt (short-term borrowings and loans payable less cash) by equity (exclusive of other reserves).

³ The debt ratio is computed as net debt divided by total assets. Net Debt is computed as short-term and long-term borrowings less cash.

⁴ Return on assets is computed as profit (loss) for the period divided by total assets.

⁵ Return on equity is computed as profit (loss) for the period divided by equity (exclusive of other reserves).

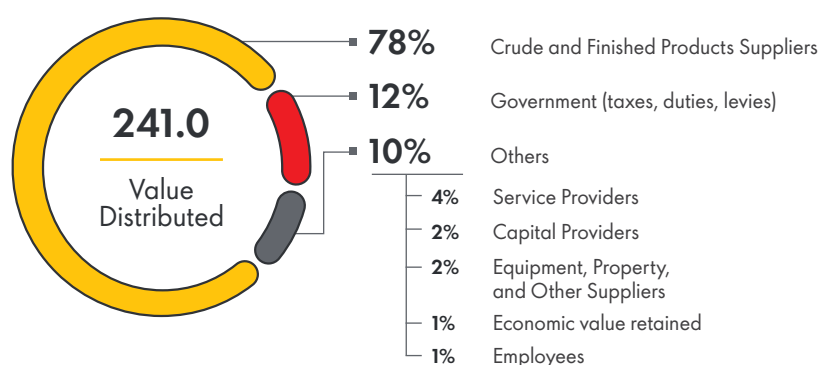
⁶ Return on average capital employed is defined as EBIT as a percentage of the average capital employed for the period. Capital employed consists of total equity, short-term borrowings, and loans payable. Average capital is calculated as the mean of the opening and closing balances of capital employed for that period.

Direct Economic Value Generated and Distributed (in Php billion)

3-3, 201-1, 203-1, 203-2

2.1	243.9
Capital Investments	Value Generated

Value Distributed



2024 Financial Highlights

Tax and Economic Performance

3-3, 207-1, 207-2

As an importer, Shell Pilipinas remains exposed to foreign exchange fluctuations. The Company manages this risk through strategic importation planning and consideration of projected exchange rate movements. The Board of Directors, through the Board Audit and Risk Oversight Committee, oversees financial reporting, including the evaluation and approval of financial statements. In compliance with the Philippine Standards on Auditing, an independent auditor, as approved by shareholders, provides an opinion on the fairness of the audited financial statements. To reinforce accountability, business managers certify Business Assurance Letters annually, confirming compliance and integrity. The President and CEO, along with the Corporate Audit and Assurance Manager, certify the adequacy and effectiveness of internal controls. Based on these assurances, the Board Audit and Risk Oversight Committee assesses the effectiveness of Shell Pilipinas' governance, risk management, and control processes.

Since 2022, the Company ensures high quality in its internal audit functions from Corporate Assurance and Audit Department (CAAD) as aligned with the Code of Ethics for Internal Audit Practitioners and International Standards for the Professional Practice of Internal Auditing.



Dividend Payout

Shell Pilipinas is committed to distributing annual dividends of at least 75% of its previous year's audited net income, subject to legal requirements and Board approval. The Board regularly reviews dividend amounts based on the company's earnings, financial health, cash flow, capital needs, and other relevant factors to ensure a sound and sustainable operation. Ultimately, the Board has sole discretion in determining the amount, type, and timing of dividend payments.

Future dividends will depend on the company's financial performance, investment plans, and cash flow. Additionally, foreign shareholders can only remit dividends using Philippine bank-sourced foreign exchange if their investment was registered with the Bangko Sentral ng Pilipinas and covered by the required Bangko Sentral Registration Document.

Report from the Chief Financial Officer

2-22

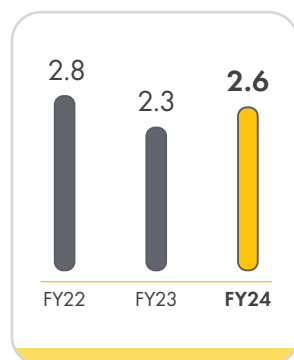
Reynaldo Abilo
Chief Financial Officer



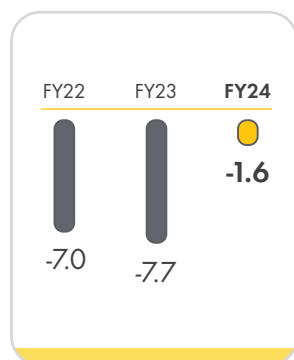
Driving financial resilience has been a resounding theme in our journey for 2024. While it has been a year of unprecedented challenges, it is most importantly a year of reaffirming our purpose—powering progress together with the Filipino. With a strong resolve to make SPC the investment case, we delivered 15% growth in core earnings, Php 900 Mn of OPEX savings and avoidance, and Php 2.8 Bn reduction in CAPEX.

Message from the Chief Financial Officer

Core Earnings (in Php billion)



Free Cash Flow (in Php billion)



During our midpoint strategy refresh, we communicated the following 2023-25 strategic priorities: 1) Strong earnings, cash, and dividend-paying positions, 2) A major player in the energy industry, and 3) Setting the bar on governance and energy transition. Standing on these priorities, Shell Pilipinas increased net income to Php 1.3 Bn in 2024 despite elevated interest rate, oil price volatility, and stronger USD.

Earnings Growth

The petroleum market remains to be hypercompetitive. Our total volume declined by 3% in 2024, lowering the double-digit gap at the beginning of the year. Despite this, core earnings improved to Php 2.6 Bn with margin uplift from higher premium product penetration, new customer wins, and prudent cost management.

Our Commercial businesses expanded volume and earnings throughout 2024. Commercial Fuels maintained its sector leadership in Power, Manufacturing, Mining and Marine – growing total volumes by 3%. In addition, higher demand for FuelSave Diesel and FuelOil Plus boosted premium sales vs. 2023. Lubricants grew volumes by 10% as the business successfully rolled out its new route-to-market strategy, gained new customers,

and raised Shell Advance to its highest volume performance. Likewise, Aviation and Construction & Road businesses have consistently grown earnings year after year.

In Mobility, our Non-Fuel Retail (NFR) continues to be a growth engine, delivering double-digit profit growth for four consecutive years. Effective marketing promotions boosted Car Care and Lubricants sales throughout the year. Other NFR segments such as Convenience Retail (CR) and Alliance also grew by 28% and 3%, respectively.

Beyond the topline improvement, Shell Pilipinas ramped up supply chain optimisation and structural cost reduction efforts. Total OPEX savings and interest avoidance in 2024 surpassed target by 80%. The embedding of Shell Performance Framework across the organisation enables us to change our business model, right-size our assets, and prioritise spend that gives the best bang for the buck.

Narrowing Cash Deficit

Cash Flow from Operations (CFFO) continues to improve, closing 2024 at Php 7.5 Bn, up from Php 4.3 Bn last year. This is the highest CFFO delivered by SPC since 2018 and was achieved through earnings growth, sustained capital discipline, and optimised inventory levels.

In 2024, CAPEX was reduced to Php 2.1 Bn, from Php 4.9 Bn in 2023. While we continue to invest in Mobility and Supply Chain, investment decisions go through a more stringent process to find more cost-effective ways in building new or upgrading existing assets. This includes value engineering, scope optimisation, and more economical sourcing strategies.

In addition, we continue to high-grade our portfolio of assets. The Mobility business closed 53 non-performing sites in 2024 to prevent further losses and generate savings from site operating costs. This also enables us to re-channel resources to sites where we are more competitive and can deliver better returns.

Strong focus in managing working capital remained, matching the timing of collections with payables and optimising inventory levels. However, prepaid taxes have increased by Php 1.9 Bn reflecting the unutilized Creditable Withholding Tax (CWT) certificates in 2024. While the balance can be used against future income tax payable, we need to produce higher earnings to accelerate the depletion of these prepaid assets.

Despite the substantial improvement against last year, Free Cash Flow (FCF) still ended at Php 1.6 Bn deficit. The management will accelerate its efforts to deliver positive FCF and strengthen the balance sheet.

Dividend-Paying Position

With improved earnings performance, the company's Retained Earnings Available for Dividend Declaration by the end 2024 has increased to Php 1.4 Bn from Php 246 Mn in 2023. This puts us at a better position to distribute earnings to our shareholders.

However, with the deficit in FCF, the company's gearing level remains elevated at 56%. The company needs to prioritise deleveraging and reduce borrowing costs which have been substantially higher in the past three years. We recognise the urgency, and more drastic measures will be undertaken as part of our 2025-30 strategy.

The company remains committed in rewarding our shareholders with attractive dividend payment as per our policy. The management is working towards achieving positive FCF and reduce gearing to 50% or lower, in order to resume dividend payout at the earliest possible time.

Delivering Value Together

The green shoots that we are seeing would not be possible without the relentless efforts and unwavering commitment of our people who continue to make a difference either by improving our topline performance or reducing cost and capital.

In 2024, SPC Finance Team won a global Shell award for powering performance and value, leading efforts in cash preservation and generation for the company. In addition, the back-to-back Two-Golden Arrow award given by the Institute of Corporate Directors is a testament of the organisation's commitment to uphold good corporate governance in everything we do.

Macroeconomic headwinds and local market challenges will continue to impact business performance and financial delivery. However, what sets SPC apart from competition, is the agility of our people, learning together, and winning as one.



Reynaldo Abilo
Chief Financial Officer

Generating Shareholder Value

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- 38 [Maximising Cost Efficiency](#)
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- 40 [Synergies in Partnership](#)

Shell Pilipinas is committed to delivering long-term value for its shareholders while advancing sustainable energy solutions for the Philippines.

In 2024, the Company refined its strategy to align with the goals of Powering Progress, enhancing customer experience through technology and expanding its nonfuel retail offerings. Agile and purpose-driven, Shell Pilipinas continues to lead the industry in championing a balanced energy transition for a sustainable future.

Future-Ready Products

3-3

Shell Pilipinas Corporation's 2024 Future-Ready Products reaffirmed its commitment to eco-friendly mobility through innovative launches that support fuel efficiency and reduce environmental impact. These offerings not only enhance mobility but also reflect Shell's dedication to sustainable practices, empowering Filipinos to drive further while minimising their carbon footprint.



STORY It's All Good at Shell



In 2024, SPC hosted the "It's All Good" media launch to showcase its Vehicle Care offerings at its mobility sites nationwide. The event was held in Manila and Davao, and it highlighted the range of services available at Shell Helix Oilchange+ (SHOC+) for 4-wheel vehicles and Shell Advance Motocare Express (SAMCE) for the 2-wheel segment. These services emphasise the use of Shell-branded premium lubricants and genuine consumables to ensure top-notch quality and reliability. The launch also underscored the expertise of the mechanics delivering these services, who are certified by Don Bosco and TESDA. This certification guarantees that customers receive professional and high-quality service at over 500 SHOC+ and over 250 SAMCE locations across the country.

Furthermore, the launch served as a platform to highlight Shell's commitment to support the community through initiatives like the Shell Helix Oilchange+ scholarship programme. This programme is in collaboration with Pilipinas Shell Foundation, Inc. and partners such as Coca-Cola Beverages Philippines Inc. (CBBPI), and it will offer valuable assistance to automotive students, as well as apprenticeship and internship opportunities in the coming years.

STORY 110 Years of Progress with New Shell FuelSave



Shell Pilipinas celebrated 110 years of empowering Filipino journeys by launching its latest Shell FuelSave formulation, reinforcing its commitment to sustainable and efficient mobility. Held at the Clark International Speedway in Pampanga, the event brought together 110 motorists to experience the "Sulit ang Bawat Trip" promise. Attendees witnessed the eco-friendly benefits of the upgraded Shell FuelSave, which is designed to improve fuel economy, enabling drivers to save up to one litre per full tank or extend their trips by up to 15 kilometres—delivering both fuel economy and reduced environmental impact.

The launch of Shell FuelSave marks a milestone in Shell's drive toward sustainability, which completes its most efficient fuel portfolio to date alongside last year's introduction of the new Shell V-Power. As part of Shell's 110th anniversary celebrations, this initiative highlights the Company's enduring commitment to innovation and its role in shaping a more sustainable future for Filipino motorists.

Generating Shareholder Value

Maximising Cost Efficiency

In an increasingly fast-paced market, Shell Pilipinas sharpens its focus on optimising resources, cutting operational costs, and maximising returns on every investment to drive shareholder value, sustainable growth, and operational excellence to strengthen the business and advance Shell's sustainability agenda.



STORY Resource Efficiency Through Project Bayanihan



Since implementing a hybrid work model in November 2022, Shell Manila Office has successfully optimised its operations while promoting sustainability. With employees working onsite two to three times per week and an average turnout of 40% between April and June 2024, the office consolidated its operations, surrendering one floor of office space. This move is projected to deliver significant savings in rent and facilities management cost through 2028, while reducing annual carbon emissions.

By October 2024, office space utilisation rose to 60%. In a collaborative effort, over 130 boxes used during the transition were repurposed into a Christmas tree by the Shell National Students Art Competition (NSAC) artists, which symbolises creativity and shared values. This exemplifies Shell's commitment to operational efficiency, sustainability, and fostering a resourceful and productive work environment.

STORY Optimising Land Lease Agreements for Greater Value



Shell Pilipinas has made significant strides in optimising its land lease footprint as part of its regular reviews. A key success was the renegotiation of the Prime Energy Malampaya Onshore Gas Plant (MOGP) Lease and Right-of-Way (ROW) agreement in Tabangao, Batangas. With the 25-year lease set to expire in August 2024, SPC secured a new 15-year deal. This substantial gain strengthens SPC's financial position and supports the competitiveness of its marketing segments.

Expanding our Service Offers

3-3

Shell Pilipinas continued its strong growth trajectory in 2024 through Lubricants' products and services portfolio—by both retail and technical solutions. Notably, the Company secured regulatory approval to extend its lubricant services beyond its existing customer base.

STORY Shell Philippines Gets SEC Approval to Expand Lubricants Services



On December 16, 2024, Shell Pilipinas Corporation secured approval from the Philippines Securities and Exchange Commission (SEC) to expand its lubricant services. The Company can now extend technical services associated with its lubricant business to a wider customer base, including those who do not currently purchase its products, thereby creating additional revenue opportunities.

The stand-alone Shell Lubricants Technical Services offering aims to position the business as a pioneering end-to-end solutions service provider whilst providing an additional revenue stream for Shell Lubricants. With stand-alone Technical Services guided by Shell's expert Technical Advisers, Shell Lubricants can now independently provide solutions such as Shell LubeAnalyst, an oil condition monitoring service, and Shell LubeOptimiser, an advanced lubrication management service, along with other expert lubrication advice to a broader customer base, thereby enhancing operational efficiency.

For more information about Shell Lubricants Technical Services, go to: <https://www.shell.com/business-customers/lubricants-for-business/lubricants-services.html>

STORY Brewing Bold Success with Shell Café in 2024



Since its 2023 debut, Shell Café has sustained remarkable momentum in offering high-quality coffee and food that connect with local tastes. In 2024, the brand cemented its position as a key driver of growth for SPC, achieving significant milestones in expansion, sales, and customer engagement. With a vision to become the go-to spot for coffee, pastries, and meals, Shell Café introduced its Signature and Espresso coffee blends alongside a curated menu of sweet and savoury pastries, rice meals, and sausage frankfurters. By the end of 2024, Shell Café operated 60 branches, including new outlets and shop conversions across Luzon, Visayas, and Mindanao.

The results speak volumes about Shell Café's success. Its coffee category became the fastest-growing segment in Shell Select, with high double-digit growth of average coffee cups sold per day vs. previous year. Food service contribution to the Select business was also at an all-time high. An organic social media post that went viral in February 2024 followed by high engagements from influencers and food community groups further boosted visibility and performance, doubling coffee cup sales during this peak period and generating significant earned media mileage. The Philippines category management team was also recognised as the Best in Food Service among the Shell Mobility markets in Asia, underscoring the brand's strategic launch and execution.

Generating Shareholder Value

Synergies in Partnership

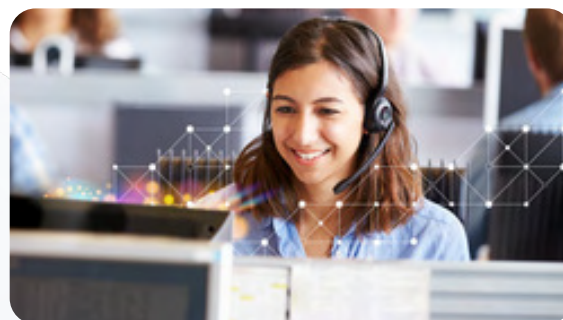
3-3

Collaboration and shared expertise serve as the foundation of Shell Pilipinas' operational success. The Company continues to maximise synergies that foster service excellence, digital transformation, and a culture of cultivating continuous improvement.


STORY Elevating Excellence in
Distribution Operations


In 2024, Shell Pilipinas conducted a successful Line of Defense 2: Distribution Operations Review (DOR), reaffirming its dedication to operational excellence and compliance. This comprehensive review evaluated terminal distribution activities, assessed risk management practices, and uncovered opportunities to enhance business controls and performance.

Since the last DOR in 2018, SPC's terminals and functional teams have prioritised strengthening operational safeguards, elevating staff competence, refining procedures, and establishing Performance Quality (PQ) testing facilities. These efforts bore fruit, along with the 2024 review earning high praise from global evaluators. The reviewers commended the local teams for their openness, curiosity, and commitment to continuous improvement, highlighting the absence of any serious or high-risk findings.

STORY Shell Lubricants receives Best
Customer Satisfaction Scores in
Six years


In 2024, Shell Lubricants achieved its highest Customer Satisfaction Index (CSI) score since 2019, reaching 8.8. This milestone was driven by improved delivery performance from LSC, stronger customer engagement and faster issue resolution by Account Managers, and positive feedback on MarketHub 2.0, a digital platform designed for seamless order management, delivery tracking, account access, and other essential services which was upgraded earlier this year.

Customer insights from our Voice-of-Customer survey highlighted key factors behind this success: the efficiency of MarketHub 2.0 in streamlining order-to-invoicing, reduced order-to-delivery lead times, and open communication within the Shell team, ensuring exceptional service. For more information, learn more at [Shell MarketHub](#).

STORY Shell Lubricants Delivers Growth and Recaptures Share in both Direct and Indirect Channels

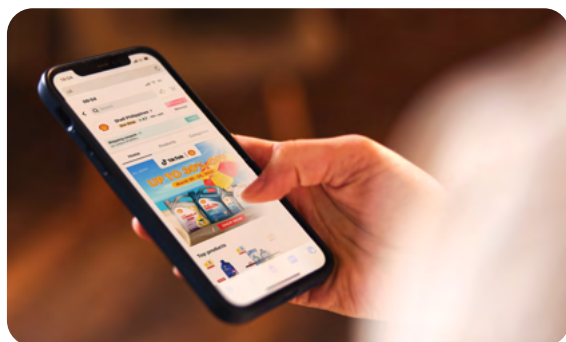


In 2024, Shell Lubricants Philippines recorded strong double-digit growth in both Total and Premium Volume compared to 2023. This success was driven by exceptional performance across Direct and Indirect Channels, expanding market coverage, strengthening

penetration, and winning back major industrial customers.

The Indirect Channel saw an 11% volume increase and an 8% rise in gross margin, fueled by optimised route-to-market strategies, new distribution partnerships, performance-based incentives, and targeted marketing programmes. Notably, eCommerce achieved its best-ever performance, enhancing market reach and service levels. Meanwhile, the Direct Channel focused on reclaiming major industrial and transport customers, securing one of the country's largest mining accounts and a key transport client. The switch to Shell Gadus grease resulted in nearly 15% operational savings for customers, reinforcing Shell's commitment to product quality and technical excellence. With an 8.6% volume growth and a 4% margin increase, these achievements solidify Shell Lubricants' leadership in the market while prioritising customer satisfaction.

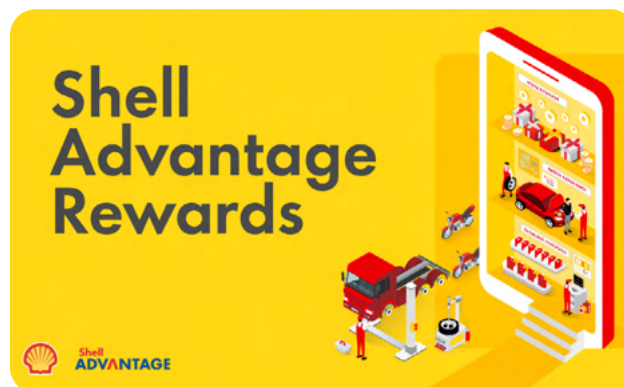
STORY Shell Lubricants E-Commerce Growth: First in Shell Globally and First in Engine Oil Category to Harness TikTok Shop as Digital Sales Platform



Recognising TikTok's growing influence as a shopping platform, Shell Lubricants Philippines leveraged its potential to connect with over 9 Mn two-wheel owners in the country. Partnering with a third-party distributor, Shell became the first in its category, and the first within Shell globally, to enter TikTok Shop in 2024.

After establishing a strong follower base in the first half of the year, dynamic Live-Selling efforts in the latter half propelled Shell Philippines to the No. 1 seller in the Motor Care segment on TikTok Shop. This success contributed to November 2024 becoming the best-selling month in Shell Lubricants Philippines' eCommerce history, further supported by continued growth in Lazada and Shopee.

STORY Furthering Mechanic Empowerment through the Shell Advantage Rewards (SHARE) App



Launched in 2023, the Shell Advantage Rewards (SHARE) App revolutionised loyalty programmes for B2C Indirect customers, empowering thousands of mechanics and retail staff in partner workshops nationwide which quickly became an integral part of Shell Lubricants' customer engagement strategy. In 2024, SHARE expanded into the B2B Indirect Channel, enabling larger retail shops to benefit from the programme while continuing to support mechanics—the backbone of the industry. New incentives, including Double-Point Days and the SHARE Signup Bonus, further accelerated adoption, driving an 18% achievement of target volume scans in 2024 compared to 2023. With a growing network of workshops and mechanics, SHARE continues to strengthen Shell Lubricants' commitment to rewarding excellence and fostering long-term industry partnerships.

Generating Shareholder Value

STORY Lubricants Supply Chain sets another Delivery Performance Record



In 2024, the Lubricants Supply Chain set a new logistics benchmark, achieving a 96% On Time, In Full (OTIF) delivery rate, breaking its previous record of 95% in 2023. This milestone was driven by a 7% improvement in Demand Forecast Accuracy, enhanced operational discipline, and the implementation of weekly sales cadences, consequently reducing service inefficiencies by 6%, ensuring faster and more reliable deliveries that support continued volume growth.

STORY Winning B2B Customers: Delivering Value Through Differentiation and Sustainability



Anchored on superior product quality, industry-specific solutions, and a strong commitment to sustainability, Shell Pilipinas continues to deliver differentiated value propositions tailored to the evolving needs of its B2B customers to ensure long-term partnerships built on innovation and responsible energy solutions. With a strong HSSE focus, the Company provides sector-specific offers for industries like Facilities Operations Management and Construction, where safety, efficiency, and reliability are critical. To support businesses in their energy transition, initiatives such as the Carbon Compensation Programme and Solar Installation Services helped customers reduce emissions and enhance energy resilience.

STORY Driving Growth and Sustainability: The B2B Impact of Fuel Save Diesel and Fuel Oil Plus



As businesses increasingly prioritise efficiency and sustainability, 2024 marks a pivotal year where innovation in fuel solutions drives both profitability and environmental responsibility. This strategic focus on product differentiation fueled volume growth for B2B customers, led by Shell's FuelSave Diesel and Fuel Oil Plus. These advanced fuel solutions not only enhanced operational efficiency but also supported cleaner, more sustainable business practices. Accordingly, FuelSave Diesel usage increased by 2%, reflecting its appeal to companies optimising performance while reducing emissions. Fuel Oil Plus saw an impressive 9% growth, highlighting the rising demand for high-quality fuels that enable cleaner combustion.

STORY Enhancing Customer Experience and Revenue through Non-Fuel Retail Partnerships



To enhance customer experience and maximise value, Shell conducted a comprehensive review of its Non-Fuel Retail stores last year. This led to the introduction of new alliance brands, bringing a wider range of relevant offerings—including pharmacies, popular local brands, and dessert shops—tailored to customer needs.

These additions not only refreshed the look of Shell stations but also positioned them as top-choice one-stop shops, attracting more customers. The expansion of partner brands significantly boosted commercial space revenue, increasing income sevenfold. Building on this success, Shell is identifying more sites to further grow its customer base and drive greater returns.

Achieving Net-Zero Emissions

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Shell Pilipinas remains committed to contributing to Shell's global goal of achieving net-zero emissions by 2050, in line with the targets set by the UN Paris Agreement.

The Company is implementing a variety of strategies designed to reduce emissions from both its operations and the energy products supplied to customers. Shell Pilipinas aims to cut its Scope 1 and 2 greenhouse gas (GHG) emissions by 50% by 2030. This goal builds on the significant progress already made, which includes a 90% reduction in Scope 1 emissions and a 20% reduction in Scope 2 emissions, compared to 2016 levels.

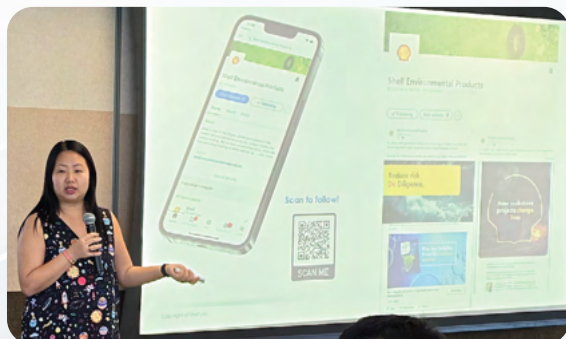
Achieving Net-Zero Emissions

Promoting Environmental Awareness

Shell's commitment to sustainability and the energy transition was demonstrated through two significant initiatives in 2024: capacity-building programmes for employees and leaders, and a family-focused sustainability event. These efforts highlight Shell's dedication to fostering a culture of learning and environmental stewardship within its organisation and the broader community. Shell's approach to sustainability is rooted in educating its workforce while inspiring families and communities to embrace practices that contribute to a resilient and sustainable world.



STORY Advancing ESG Through Capacity-building



For this reporting year, Shell Pilipinas enhanced its commitment to sustainability through targeted capacity-building programmes, equipping leaders and employees with the skills and knowledge necessary to drive the energy transition. These initiatives aligned with Shell's Powering Progress strategy, fostering a deeper understanding of critical environment, societal, and governance (ESG) topics and their practical integration into daily operations. The Carbon 101 training, attended by internal leaders and Board members, focused on the evolving carbon market, providing insights into carbon trading and Shell's role in global decarbonisation efforts. Similarly, the Water 101 session emphasised the water-climate nexus, highlighting sustainable water management and nature-based solutions to address environmental challenges.



Shell also introduced the Electric Vehicle Fundamentals training, preparing employees for shifts in the transportation sector as electric vehicles (EV) gain prominence across the region. These programmes reflect Shell's proactive approach to equipping its workforce with the competencies needed to advance sustainability, address ESG priorities, and strengthen the Company's position as a leader in the energy transition.

Sustainable Power Alternatives

3-3

Shell is making significant contributions to the Philippines' sustainable power alternatives, notably by expanding its EV charging network to become a net-zero energy business by 2050. Shell is dedicated to driving the shift towards a greener future for Filipino drivers.



STORY Powering the Future with Mall-based EV Charging Stations

Being true to its purpose to power progress by providing more and cleaner energy solutions and aligned to its mission to make life's journeys better, SPC has expanded its EV Charging Network with the launch of mall-based Shell Recharge stations in Metro Manila. In partnership with Ortigas Land Corporation, Shell has set up Shell Recharge stations at Estancia Mall, Greenhills-Connecticut and Greenhills-Missouri. Additionally, in collaboration with Robinsons Land Corporation, charging stations were also launched at Robinsons Magnolia, Robinsons Manila, Robinsons Galleria and Robinsons Opus Mall. The rollout of these EV Charging stations is a significant development in the company's sustainability initiatives and champion the shift to cleaner energy solutions to achieve the Net-Zero Emission aspirations.

Embracing the opportunity to make a tangible difference in reducing carbon emissions, these strategically located mall-based sites add 20 charging points, bringing the Shell Recharge network to 34



Charging Points at 11 EV Charging Stations. Together with the ultra-rapid stations at Shell TPLEX La Union and Shell SLEX Mamplasan, they create a 700 km EV driving loop through Metro Manila and neighboring provinces, offering reliable charging options for urban and long-distance EV drivers. Whether the EV drivers travel for long distance or within city, Shell Recharge enables e-mobility that is worry-free. With 2 EV Charging Stations (NEO and Mamplasan) already powered entirely by 100% renewable energy, plans are underway to transition the new sites to renewable sources.

STORY Advancing Sustainability: Solar PV Solutions for Commercial Fuels Customers

Commercial Fuels remain committed to delivering cleaner and more cost-stable energy solutions by partnering with long-standing customers and Shell-accredited contractors to provide high-quality solar photovoltaic (PV) systems. This initiative, which began in 2023 with manufacturing customers, was integrated into their existing supply contracts - strengthening partnerships and future-proofing their energy needs. In 2024, this momentum continued with the installation of a solar PV system for one of these valued customers.



Achieving Net-Zero Emissions

Guiding Partners in Climate Action

Shell Pilipinas is dedicated to developing solutions that reduce the carbon footprint of its customers through product innovations and strategic partnerships with renewable energy providers.



STORY Five Years of Cleaner Paving with Shell Bitumen FreshAir



In 2024, Shell Bitumen FreshAir celebrated its fifth year of providing innovative and sustainable paving solutions since its launch in 2019. As the industry's differentiator, Shell Bitumen FreshAir enables customers to contribute to cleaner air by reducing emissions of nitrogen oxides (NOx), sulfur oxides (SOx), and particulate matter during road construction and paving. This innovative bitumen technology captures and neutralises airborne pollutants, helping customers lower their environmental impact and contribute to cleaner, healthier urban environments. This product also supports nation-building projects in partnership with the Philippines Department of Public Works and Highways (DPWH).

This marked a significant milestone as all accounts and customers served by the Villanueva plant in Mindanao transitioned to 100% Shell Bitumen FreshAir. The results highlight nearly 30% growth in business volume compared to the previous year, with more than 30 kilotons accounting for 75% of total business volume. Since its launch, Shell Bitumen FreshAir has paved almost 2,800 kilometres of roads, reinforcing Shell's commitment to sustainable infrastructure development.

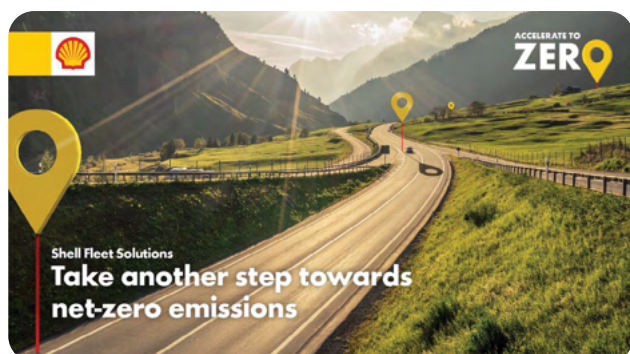
STORY Shell Instapave Drives Nationwide Growth with National Implementor Strategy



In 2024, Shell Instapave shows remarkable growth through Project ICE (Instapave Contractor Expansion), fueled by the appointment of Yoko Konstruk Corporation as the National Implementor for Shell Instapave technology. This strategic initiative led to a significant increase in demand compared to 2023, driven by a focused approach to saturate the base demand in Northern Luzon while establishing a foothold in South Luzon, Palawan, and the Visayas. A pivotal milestone was reached on February 16, 2024, when the DPWH Bureau of Construction released the Standard Detailed Unit Price Analysis (DUPA) for Item 304A. This standardisation ensured uniform cost derivation across implementing offices, paving the way for broader nationwide adoption of Shell Instapave.

Shell Instapave, a cold-mix road surface treatment specified under DPWH Item 304A, requires no heating, offering a sustainable and efficient solution for infrastructure projects. With more than 60% year-on-year growth in 2024 and the critical support of the DPWH DUA, Shell Instapave underscores the Company's commitment to delivering environmentally friendly, innovative infrastructure solutions across the Philippines.

STORY Shell and Flash Express Partner to Decarbonise Delivery Services



Shell Pilipinas has teamed up with Flash Express, one of the Philippines' fastest-growing delivery service providers, to drive sustainability in the logistics sector through the Accelerate to Zero (A2Z) initiative. This partnership leverages Shell's advanced Application Programming Interfaces (API) to track the carbon footprint of Flash Express' extensive delivery network, enabling actionable strategies to reduce emissions.

As the logistics sector in the Philippines continues its rapid growth, environmental challenges have come to the forefront. While motorcycles dominate the delivery landscape with relatively low emissions per vehicle, inefficiencies such as low-load trips over short distances contribute significantly to the sector's carbon impact. Through tools like carbon offset programmes and a forthcoming telematics system, Shell Fleet Solutions equip Flash Express to address these inefficiencies and make meaningful progress toward decarbonisation, setting a benchmark for sustainable logistics in the region.

STORY Revolutionising Fleet Analytics with Cartrack



In 2024, Shell Fleet Solutions partnered with global telematics leader Cartrack to transform fleet data analytics for businesses in the Philippines. This collaboration integrates Shell's fuel management expertise with Cartrack's advanced vehicle telematics, providing businesses with a unified platform for real-time insights into driver performance, vehicle operations, and automated fuel analytics. By streamlining data collection and analysis, the partnership empowers businesses to optimise fleet management, reduce costs, and enhance operational efficiency.

The integration of Shell Card transaction data with Cartrack's telematics through the Shell Fleet Insights package simplifies fleet oversight while enabling measures to prevent fuel fraud, ensure compliance, and improve safety by monitoring driver behaviour. Beyond efficiency, the partnership supports sustainability goals, aligning with Shell's A2Z initiative to reduce fleet emissions. With nearly 2 Mn subscribers globally, Cartrack's expertise amplifies Shell Fleet Solutions' ability to provide data-driven tools that help businesses meet operational objectives while driving progress toward decarbonisation.

STORY Commercial Fuels PH Achieves 5,400 Metric Tons of Carbon Credits

At Commercial Fuels Philippines, sustainability is more than a commitment—it's a shared journey with our customers. As the year closed, we marked a significant milestone, securing 5,400 metric tons of carbon credits. This translates to offsetting the emissions of almost 2 Mn litres of fuel, directly benefiting the businesses we serve. By seamlessly integrating carbon credits into existing supply contracts, we not only support our customers in achieving their carbon reduction goals but also strengthen our partnerships through meaningful action.



Achieving Net-Zero Emissions

Climate-related Risks and Opportunities

3-3, 201-2, EM-RM-530a.1, EM-EP-530a.1

Themes	Recommended TCFD Disclosures	Resources
Governance	Disclose the organisation's governance around climate-related risks and opportunities.	The Board of Directors of Shell Pilipinas oversees and guides the Company on corporate governance matters. The Board Audit and Risk Oversight Committee (BARC) plays a pivotal role in ensuring the implementation of an effective and integrated risk management framework, which encompasses climate-related risks. Furthermore, the Sustainability Committee is responsible for assessing both internal and external sustainability-related risks and opportunities. It delivers regular reports to the Board, including recommendations for addressing these risks and opportunities. The Committee is also charged with reviewing and approving the Company's Annual and Sustainability Report prior to its publication.
Strategy	Disclose the actual and potential impacts of climate-related risks and opportunities on the organisation's businesses, strategy, and financial planning where such information is material.	Shell Pilipinas' target is aligned with the target of Shell plc, a 55% owner of SPC, to become a net-zero emissions energy business by 2050. SPC supports the more ambitious target of the UN's Paris Agreement, which aims to limit the global average temperature rise to 1.5 degrees Celsius above pre-industrial levels. Shell plc outlines its strategy to achieve this goal in its Sustainability Report. In response to the Philippines' commitment to transitioning to a lower-carbon economy, SPC established strategic priorities that include plans to offer low-carbon products and shift to low-carbon operations. The Company also provides a comprehensive disclosure of its material sustainability compliance, innovations, and initiatives in its Annual and Sustainability Report, as mandated by the Philippine Securities and Exchange Commission for publicly listed companies.
Risk Management	Disclose how the organisation identifies, assesses, and manages climate-related risks.	The Company has a comprehensive Enterprise Risk Management (ERM) policy that outlines the processes in place, as well as the responsibilities and accountabilities of each management-level member in identifying, assessing, responding to, and monitoring risks associated with running the business, including climate-related risks. The Chief Risk Officer oversees the entire ERM process—for additional details, refer to page 98 of the Corporate Governance Manual. In addition to the management team, independent internal assurance providers (External Audit, Internal Audit, and the Corporate Assurance and Audit Department (CAAD)) conduct periodic reviews to evaluate the design and operational effectiveness of risk management and internal control processes. The President and Chief Executive Officer, along with the Corporate Audit and Assurance Manager, attest to the adequacy and effectiveness of internal controls. Based on these attestations and the assurances from internal and external auditors, the BARC evaluates the adequacy of Shell Pilipinas' controls, governance, and risk management.
Metrics and Targets	Disclose the metrics and targets used to assess and manage relevant climate-related risks and opportunities where such information is material.	Shell Pilipinas aligns with the Shell Group's goal of becoming a net-zero emissions energy business by 2050. Further relevant sustainability targets were outlined during Shell Pilipinas' 2021 Strategy Day (Strategy Day webpage, slides 26-27). These targets are regularly reviewed as a key agenda item in meetings of the Board and Management team, including discussions on progress and the necessary actions to achieve these goals. Directors and Management adapt targets as needed, based on the risks and opportunities associated with them. The historical GHG Scope 1 & 2 emissions are detailed on page 49 of this report.

Managing Our Emissions

3-3, 305-5, EM-RM-110a.2, EM-EP-110a.3

Efforts to reduce carbon emissions continue through enhanced energy efficiency, renewable energy integration, and operational optimisations across terminals, mobility sites, and corporate offices. These initiatives build on previous strategies and align with Shell's global decarbonisation goals. Energy-efficient technologies remain a priority. In 2024, the use of LED lighting expanded, high-efficiency equipment was installed, and energy monitoring improved. Solar power installations at select sites further decrease reliance on conventional energy sources.

Meanwhile, GHG emissions are tracked through the HSSE & SP Control Framework, ensuring a detailed inventory of Scope 1 and 2 emissions. Optimising high-energy consumption areas, such as product pumps, gantry systems, and terminal offices, continues to drive efficiency. While emissions from terminals have decreased, those from mobility operations have risen due to increased demand. Nonetheless, the Company remains dedicated to the commitment of achieving a 50% reduction in Scope 1 and 2 emissions by 2030, supported by global carbon offset and carbon capture initiatives.

Energy Consumption

302-1, 302-3, 2-4

Energy consumption (in GJ)	2022	2023	2024
Own Energy Generated (Natural Gas & Refinery Diesel Fuel Gas)	29,945.1	7,112.4 ¹	3,912.3
Electricity Imported (Non-renewable)	8,489.9	7,708.2	7,859.7
Electricity Imported (Renewable)	51,339.6	41,633.0	36,075.7
Electricity Exported	-	-	-
Energy Used ²	103,889.9	112,468.2	128,819.7
Energy Intensity (GJ/tonne) ³	0.5	0.5	0.5

¹ Less Fuel consumption due to less Capex/project executions in 2023 than in 2022

² Restated energy used for comparison of 3 year data

³ Restated energy intensity for comparison of 3 year data

GHG Emissions/Disclosures

305-1, 305-2, 305-4, 305-7, 2-4, EM-RM-110a.1, EM-EP-110a.1

Terminal Operations

GHG Emission (in tCO ₂ e)	2022	2023	2024
Gross Direct (Scope 1)	1,985.2	837.1 ¹	605.7
Gross Indirect (Scope 2)	1,990.2	1,700.2	1,653.8
Emissions Intensity (kgCO₂e/tonnes) ²	0.07	0.09	0.08

¹ Less Scope 1 is due to less Capex/project executions in 2023 than in 2022

² Restated emission intensity for comparison of 3 year data

Mobility Operations

GHG Emission (in tCO ₂ e) ³	2022	2023	2024
Gross Indirect (Scope 2)(tCO₂e)	18,144.0	20,113.0	23,102.0
Total Energy Use (MWh) ¹	26,500.0	29,100.0	33,600.0
Overall Average Emission Intensity (kgCO₂e)(kWh) ²	0.7	0.7	0.7

¹ Grid only energy use for all utilities in a Company-owned site

² Emission per energy used in a Company-owned site

³ Restated GHG emission for comparison of 3 year data

Achieving Net-Zero Emissions

Advancing Sustainability Through Low-Carbon Operations

3-3

Shell Pilipinas recognises that achieving the energy transition starts with decarbonising its own operations. Over the years, the Company has made substantial investments and operational changes to becoming a net-zero energy company in the future.

Sustainable Installations and Eco-friendly Initiatives

The Company's import facilities and terminals have transitioned to using 100% LED lighting. To further reduce plastic usage, conventional hand soaps have been replaced with Suds Sustainable Pods. Dried leaves and food scraps are now repurposed to naturally fertilise small gardens, with the harvested vegetables distributed to contractors and employees. Additionally, dry leaves are collected and placed in compost pits, with a total of 492 bags hauled.

By reducing air conditioning usage by 50%, from 24/7 to 12 hours each workday, the Company has achieved significant annual savings in electricity costs, while also reducing carbon emissions equivalent to planting more than 4,900 trees.

Lower-carbon Operations for Mobility

Shell Pilipinas has made significant strides in reducing the carbon footprint of its mobility operations. The installation of LED lights has been completed across all 500 sites, contributing to enhanced energy efficiency. In addition, solar panels have been installed at 176 of the targeted 200 sites, furthering the Company's commitment to renewable energy.



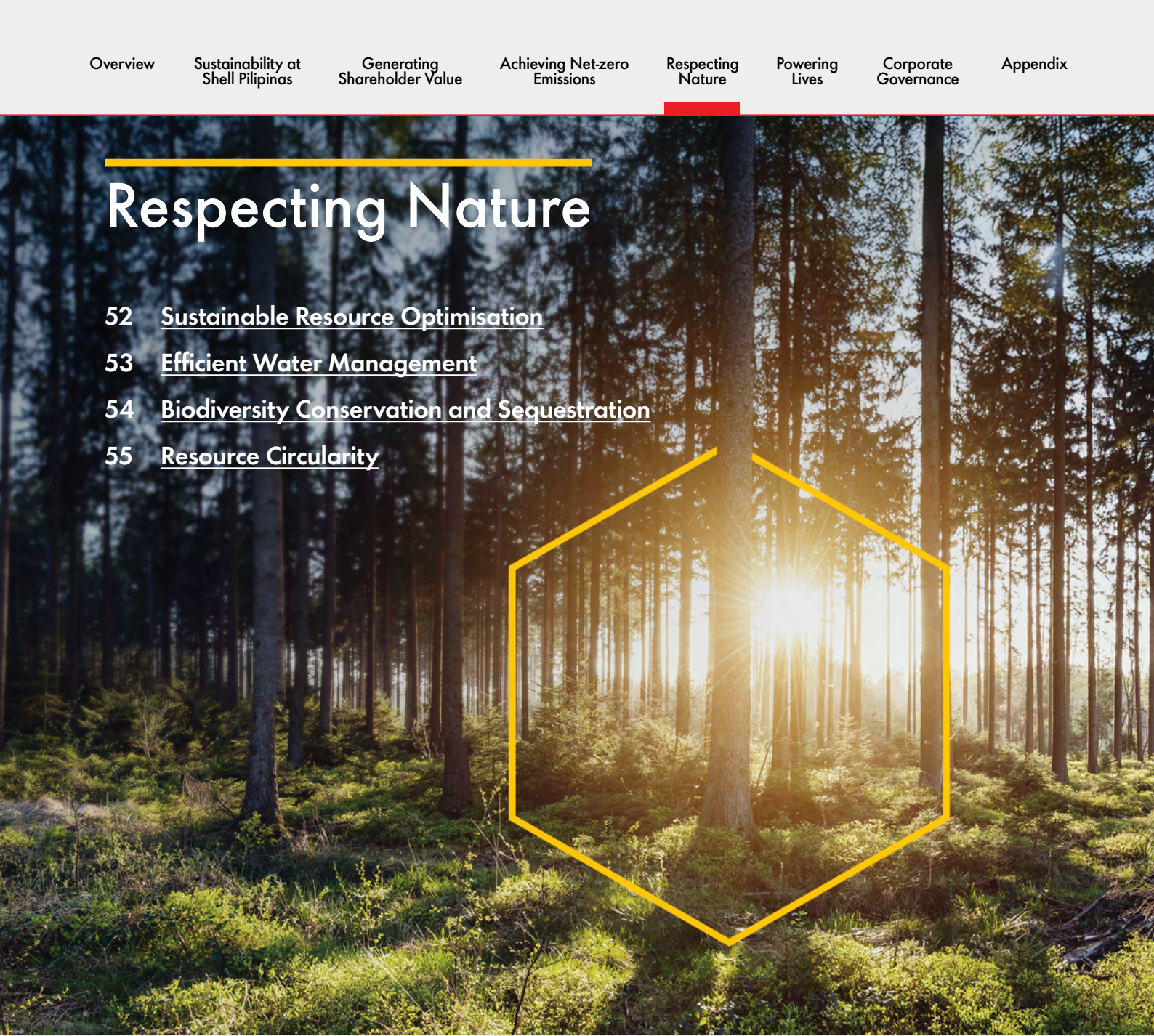
Ecobricks have been integrated into 110 out of the targeted 120 sites, and 115 sites now feature green wall installations, promoting biodiversity and enhancing the aesthetic appeal of the locations. Furthermore, all sites have been painted with eco-friendly, non-harmful paints, ensuring that sustainability is integrated into every aspect of the operations.

Accelerating Lower-Carbon Operations Across Terminals

As part of its sustainability goals, Shell Pilipinas has integrated renewable energy solutions into its operations, installing approximately 5,200 solar panels across terminal facilities to reduce reliance on conventional energy sources. An additional 300 solar panels have been deployed at bitumen facilities to support greener operations. Key locations, including the SHIFT, SLEX Mamplasan, and NLEX Bulacan Mobility sites, now fully operate on renewable power, underscoring the Company's commitment to reducing carbon emissions and advancing a sustainable future.

Respecting Nature

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- 53 Efficient Water Management
- 54 Biodiversity Conservation and Sequestration
- 55 Resource Circularity



Shell Pilipinas is committed to safeguarding the environment through proactive efforts to protect biodiversity, prevent oil spills, manage natural resources sustainably, and reduce emissions from operations and customer-supplied products.

The Company actively pursues circular economy solutions to minimise waste from its facilities, complemented by investments in sustainable infrastructure and an increasing reliance on renewable energy to power its operations, mobility sites, and offices.

Respecting Nature

Sustainable Resource Optimisation

At Shell Pilipinas, making the most of resources is a key part of how we approach sustainability. It reflects our commitment to protecting the environment and managing resources responsibly. With the growing need for businesses to reduce their impact on the planet, we take a proactive approach to improving efficiency, conserving resources, and embracing circularity in our operations.



STORY Shell Pilipinas bolsters sales of Carbon-Neutral Lubricant Products and furthers EPR Compliance



Shell Pilipinas continues to be a key participant in Shell's Carbon-Neutral Programme, the largest initiative of its kind in the global lubricants industry. In 2024, Shell Pilipinas sold carbon-neutral oils including Shell Helix, Gadus, Tellus, Omala, and Corena brands amounting to 940 tonnes equivalent CO₂e carbon reduction offset equivalent to planting 15,000 trees.

On top of this, SPC continues to comply with the Extended Producer's Responsibility (EPR) Law of 2022, requiring manufacturers to manage the disposal and recycling of their plastic packaging. Shell Lubricants has managed to procure 480 tonnes of plastic credits in compliance with the EPR Law.

Furthering its circularity efforts, Shell Lubricants also continues to collect plastics from the market and its operations via its Shell LubeRecycle and Shell Plasticycle programmes, amounting to over 5.4 tonnes of plastic collected to date. Shell Pilipinas' efforts in continuing to support the industry's carbon-neutral initiatives enable the sector as well as the consumers to move to a more sustainable future.

Efficient Water Management

Efficient water management is central to our sustainability efforts, as we recognise the critical importance of safeguarding this essential resource. SPC employs innovative technologies and practices to reduce water consumption and reduce reliance on freshwater sources, helping to mitigate the potential environmental impact of water use.

Water Management

3-3, 303-1, 303-2

Water is one of the most vital resources for sustaining life. Shell Pilipinas continuously works to minimise its water consumption while enhancing water reuse and recycling across its operations. At its terminals, rainwater is collected through drain canals, is filtered on-site using an oil-water separator. This process ensures that any oil-contaminated water is treated before being released, preventing environmental harm.

Effluents from operations are regularly monitored and sampled in accordance with standards set in Shell’s HSSE & SP Control Framework. The Company complies with effluent regulations, including those outlined in the Department of Environment and Natural Resources (DENR) Administrative Order (DAO) 34 and 35, the DAO 2016-08, the Clean Water Act, and the Global Energy Monitor. Effluent samples are tested by a DENR-accredited third-party laboratory.

To reduce freshwater consumption, SHIFT is one of the terminals contributing to the Company’s global goal of a 15% reduction in freshwater use by 2025. Although four major facilities are in areas facing high water stress, the Company has developed comprehensive water management plans to mitigate its impact.

Water Withdrawal (in ML)

303-3, 303-5, EM-RM-140a.1, EM-EP-140a.1

Water Withdrawal (in ML)	2022	2023	2024
Groundwater	1,188.7	1,238.5	1,073.1
Seawater	377.4	- ¹	- ¹
Third-Party Water	28.4	26.1	6.5 ²
Total	1,594.5	1,264.6	1,079.6

¹ Sea water data for 2023 and 2024 is not being monitored.

² The decrease is due to lower project activities for 2024 compared to 2023.

STORY Rainwater Harvesting at Shell Retail Academy



Shell Retail Academy introduces the innovative Rainwater Harvesting initiative which collects and stores rainwater for everyday needs like watering plants and cleaning the grounds. The system not only reduces the need for manual hauling but also ensures a reliable water supply during unexpected interruptions, making it a practical and eco-friendly solution.

The initiative uses the ManLithos Foldable Tank, a product that Shell’s LiveWire startup programme developed. This lightweight and modular tank collects and stores rainwater efficiently with a capacity of 1,000 litres. The water is filtered through a three-stage process—using calcium carbonate, ceramic minerals, and granulated activated carbon—ensuring it is clean and ready for non-potable use.

Respecting Nature

Biodiversity Conservation and Sequestration

The Company understands that the health of our planet's biodiversity is essential for resilient ecosystems and thriving communities. Ecosystems also play a key role in absorbing and storing carbon, making them critical in the fight against climate change. Aware of the potential risks of oil spills, Shell Pilipinas takes proactive steps to protect marine and terrestrial ecosystems with comprehensive oil spill mitigation strategies. Through various initiatives, we are committed to safeguarding natural resources and preserving the environment that supports life on Earth.

Biodiversity

3-3, 304-2

Shell Pilipinas aims to have a positive impact on biodiversity wherever it operates. The Company adheres to stringent standards that minimise the potential environmental impacts of its operations, particularly in sensitive areas rich in biodiversity or designated as protected habitats.

In collaboration with local government units, Shell Pilipinas actively participates in initiatives such as SHIFT and NMIF to assess and mitigate any potential impacts on local plants and animal species, as well as on natural ecosystems. The Company has an oil spill contingency plan in place to mitigate risks associated with product loading and receiving at terminals, as well as involving vessels of varying sizes. Shell Pilipinas fully supports all national and local policies focused on environmental protection and biodiversity conservation and the government's efforts to restore and safeguard critical habitats.

Oil Spill Mitigation

3-3, 306-3

Shell Pilipinas is dedicated to maintaining the highest standards of safety at its facilities by ensuring they are carefully designed, properly operated, and regularly inspected and maintained to prevent spills or leaks of hazardous substances that could harm the environment and surrounding communities. The Company invests in both advanced equipment and employee training to effectively respond to potential spills.

The Company strives to meet both internal and government requirements, including mandatory training on accident prevention and oil spill response. Each terminal has a comprehensive oil spill contingency that identifies nearby protected areas with significant biodiversity and the response protocols for managing potential oil spill incidents.

Oil spill response is integrated into Shell Pilipinas crisis management framework, ensuring that Company leaders are well-equipped to handle emergencies. Company-wide simulation exercises also enhance the Company's preparedness and response capabilities.

Furthermore, Shell Pilipinas mitigates risk through fit-for-purpose infrastructure and equipment designed for spill prevention and preparedness. These include primary and secondary containment measures such as terminal bund walls and containment bunds. In the event of an incident, each facility is equipped with dedicated spill response tools to manage the situation effectively.

Resource Circularity

SPC is also a leader in resource circularity, working to minimise waste and promote the reuse of materials in sectors such as plastic, furniture, and textiles. By closing the loop on resource use, the Company reduces its dependence on finite materials, while simultaneously lessening environmental impacts. This approach is supported by rigorous solid and hazardous waste management systems, which ensure that waste is managed responsibly and in compliance with environmental standards.

Solid and Hazardous Waste

3-3, 306-1, 306-2

At Shell Pilipinas, non-hazardous waste primarily consists of paper waste generated from daily loading operations, while hazardous waste typically comes from oil separators and additive containers. To reduce its waste footprint, the Company leverages digitisation to optimise processes and minimise paper usage.

Shell Pilipinas adopts a circular economy approach to waste management. The Company partners with organisations like Green Antz to recycle and upcycle various waste materials, further contributing to sustainability efforts.

Solid and Hazardous Waste Management (in tonnes)

306-3, 306-4, 306-5, EM-RM-150a.1

Non-Hazardous

2023		2022		2024	
Landfill Biodegradable/ Domestic Waste	465.3	Landfill Biodegradable/ Domestic Waste	341.3	Landfill Biodegradable/ Domestic Waste	35.9
Recycling Recyclable/ Residual/ Scrap Metal	30.1	Recycling Recyclable/ Residual/ Scrap Metal	246.5 ¹	Recycling Recyclable/ Residual/ Scrap Metal	885.4

Hazardous

2023		2022		2024	
Treatment Hazardous wastes are directed to accredited third-party contractors who will choose the method of disposal/ recovery	2,632.9	Treatment Hazardous wastes are directed to accredited third-party services provider (Ecotech)	521.8	Treatment Hazardous wastes are directed to accredited third-party services provider (Ecotech)	382.9

¹ The increase is due to higher tank maintenance and tank demolition activities

Respecting Nature

STORY Drives Circular Economy with Upcycled Plastic Bike Racks



In support of the Philippine government's EPR Act, Shell Pilipinas is addressing the plastic waste crisis by turning waste into sustainable solutions. One standout initiative involves upcycling 3,000 kilograms of plastic waste into 110 bicycle racks, promoting both sustainable mobility and circular economy practices. In collaboration with PCX Markets and EFT Philippines, the project works with informal waste pickers and

aggregators to collect, process, and repurpose plastic waste into functional outdoor furniture. The first batch of 55 bike racks will be installed by the end of 2024, with the remaining 55 to follow in 2025, targeting Metro Manila and Southern Luzon.

Launched during Shell's Sustainability Week in October 2024, the initiative showcases how circular economy principles can transform waste into practical products that address environmental challenges. By combining innovative upcycling solutions with sustainability goals, Shell Pilipinas reinforces its commitment to reducing plastic waste, supporting sustainable transportation, and creating lasting social and environmental impact. This project also aligns with Shell's global aim to increase the recycled content in its packaging to 30% by 2030, while contributing to its 110-year legacy of sustainability in the Philippines.

STORY Office Optimisation at Shell Pilipinas



Shell Pilipinas Corporation's Real Estate team is driving resource efficiency and carbon reduction through its long-standing sustainability programme, Project Bayanihan. This office space optimisation initiative repurposed a wide array of furniture and equipment, including chairs, bar stools, worktables, cabinets, refrigerators, TV displays, monitors, and air purifiers, from the Shell Manila Office to various Real Estate sites across the Philippines, which prevents 44 tonnes of embodied carbon emissions through recycling pieces of furniture.

STORY Transforming Textile Waste Through Circular Solutions

In 2024, Shell Pilipinas introduced the Balik Likha Project, which takes on the pressing issue of textile waste, the second-largest global polluter, by championing circular economy principles and sustainable waste management. This



initiative promotes awareness and action both internally and externally, encouraging employees and partners to actively engage in reducing textile waste by upcycling it into useful and sustainable products.

An internal clothing drive collected 7,000 kilograms of old clothing, which was sorted and distributed to key partners. Uniqlo converted textile waste into energy, while Project Pearls and Shell Philippines Foundation, Inc. (PSFI) empowered artisanal communities by upcycling materials. Collaborations with fashion schools like the College of St. Benilde, SOFA, and iAcademy emphasised sustainable design and HSSE-compliant practices in the fashion industry. The project culminated in a sustainable fashion show, showcasing innovative designs that highlight the potential of textile waste as a resource.

Powering Lives

58 Empowering Workforce Wellness

73 Supporting Community Welfare

75 Enhancing Business Partnerships

76 Upholding Human Rights



Shell Pilipinas is dedicated to creating meaningful impact both within its organisation and in the communities it serves.

The Company prioritises the well-being of its employees by fostering a diverse, equitable, and inclusive workplace which aims for everyone to feel valued and respected, regardless of sex, gender, race, ethnicity, or disability. This commitment is supported by programmes that promote mental and physical health, ensuring a supportive and empowering environment for all.

Beyond the workplace, Shell Pilipinas uplifts communities by delivering essential energy solutions that power homes, businesses, and transportation

systems across the nation. Through the PSFI, the Company has invested millions of pesos over 40 years in initiatives focused on livelihood, education, health, disaster response, and environmental sustainability. These efforts, guided by the UN Guiding Principles on Business and Human Rights and aligned with SDG 7: “Affordable and Clean Energy,” reflected Shell Pilipinas’ commitment to powering lives and building better futures for Filipino communities.

Powering Lives

Empowering Workforce Wellness

3-3, 2-7, 2-8

Diversity, Equity & Inclusion

Shell Pilipinas continues to prioritise diversity, equity & inclusion (DE&I) as an integral part of its operations and company culture. In 2024, Shell strengthened its commitment with initiatives designed to foster an inclusive environment where every individual is respected, supported, and given the opportunity to succeed.

The “DE&I in Action” campaign, launched in 2023, and continues its traction for 2024. The theme “How are you showing up?” focused on driving deeper conversations within teams and encouraging practical actions to advance inclusion. Through a film series, online content, and structured leader-led discussions, employees explored how DE&I can be embedded in daily operations. To ensure measurable progress, Shell Pilipinas rolled out tools such as the Powering Lives DE&I Employee Dashboard, which tracks representation and progress against the Company’s goals. The Self-ID program expanded to 23 countries, including the Philippines, enabling employees to voluntarily share information on disability, gender identity, and sexual orientation. This effort provides valuable data for shaping policies and improving workplace inclusivity. In the Philippines, Self-ID declarations showed that 1.5% of employees identified as persons with disabilities, 12% reported diverse gender identities, and 11.2% identified as part of the LGBTQIA+ community.



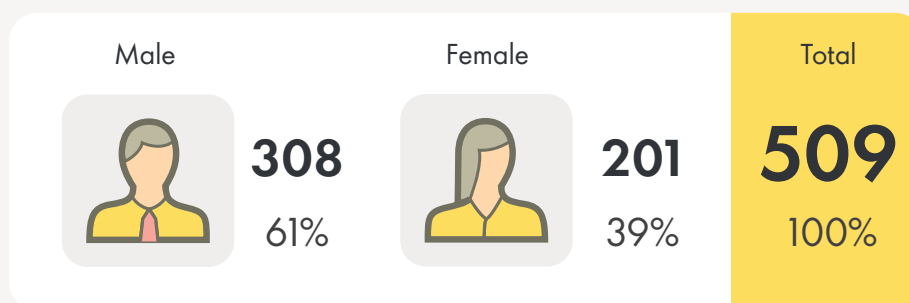
Creating an accessible workplace remains a core focus. The Disability, Accessibility, and Inclusion Portal equips employees with resources to better understand and support diverse needs. The Workplace Accessibility Programme ensures all employees have the tools and physical adjustments needed to perform at their best, whether through adaptive technologies, ergonomic workstations, or accessibility software.

Gender equity is another priority for Shell Pilipinas. Regular pay equity reviews confirm that the Company’s gender pay gap remains below 1%, significantly outperforming global benchmarks. Tailored action plans for each business unit address gender imbalances, considering factors such as talent availability and regional goals. Employees are also encouraged to set DE&I goals that drive change at both team and organisational levels.

Throughout 2024, Shell Pilipinas marked key observances such as International Women’s Day, Pride Month, and the International Day of People with Disabilities. These events reaffirm the Company’s commitment in creating an environment where everyone feels valued and supported.

Employee Demographics in 2024

405-1, 2-7



Employee by Age

Category	< 30	30-50	> 50	Total
Regular (Including Probationary)	88	357	61	506
Contractual/Fixed Term	1	2	-	3
Total	89	359	61	509
% Rate	17.5%	70.5%	12.0%	100.0%

Employee by Position

Category	< 30	30-50	> 50	Total	%Rate
JG1+ Top Management	-	4	8	12	2.3
JG2 Senior Management	-	25	7	32	6.3
JG3-4 Middle Management	8	174	24	206	40.5
JG5 Supervisors	24	78	7	109	21.4
JG6- Rank and File	57	78	15	150	29.5
Total				509	100.0%

Powering Lives



New Hires and Turnovers

3-3

Shell Pilipinas maintained a strong recruitment process in 2024, guided by its commitment to fairness, transparency, and strategic workforce planning. In 2024, the Company faced no significant challenges in hiring new talents, with most business streams achieving a 100% offer acceptance rate. This success reflects Shell Pilipinas' competitive offerings, strong corporate culture, and commitment to Safety and Well-being, Care, and DE&I. Such continues to attract highly qualified professionals across the broader industry.

The recruitment process, led by HR, follows a standardised framework applied across all departments. This framework ensures equal opportunities for all candidates through the consistent broadcast of job openings, clear application guidance, and transparent announcements of successful hires. A key enhancement to the recruitment process, introduced in 2023 and carried forward into

2024, is the implementation of a more flexible rehiring policy. The minimum waiting period for former employees to become eligible for rehire was reduced to six months from their last day on payroll. This adjustment allows the Company to remain agile and competitive in a dynamic labour market, particularly during the energy transition and the evolving landscape of workforce dynamics, including the rising trend of "boomerang workers," employees who leave a company for various reasons and are rehired at a later date.

To manage turnover and ensure business continuity, Shell Pilipinas conducts regular talent and succession planning activities across all business streams. These efforts identify and prepare employees for key roles, providing a robust internal talent pipeline. When necessary, the Company also draws talent from other Shell entities in the Philippines, ensuring that every position is filled with the right person at the right time.

New Hires Breakdown in 2024

401-1

New Hires by Age

Category	< 30	30-50	> 50	Total
Male				
Regular (Including Probationary)	5	1	-	6
Contractual/ Fixed Term	-	-	-	-
Female				
Regular (Including Probationary)	3	1	-	4
Contractual/ Fixed Term	-	1	-	1
Total	8	3	-	11

New Hires by Position

Category	< 30	30-50	> 50	Total
Male				
JG1+ Top Management	-	-	-	-
JG2 Senior Management	-	-	-	-
JG3-4 Middle Management	-	1	-	1
JG5 Supervisors	1	-	-	1
JG6- Rank and File	4	-	-	4
Female				
JG1+ Top Management	-	-	-	-
JG2 Senior Management	-	-	-	-
JG3-4 Middle Management	-	1	-	1
JG5 Supervisors	1	-	-	1
JG6- Rank and File	2	1	-	3
Total	8	3	-	11

Turnover Breakdown in 2024

401-1

Turnover by Age

Category	< 30	30-50	> 50	Total
Male				
Regular (Including Probationary)	4	9	4	17
Contractual/ Fixed Term	-	1	-	1
Female				
Regular (Including Probationary)	1	10	1	12
Contractual/ Fixed Term	-	-	-	-
Total	5	20	5	30

Turnover by Position

Category	< 30	30-50	> 50	Total
Male				
JG1+ Top Management	-	-	-	-
JG2 Senior Management	-	-	-	-
JG3-4 Middle Management	-	6	4	10
JG5 Supervisors	2	1	-	3
JG6- Rank and File	2	3	-	5
Female				
JG1+ Top Management	-	1	-	1
JG2 Senior Management	-	1	1	2
JG3-4 Middle Management	-	7	-	7
JG5 Supervisors	-	-	-	-
JG6- Rank and File	1	1	-	2
Total	5	20	5	30

Powering Lives

Talent Attraction and Employer Branding

Shell Pilipinas continues to be recognised as a top employer in the Philippines, earning accolades from LinkedIn, the Philippine Inquirer, Statista, and Prosple. To promote career opportunities at Shell, the Company actively engages with diverse audiences and age groups through various activities and job fairs nationwide.

Benefits

3-3, 401-2

Employees are offered competitive benefits and remuneration packages as part of Shell's commitment to attracting and retaining top talent.

Shell Pilipinas conducted a comprehensive review of its benefits package, finding that most offerings continue to exceed industry standards since 2022. This review resulted in the harmonisation of over 90% of benefits across all business units, ensuring consistency and fairness across the organisation.

At Shell Pilipinas, compensation is built on three core principles: paying well, paying fairly, and rewarding performance. The Company's pay is positioned within the top 25% of competitors in the talent market. Shell's compensation philosophy focuses on "total cash", which includes base salary, performance-based bonuses, and fixed allowances. The Company also offers greater flexibility in its healthcare plan, providing essential support for employees and their families, making it one of the best in the industry.



To ensure satisfaction from our employees, the Company gathers feedback through the Shell People Survey, which consistently reflects high satisfaction with the Company's Total Rewards program, placing it above Shell's global standards. A recent benefits review revealed that more than 90% of offerings are above industry standards. For areas identified as needing improvement, Shell Pilipinas implemented enhancements, further harmonising its benefits package and ensuring alignment with employee needs and expectations.

Shell continues to evolve its approach to work in response to the Future of Work trends, introducing a Future of Work Playbook that allows employees to adopt flexible work patterns while anchored to a specific work location. As hybrid work setups become the norm, Shell leverages advanced software and hardware tools, offering both onsite and virtual IT support to ensure a seamless experience for all employees.

Moreover, the Company supports the well-being of its employees and their families. In 2024, it continued to implement its eight-week parental leave policy to include non-birthing parents, regardless of sex, gender, or marital status. This leave applies to new or adoptive parents, whether through birth, legal adoption, or surrogacy, reinforcing Shell's commitment to inclusion and non-discrimination.

Benefits	Provided?	% of Women who availed	% of Men who availed
SSS	Yes	8.0%	10.0%
Philhealth	Yes	48.7%	14.1%
PAG-IBIG	Yes	2.0%	5.0%
Parental Leave	Yes	4.0%	3.0%
Vacation Leave	Yes	99.0%	100.0%
Sick Leave	Yes	18.0%	8.0%
Medical Benefits (aside from Philhealth)	Yes	-	-
Housing Assistance (aside from Pag-IBIG)	Yes	14.0%	15.0%
Retirement Fund (aside from SSS)	Yes	-	1.3%
Flexible Working Hours	Yes	-	-
Life Insurance	Yes	36.8%	54.3%
Cash Entitlements (such as Choice Pot, Flexible Spending Allowance, other bonuses, merit increase)	Yes	100.0%	100.0%
Various Life Milestone Assistance (death, funeral, disability, service milestone, etc.)	Yes	15.5%	13.4%
Additional Leave Entitlements (honeymoon, bereavement, emergency, solo parent)	Yes	22.3%	17.1%

Parental Leave

401-3

Indicators	Male	Female	Total
Total number of employees that were entitled to parental leave	308	201	509
Total number of employees that took parental leave in 2024	12	10	22
Total number of employees that returned to work in 2024 after parental leave ended	11	9	20
Return to work rate	91.7%	90.0%	90.9%

Solo Parental Leave

Indicators	Male	Female	Total
Total number of employees that were entitled to parental leave	1	1	2
Total number of employees that took parental leave in 2024	0	0	0
Total number of employees that returned to work in 2024 after parental leave ended	0	0	0
Return to work rate	n/a	n/a	n/a

Retention Rate

Indicators	Male	Female	Total
Retention rate - overall	83.3%	70.0%	77.3%
Return to work rate - availed parental leave	91.7%	90.0%	90.1%
Retention rate - availed solo parent leave	n/a	n/a	n/a

Powering Lives

STORY Boosting Efficiency and Employee Well-being in Tabangao SHIFT Operations

On August 1, 2023, Shell Pilipinas' SHIFT Operations transitioned to a 12-hour shift schedule, streamlining processes and improving efficiency. The new structure replaced the previous 24/7 schedule of three 8-hour shifts, which required time-intensive handovers that often led to significant overtime. Developed through careful planning and collaboration with the team, including unionised staff and with Shell Health regional Human Factors Experts, wherein fatigue risks are assessed and mitigated, the new system incorporates handovers into the shift framework, reducing downtime and overtime hours.

By 2024, the optimised shift schedule has enhanced operational efficiency while ensuring employees receive adequate rest and that fatigue risks are managed. This initiative reflects Shell Pilipinas' commitment to balancing productivity with employee well-being, setting a benchmark for thoughtful workplace improvements.



STORY Clear Vision, Safer Work: Prioritising Eye Health for Frontline Workers



Recognising that optimal vision is essential for safe and effective work, the Real Estate unit of Shell Pilipinas launched the Eye Camp Programme: Sharp Vision for a Bright Mission on November 27 and December 9, 2024. This initiative reflects SPC's commitment to the health, safety, and well-being of its frontline workforce, including technicians, housekeepers, messengers, drivers, security guards, supervisors, and contractors.

Inspired by a successful eye-testing event at the Shell Technology Centre in Bangalore, Christian Tagros, our Real Estate Regional Facilities Manager, led the campaign's replication in Manila. The programme

provided free eye checkups, consultations on eye care, and subsidies for basic eyeglasses. Remarkably, 92 of 114 contractor staff from TFC and Tabangao offices participated; among them, 98.9% were identified as needing corrective eyewear, with 96.7% successfully receiving their prescribed glasses.

The impact of the Eye Camp initiative goes beyond simply providing corrective eyewear; it is a powerful example of paying it forward and creating an endless ripple of care. Aileen "Pau" Salazar, a food and beverage attendant, shared how receiving subsidised eyeglasses with anti-radiation features has transformed her work, allowing her to clearly read food labels and signages. Contractor driver Alvin Cena echoed this sentiment, emphasising how the clear vision he gained has significantly enhanced his driving safety, especially at night. This idea of care extending far beyond the immediate benefit is at the heart of SPC's approach, showing respect and care "...not just in board meetings with our colleagues and executives, but in our everyday actions toward our partners who make our lives easier day by day." His words reinforce that this initiative is not merely a business activity but a genuine commitment to enhance quality of life and workplace safety.

Employee Health and Wellness

403-3, 403-6

Shell Pilipinas goes beyond standard benefits like Health Maintenance Organisation (HMO) coverage, life insurance, and disability protection by offering additional programmes to promote employee well-being. The Employee Assistance Programme (EAP) provides free counselling services for employees and their dependents, ensuring access to mental health support when needed. The Resilience Programme is a self-paced learning tool designed to help employees develop coping

mechanisms and strategies for managing stress and navigating challenging situations effectively. Additionally, the Nutrition Programme offers personalised nutritional assessments, including referrals to specialists when necessary, with nutrition counselling covered under the HMO plan for employees and their dependents.

In 2024, Shell Pilipinas took a significant step to ensure equity across the organisation by harmonising 90% of its benefits. This initiative guarantees that all employees, regardless of their company affiliation, receive consistent and comprehensive support.

STORY Championing Overall Mental Well-being Through GMWP

Shell Pilipinas is setting the benchmark for advocating employee well-being with the Global Mental Wellbeing Program (GMWP), as part of Shell's Powering Progress strategy. The programme, designed to enable our people to thrive, focuses on three core goals: promoting healthy behaviors, protecting a safe and healthy workplace, and ensuring access to quality care and support services.

Launched nationwide on February 12, 2024, the GMWP began with the GMWP survey that engaged 71% of our workforce. The survey identified critical focus areas: resilience for promoting well-being, demand and control for protecting our work environment, and gaps in sleep, physical activity, and nutrition. In response, we introduced targeted interventions with measurable outcomes empowering employees to take immediate, actionable steps towards better health and collaborative growth.

- A self-paced Resilience Programme that equips teams with practical strategies to manage stress and navigate challenges.
- The Sleep Well Campaign, featuring initiatives like "Pillow Talk" for team-based discussions on science-backed sleep strategies, highlighting the importance of restorative sleep, and "Bedroom on Wheels," a virtual reality experience of optimal sleep environments.
- The Move More Campaign, which emphasises even small physical activities through interactive "Jumpstart" sessions and ergonomic solutions such as sit-stand desks and stationary bikes.
- The Eat Well campaign inspires mindful eating and effective meal planning through engaging activities such as "Reality Bites", which explored strategies for healthier meals, and the "Wellness Wagon", which offered fun games focused on healthy habits.

STORY Stronger Together: Cultivating a Workplace for Mental Strength and Well-Being

The Company commemorated World Mental Health Day (WMHD) 2024 with the theme "Working in Change," addressing the challenges of mental health in the workplace during periods of uncertainty. Building on last year's focus on burnout, this year's initiatives highlighted practical strategies for navigating change while fostering mental resilience.

The Company hosted two key sessions at its The Finance Centre and Solaris offices, featuring professionals and Shell leaders who shared personal stories of coping with change and uncertainty. These candid discussions emphasised that challenges affect everyone, including leaders, and provided actionable tips to help employees thrive amid transitions.

Powering Lives

Strengthening Employee Relations

3-3, 407-1

In 2024, 59 workers are covered by collective bargaining agreements. Further, the Company conducts a human capital risk assessment annually, as part of the Corporate Audit & Assurance Division review.

Shell Pilipinas’ Human Resources department consistently implements programmes to foster high employee engagement. These initiatives include leadership developments, talent reviews, people development, organisational effectiveness valuations, and care and resilience programmes.

The department also designs competitive pay and benefits packages for its talent pool. Furthermore, both leadership and HR actively promote behaviours aligned with the organisation’s core values, optimise opportunities in diversity, equity and inclusion (DE&I), and ensure Shell Pilipinas remains a responsible business.

CBA - Employees Under Collective Bargaining Agreement Terms

2-30

CBA - Employees Under Collective Bargaining Agreement Terms

	Male			Female			
Category	< 30	<31 - 50	> 50	< 30	<31 - 50	> 50	Total
Contract							
CBA	19	17	6	11	5	1	59

STORY Stronger, More Empowered Workforce



As the Company recognises resilience as a vital skill for thriving in both everyday situations and high-stress environments, the Shell Health team

launched a proactive initiative to strengthen team resilience. Through tailored activities, this programme was designed to help employees process stress more constructively and enhance cognitive abilities during challenges. As a result, participants were able to practice resilience techniques in real-life scenarios, sharing insights and applying strategies to their personal and professional lives.

A comprehensive needs analysis was conducted across business units to identify unique stressors and challenges. Based on these insights, Shell Health developed customised resilience toolkits offering quick 15-minute boosts, 35-minute team conversations, and in-depth modules for more extensive learning. Some teams were provided with self-guided resources to foster independence in addressing resilience challenges, while others were supported with expert-led sessions from third-party providers.

STORY Championing Inclusivity and Empathy in the Workplace

On November 19, the SPC Real Estate team introduced a thoughtful initiative as part of Project Bayanihan (Office Space Optimisation). As a



gesture of care, the team scheduled complimentary massages for employees and contractor partners, giving them an opportunity to unwind and alleviate stress during a period of workplace transition. This act of care demonstrated the Company's dedication to prioritising employee well-being. Moreover, the initiative highlighted the capabilities of visually impaired professionals, helping to challenge stereotypes and fostering a deeper appreciation for diversity in the workplace. Employees and contractor partners expressed gratitude for the initiative on well-being and the opportunity to support meaningful engagement with differently-abled individuals.



Shell People Survey

2-25

The Shell People Survey is our annual assessment of employee engagement, motivation, and commitment to Shell. It provides valuable insights across a range of areas, including safety, diversity, equity, inclusion, ethics, collaboration, and both organisational and team leadership. The survey results help us identify key trends, guide business planning, and foster open dialogue between teams and leaders.

The survey is open to all active employees, and we strongly encourage everyone to share their honest feedback. Participation and follow-up actions are completely voluntary.

In 2024, the survey achieved an impressive response rate of 97%, with results consistently ranking in the top quartile across all key dimensions, showing score variances ranging from -2 to +2. The survey also surfaced areas requiring attention, including workload, job security, and concerns around harassment and bullying. As a result, these focus areas will be prioritised as part of ongoing efforts to improve the employee experience and workplace culture.

Shell People Survey KPIs

Per Organisation	SPC Score
Response Rate	97%
Employee Engagement	81
Organisational Leadership	77
Team Leadership	89
Collaboration	88
Working Conditions	79
Your Job	87
People Development	83
Reputation	86
Total Rewards and Benefits	74
Diversity and Inclusion	86
Operational Excellence	84
Responsible Business	87
Learner Mindset	87

Powering Lives

Training and Development

404-2, 3-3

Shell Pilipinas invests in its employees through Shell Learning, an online platform designed to help individuals adapt to the evolving demands of the industry.

Focused on enhancing both individual and organisational performance, Shell Learning offers a comprehensive range of learning solutions. These cover areas such as technical expertise, commercial excellence, professional and leadership skills, as well as health and safety, and compliance.

As part of the onboarding process, each employee is required to complete and pass six mandatory digital training courses.

Completing these courses ensures that they are fully equipped with the knowledge and skills needed to perform their roles effectively while staying aligned with the Company's core values and principles.

Mandatory Training Topics include:

- Trade Compliance Awareness E-Learning
- Data Privacy Awareness / Safeguarding Information Awareness E-Learning
- Code of Conduct Awareness E-Learning
- Anti-bribery & Corruption Awareness E-Learning
- Antitrust Awareness E-Learning
- Conscious Inclusion Awareness E-Learning/ Respect in the Workplace Awareness E-Learning

Average Hours of Training per Year per Employee

404-1

Male		Indicators	Top Mgmt (JG1+)	Senior Mgmt (JG2)	Middle Mgmt (JG3-4)	Supervisors (JG5)	Rank and File (JG6-)	Total
		Average hours of training per employee	503.0	446.3	554.2	614.6	670.7	2,788.8
		Total number of employees who attended the training	10	21	115	59	103	308
Female		Indicators	Top Mgmt (JG1+)	Senior Mgmt (JG2)	Middle Mgmt (JG3-4)	Supervisors (JG5)	Rank and File (JG6-)	Total
		Average hours of training per employee	742.5	477.4	506.6	416.7	588.2	2,731.4
		Total number of employees who attended the training	2	11	91	50	47	201
Male	Female	Indicators						Total
		Total average hours of training						5,520.2
		Total number of employees who attended the training						509



Percentage of Employees Receiving Regular Performance and Career Development Reviews

Position 404-3	Male	Female
Top Management	100%	100%
Senior Management	100%	100%
Middle Management	100%	100%
Supervisors	100%	100%
Rank and File	100%	100%

Each year, SPC recognises employee achievements through performance discussions, which are recorded in the employee's Performance Summary on Workday. These discussions, along with performance ratings, help identify and reward top performers. When combined with reward differentiation, these ratings provide valuable insights for promotions and resource planning. The evaluations are based on a comprehensive assessment of both outcomes and behaviours, aligned with individual and business goals.

In addition to the annual performance cycle, Shell Pilipinas acknowledges exceptional contributions through the Service Recognition Award. This one-time reward, which includes both monetary and non-monetary elements, is granted to employees for their efforts outside the regular performance and reward cycle.

Together, these recognition programmes highlight the significant contributions of Shell Pilipinas employees in driving the Company's Powering Progress strategy.

Powering Lives

Occupational Health and Safety

3-3, 403-1, 403-2, 403-4, 403-5, 403-7, EM-EP-320a.2

Protecting the health and safety of employees, contractors, and communities is a top priority at Shell Pilipinas. The Company's commitment is guided by its "Goal Zero" ambition—aiming for zero fatalities and zero incidents across operations. This focus is built around three critical areas: personal safety, process safety, and transport safety. Clear standards apply not only to Shell employees but also to contractors and joint ventures under the Company's operational control, ensuring a consistent and comprehensive approach to safety.

Shell's Health, Safety, Security, and Environment (HSSE) & Social Performance Control Framework is the foundation for identifying, assessing, and managing workplace hazards and risks. Regular audits and integrated assurance plans help evaluate the effectiveness of safety measures and management practices. The HSSE Tech Forum facilitates updates, discussions, and alignment with safety standards for contractors and suppliers operating on Shell sites. Employees and contractors are empowered to actively contribute to safety through initiatives such as incident reporting and near-miss analyses. Importantly, all staff are authorised to stop work if unsafe conditions are observed.

Health, Safety, and Disaster Preparedness Training

403-5

At the Company, workers are trained to assess the safety of their working environment. This includes identifying and managing occupational safety hazards and risks, with a particular focus on asset integrity. Employees ensure that assets are built to specific engineering standards and that the Shell Global Reliability and Integrity maintenance plan is followed. Operating integrity is also closely monitored to ensure compliance with safe operating procedures. Business leaders are ultimately accountable for both asset integrity and worker safety.

Employees working in HSSE-related roles receive training in accordance with Shell's global requirements as well as local legislation. Members of the Shell Health Team undergo specific training, including the Awareness of Health Risk Assessment, Knowledge of HRA Training, and IT User Training. HSSE Audit Courses are also available through Shell Open University to further enhance expertise in safety practises.

For disaster preparedness, the Health Rescue Team regularly conducts First Aid Training, Basic Life Support, and Advance Rescue Training in partnership with the Philippine Red Cross and local hospitals. Additionally, operators in large assets receive Shell Incident Management System 300 Training, while Oil Spill Regional Exercises are held to mitigate the risk of spills and leaks. Crisis Management Exercises are also conducted for Shell Pilipinas leaders to ensure readiness in the event of an emergency.



Shell Pilipinas follows a Calamity Resiliency Manual, which outlines how employees will be accounted for and details instruction on delivering immediate and long-term relief to staff and their families during a disaster. Each business unit also has its own Emergency Response Plan to address specific risks and ensure swift, coordinated action in times of crisis.

Occupational Health Services

403-3, 403-6

Shell Pilipinas provides occupational health services aimed at eliminating hazards and minimising risks in the workplace. These services include medical evaluations to assess “fitness to work” for employees assigned to medium- and high-risks tasks, an annual medical examination for all employees, and onsite clinics at major Shell sites, including TFC and SHIFT. Health Risk Assessments are also conducted to identify and mitigate potential health hazards in the work environment.

To prevent work-related illnesses, the Company communicates the findings and recommendations from the Health Risk Assessment to employees, ensuring they are aware of potential risks and protective measures. These hazards may include issues related to office ergonomics (such as the use of ergonomic equipment), exposure to

chemicals (like petroleum products), physical risks (such as noise), as well as biological and psychological hazards (including stress-related issues). By addressing these risks, Shell Pilipinas safeguards the well-being of its employees by fostering a safer and healthier work environment.

Hazard Mitigation and Safety Audits

403-1, 403-2

The Company’s primary tool in managing risks is outlined in its Hazards and Effects Management Process. To minimise potential hazards, Shell Pilipinas employs a multiple-barrier thinking method approach, which involves implementing both control and recovery barriers. These barriers work together to prevent hazards and mitigate the impact of any potential high-consequence events. Examples of control barriers include the permit-to-work system and a Job Hazard Analysis, while recovery barriers, such as the Emergency Response procedure, are in place to manage any incidents should they occur.

In 2024, several audits were conducted across business units to ensure compliance with global and regional HSSE standards, ensuring alignment with Shell’s commitment to safety and risk management.

Powering Lives

HSSE Performance Summary

403-9, 403-10, EM-EP-320a.1

Indicators	Employees	Contracted Staff
Number of recordable work-related injuries	0	1
Number of high-consequence work-related injuries (excluding fatalities)	0	0
Lost Workday Case (> 5 days) ¹	-	-
Fatality ²	0	0
Exposure Man-hours, Mn Hours ³	889,084	5,643,305
Lost Time Injury (LTI) Free Man hours ⁴	-	-
KMs Driven, Kms.	2,182,479	16,460,501

¹ Days that employees would have worked but could not due to work-related injury or illness.² While performing work that involved heights, a contract worker fell and died a few days later.³ The total amount of time employees are exposed to a particular risk or hazard within the workplace over a given period.⁴ A workplace accident or incident that prevents an employee from working or performing their regular duties for a period of time after the day of the injury.Main Types of Work-related Injury
(Employees and Contracted Workers)

Bruises

0

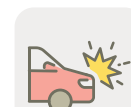


Cuts/Scrapes

1

Minor/
Inconvenience

0

Minor Injuries from
Car Accidents

0

STORY A Safety Day and Oil Spill Readiness



In 2024, Safety Day marked a historic moment as the country chair celebrated the event at the SHIFT terminal instead of the main office. The theme, "Before I Start Work," resonated deeply with approximately 1,200 participants across multiple locations. This venue and theme selection emphasised the importance of safety awareness at the operational frontlines, fostering a shared commitment to proactive workplace practices.

On the other hand, a recent oil spill involving another local oil company inspired a Tier 2 oil spill scenario exercise. The Crisis Management Team utilised this real-world event to assess and enhance crisis response capabilities. The exercise provided an opportunity to test protocols, identify gaps, and reinforce readiness for future challenges.

STORY A Leading Workplace Safety:
Benzene Exposure Management

Shell Pilipinas is redefining workplace safety in the Philippines by setting industry-leading standards for benzene exposure management. As occupational exposure limits (OELs) have progressively tightened—from 10ppm to the current 0.25ppm—Shell has not only kept pace but gone beyond compliance to safeguard its workforce. Through rigorous benzene monitoring, the Company ensures adherence to legal and industry benchmarks while proactively implementing measures to minimise exposure risks and equip its employees with the knowledge and tools to thrive in a secure work environment.

As one of the few companies in the country conducting comprehensive benzene monitoring, Shell Pilipinas underscores its commitment to workforce health and safety. Awareness campaigns empower employees, transforming them into active guardians of their well-being.

Supporting Community Welfare

3-3, 413-1, 413-2

Established in 1982, Pilipinas Shell Foundation, Inc. (PSFI) serves as the social arm of Shell companies in the Philippines. For over 40 years, PSFI has been at the forefront of empowering the country's most vulnerable sectors, delivering impactful initiatives that have improved the lives of more than 15 Mn Filipinos.

The foundation's programmes focus on six core areas: nutrition and food security, health and safety, education, energy, livelihood, and environmental sustainability, driving meaningful change and fostering resilience in communities nationwide.

PSFI- Programme Progress

Shell NXplorers is an innovative educational programme that teaches young people to be creative and critical thinkers about positive change. It aims to build awareness, develop knowledge, and provide thinking tools and complex problem-solving skills for the leaders of the future.

365

Number of students who completed the NXplorers workshop

Shell-PhilDev is a multi-year, performance-based college scholarship programme awarded to students from selected partner universities across the nation who are entering their second year of science and engineering education.

29

Number of scholars supported by Shell-PhilDev scholarship programme

Shell Tabangao Ladies Circle (STLC) was established in 1960 as a non-profit organisation involved in charitable work within the barangays surrounding the Shell Refinery operations.

18

Number of scholars who graduated or completed secondary education based on the Senior High School Calendar and Curriculum

Unlad Sa Pasada is a scholarship programme offered to loyal customers of Shell and members of the Shell GO+ Card.

72

Number of scholars who completed the programme and received skills training and/or competence/capacity development to support general industry sectors

Gas Mo, Bukas Ko is a scholarship programme in technical vocational courses and basic entrepreneurship certification for forecourt service champions such as Shell site gas pump attendants, Shell Select staff and retail site administrative support staff.

97

Number of scholars who completed Automotive Servicing, Motorcycle Small Engine Servicing, Bookkeeping, and Bread and Pastry Production and Entrepreneurship

Shell LiveWIRE is the flagship enterprise development programme of Shell, with the vision to help strengthen local economies by promoting entrepreneurship, innovation, and meaningful employment.

120

Number of participants trained on Shell LiveWire Training

Sanayan sa Kakayahang Industriyal (SKIL) was founded in 1982 to help out-of-school youth access technical-vocational training. This programme aims to lower the unemployment rate, tackle job mismatch challenges, and address some local content concerns within its scope. As time

changed, SKIL was also identified as a venue for members of the community to gain training for upgrading or even for additional training alone.

249

Number of SKIL Scholars who completed TALEGENT, Pre-Training Orientation, LEAD Workshop Training, Safety Leadership Training, and Center Training

BiyaHERO is a programme providing various training and seminars for students, motorcycle riders, road traffic enforcers, and community leaders.

200

Number of individuals trained on road safety

RESCUE is a disaster preparedness and emergency response program tailor fitted for the community's needs.

413

Number of individuals trained in disaster preparedness and response and fire safety

STEP (Science and Technology Education Program) is a college scholarship programme supporting students from partner colleges and universities who are taking STEM courses.

52

Number of scholars supported

Project Shelter is Shell's disaster relief programme that provides critical aid to communities most affected by calamities.

7,164

Number of individuals trained on road safety

Shell ACTS: A Community that Serves is a volunteer initiative of SciP that aligns with Shell's global social investment objectives. The programme provides a platform for staff and contractors to participate in various community programmes and activities, fostering a culture of service and engagement.

1,526

Number of volunteers who participated in community programme activities

Shell Training Farm was established to enhance the agricultural productivity of smallholder farmers by providing hands-on training, promoting agricultural education, and showcasing innovative farming technologies and systems.

72%

% of trained individuals have increased agricultural income

Powering Lives

STORY Lika Na, Likha Pa: 57 Years of Empowering Young Filipino Artists Through Shell National Students Art Competition

For 57 years, the Shell National Students Art Competition (NSAC) has been a platform for young Filipino artists to showcase their talent, creativity, and passion for art. In 2024, with the theme "Lika Na, Likha Pa ng Obra", the competition continued its mission of inspiring the next generation of artists while strengthening its commitment to cultural development through a historic partnership with the National Museum of the Philippines. With over 2,300 entries nationwide, NSAC 2024 reaffirmed its role as one of the country's most prestigious student art competitions. Young artists competed in five categories—Photography, Oil & Acrylic, Watercolour, Sculpture, and Digital Art. After a rigorous selection process, 15 exceptional young artists were recognised for their outstanding contributions to contemporary Philippine art.

Beyond recognising artistic talent, NSAC continues to nurture young artists through mentorship. This year, Shell Pilipinas hosted three Art Interact sessions in partnership with the National Museum, featuring renowned Filipino artists Toym Imao, Ronald Ventura, and Aladin Antiqueño. Held in Ilocos, Zamboanga, and Manila, these interactive sessions allowed students to engage with industry masters, gaining insights, inspiration, and artistic guidance to help them refine their craft.

The 57th Shell National Students Art Competition is more than just an art contest—it is a testament to Shell Pilipinas' enduring support for Filipino artists and its commitment to sustaining a vibrant creative industry. By providing a platform for young artists, forging cultural partnerships, and fostering mentorship opportunities, Shell continues to shape the future of Philippine art and innovation.

STORY Engineering the Future: Filipino Talent Showcased at Shell Eco-marathon Asia-Pacific & Middle East 2024

The Shell Eco-marathon Asia-Pacific and the Middle East 2024, held in Lombok, Indonesia, brought together 78 student teams, seven of which from the Philippines, to go on a challenge for young innovators to design and build ultra-energy-efficient vehicles. The Philippine teams proudly showcased their ingenuity and engineering expertise, proving their dedication to sustainable mobility and energy efficiency.

The Philippine contingent featured teams from (1) De La Salle University, Manila, (2) Polytechnic University of the Philippines, (3) Adamson University, (4) Mapúa University, Manila, (5) Xavier University, (6) University of Mindanao, (7) José Rizal University. Their participation not only highlighted the country's commitment to innovation in energy-efficient transportation but also underscored the potential of young Filipino engineers to contribute to global sustainability efforts. A standout achievement came from Mapúa University, Manila, which was awarded the Philippine Technical Innovation Award, recognising their breakthrough contributions to vehicle efficiency and sustainable mobility.

STORY Nurturing Excellence: Shell-PhilDev Leadership Camp Equips Future Energy Leaders

The Shell-PhilDev Leadership Camp 2024, held at the Eugenio Lopez Center in Antipolo, provided a transformative learning experience for Shell-PhilDev scholars, equipping them with the technical, leadership, and professional skills needed to thrive in the energy sector. Throughout the camp, scholars participated in high-impact sessions on resilience, diversity & inclusion (DE&I), public speaking, personal branding, and feedback mechanisms, organised by SBO HR, Integrated Resourcing, Shell Health, and Corporate Relations. A highlight of the event was the Shell Energy Transition Challenge case study, co-facilitated by Dennis Tagaza and Stanley Siahietiong, which provided scholars with real-world problem-solving experience in the evolving energy landscape.

The cross-functional collaboration behind this initiative has enhanced Shell's recruitment pipeline, with 28 former scholars now working in various technical and commercial roles across Shell Philippines in TAO, T&S, FO, CP, and Mobility. In 2024 alone, five scholars were successfully hired into Shell, two in TAO and three in T&S Operations.

Enhancing Business Partnerships

Shell Pilipinas empowers its partners in the automotive sector by offering free training designed to enhance their knowledge and skills and foster a deeper understanding of business trends and industry optimisation. Through these initiatives, Shell fosters new and lasting partnerships with entrepreneurs and mechanics, reinforcing our position as a trusted industry player.



STORY Shell Advance Philippines accelerates MCO Performance in the Region through Mechanic Upskilling, Strengthening Partnerships, Embracing Digitalisation, and Dynamic Trade Activations

While there are thousands of mechanics in the Philippines, only a handful of mechanics are TESDA-trained and possess a holistic comprehension of properly executing motorcycle maintenance. Shell Lubricants Philippines, with its group of premium Shell Advance motorcycle engine oils, saw this as an opportunity to upskill our mechanics, who have been our partners in recommending the right engine oil to the customer. Shell Advance is the only engine oil brand to do this in 2024 and fully sponsor all the events. By helping upskill our mechanics and have them TESDA-trained, they can also differentiate themselves from non-TESDA-trained mechanics, and hone their craft beyond using the right engine oil. More than 500 mechanics have been upskilled and empowered via the Mekaniko League programmes since 2024, and Shell

aims to continue this into 2025 to improve the lives of more mechanics in more localities across the nation.

On top of the Mekaniko League programme, Shell Advance also strengthened its partnerships among the biking community, capitalising on its 24-year partnership with Ducati to further promote the top-notch quality of its engine oils. On point-of-purchase, it embraced eCommerce through engaging in Live-Selling sessions on TikTok Shop and augmented this with on-ground activations by participating in on-ground events catered to the biking community. As a result, Shell Advance delivered a 9% Total Volume growth and a 23% Premium Volume growth versus 2023, emerging as one of the top-performing countries in the APAC region.

STORY Strengthening Fire Safety: Shell Pilipinas and Bureau of Fire Protection Forge Strategic Partnership

Shell Pilipinas Corporation and the Bureau of Fire Protection (BFP) formalised a landmark collaboration to enhance fire prevention, emergency response, and community safety. Through this Fire Prevention Initiative, both organisations will work together to conduct comprehensive training drills, improve emergency protocols, and raise fire safety awareness in communities where Shell operates.

The partnership was officially sealed with a Memorandum of Agreement signed by Shell Pilipinas VP for Corporate Relations Serge Bernal Jr. and BFP

Chief Director Louie S. Puracan. This initiative reflects a shared commitment to safeguarding lives and property by continuously advancing fire prevention strategies and emergency response capabilities.

By leveraging expertise and resources, Shell Pilipinas and BFP aim to empower communities with the knowledge and preparedness needed to prevent and respond to fire-related emergencies effectively. This collaboration not only strengthens Shell's dedication to safety and resilience but also reinforces its long-standing commitment to community well-being.

Powering Lives

Upholding Human Rights

EM-EP-210b.1, 3-3

Respect for human rights is fundamental to Shell's core values of honesty, integrity, and respect for people. Shell Pilipinas creates a positive impact guided by the UN Guiding Principles on Business and Human Rights.

This commitment is embedded in SPC's existing frameworks and processes, which apply to all employees and contractors. These include Shell General Business Principles, the Code of Conduct, and the Health, Safety, Security, Environment, and Social Performance Control Framework.

The Shell Supplier Principles further outline specific labour and human rights expectations for contractors and suppliers. To learn more about Shell's approach to human rights, please visit the link.

At Shell Pilipinas, we share core values of honesty, integrity, and respect for people to guide every decision. These values underpin all the work that we do and are embedded in the [Shell General Business Principles](#), which account for our responsibilities to shareholders, customers, employees, business partners, and society.

In conjunction, the [Code of Conduct](#) governs how each of the Shell companies which make up the group conducts its affairs. This includes employees, contractors, and others acting on behalf of Shell.

Shell Pilipinas continues to strengthen its corporate governance through transparent processes and a culture of accountability. We believe that to truly "Power Progress" for Filipinos, open, honest, and transparent communication is essential.

STORY Building a Culture of Integrity through E&C Week 2024

The Company marked another significant milestone in 2024 with the successful celebration of Ethics and Compliance (E&C) Week, which reinforced the Company's commitment to integrity and ethical practices. The week served as a timely reminder of how upholding ethical standards not only secures the Company's license to operate but also strengthens its reputation. The programme, led by integrity ambassadors and the E&C Manager, was designed to engage employees while deepening their understanding of the importance of compliance in daily operations.

The week was filled with interactive and engaging activities, including an E&C Escape Room and gamified sessions, where employees could win exciting prizes while learning. Real-life global helpline cases were shared, offering valuable lessons in ethical decision-making, while leadership sessions underscored Shell's top-down commitment to an ethical culture. Employee engagement was a key focus, with feedback collected through surveys to guide future improvements. The enthusiastic participation and positive feedback highlighted the success of the event, reinforcing Shell Pilipinas' ongoing dedication to fostering a culture of integrity and compliance across the organisation.

STORY Fostering a Respectful Workplace Through Harassment Awareness Sessions

Introduced as part of the 2024 Ethics and Compliance Week, this project reinforces Shell's zero-tolerance stance on harassment and emphasises the critical role leaders play in creating a respectful and inclusive workplace. As the Company continues to uphold the values of honesty, integrity, and respect for people in all our interactions, it recognises that discussions around harassment are vital.

To address these concerns and mitigate potential harassment that might occur in the workplace, Shell Pilipinas has launched an initiative aimed at improving awareness and understanding of harassment among employees, managers, and leaders. The goal is to empower employees to raise concerns early and provide them with the tools to address situations directly or with support from their managers or HR. For leaders, the initiative provides clear guidance on managing conflicts effectively and recognising the fine line between performance expectations and respectful leadership.

Corporate Governance

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Board of Directors



Min Yih Tan

Chairman of the Board

Non-Executive Director

Singaporean, 57 years old

Appointed on January 1, 2020

Academic Qualifications

- Bachelor of Mechanical Engineering (Honours), National University of Singapore
- Postgraduate Diploma in Marketing, Singapore Institute of Management
- MBA, Rutgers University
- Certificate in Corporate Governance - International Directors Programme, INSEAD

Directorship

- President Commissioner, Shell Indonesia
- Director, Shell Oman Marketing
- Director, Brunei Shell Marketing
- Director, Shell Singapore

Experience and Relevant Skills

- As Senior Vice President of Mobility Asia, he spearheads the commercial and operational growth agenda of Mobility business in the region. Concurrently as the Commercial Head of the Asian Talent Council, he continues to champion diversity and inclusion across all businesses.
- Former Senior VP of Global Mobility Network from 2018 to 2024 where he played a pivotal role in driving the global expansion and resilience of station and charging networks. His contributions included orchestrating enterprise acquisitions, advancing the development of low carbon fuels infrastructure and enhancing e-mobility capabilities, all while fostering closer integration with Trading & Supply.
- Other Shell experience included General Manager, Global Retail Network Development; General Manager, Global Retail & Commercial Strategy; General Manager, Commercial Fuels (East); General Manager, Lubricants (S. E. Asia).
- Previously worked in ExxonMobil where he held a series of commercial, operational, and staff leadership roles in downstream businesses spanning Retail, Marine, Lubricants, Commercial Vehicles & Cards, and Technology, based in Fairfax, Virginia as a Global Planning Advisor.
- His skills are in the fields of Corporate Governance, General Management, Strategy, Retail, Commercial/ Industrial, and Engineering.



Lorelie Q. Osial

President and Chief Executive
Officer

Executive Director

Filipino, 49 years old

Appointed on December 1, 2021

Academic Qualifications

- Degree in Accountancy from Silliman University
- Certified Public Accountant
- MBA degree from the University of Western Australia

Directorship

- Vice-Chair, Pilipinas Shell Foundation, Inc.
- Director, Bonifacio Gas Corporation
- Trustee, Philippine Business for Social Progress
- Trustee, Philippine Disaster Resiliency Foundation

Experience and Relevant Skills

- Currently President and CEO of Shell Pilipinas Corporation, Country Chair of Shell companies in the Philippines, President of Pilipinas Shell Foundation, Inc., and President of Bonifacio Gas Corporation.
- Concurrently, she is the Vice President for Global Finance Operations-Expenditure where she manages five major processes covering Shell businesses in more than 50 countries and supports 80,000 employees globally.
- Former Finance Director for Basrah Gas Company (BGC) in Iraq, and for Shell Philippines Exploration B.V., the operator of the Malampaya Deepwater-to-Gas Project.
- Joined the Upstream business and since then, has worked in various business-facing finance roles in production, projects, regional, shareholder, and joint venture environments in Upstream and Midstream Asia, the Middle East, and North Africa.
- Her skills are in the fields of Leadership, Economics, Accounting and Finance, and General Management.



Cesar A. Buenaventura

Independent Director
(until 14 May 2024)

Filipino, 95 years old

Appointed on January 1, 2012

Academic Qualifications

- Degree of Bachelor of Science in Civil Engineering from the University of the Philippines in 1950
- Master's degree in Civil Engineering from Lehigh University in 1954 as a Fulbright scholar

Directorship

- Chairman, Buenaventura Echauz and Partners Inc.
- Chairman, Mitsubishi Hitachi Power System Philippines
- Vice Chairman, DMCI Holdings
- Director, International Container Terminal Services, Inc.
- Director, Concepcion Industrial Corporation
- Director, Semirara Mining and Power Corporation
- Director, Petroenergy Resources Corporation
- Director, I People Inc.
- Director, Manila Water Company, Inc.
- Founding Chairman, Pilipinas Shell Foundation, Inc.
- Founding Member, Makati Business Club

Experience and Relevant Skills

- Joined the Corporation in 1956 and was Chairman and CEO from 1975 to 1990.
- His skills are in the fields of General Management, Engineering, and Risk Management.



Lydia B. Echauz

Independent Director

Filipino, 77 years old

Appointed on May 16, 2017

Academic Qualifications

- AB Major in Economics and Mathematics from St. Theresa's College
- MBA from Ateneo de Manila University
- DBA from De La Salle University

Directorship

- Director, Manila Electric Company (Meralco)
- Director, D&L Industries, Inc.
- Director, Fern Realty Corporation
- Director, SM Foundation, Inc.
- Director, Riverside College, Inc.
- Director, Mano Amiga Academy, Inc.
- Director, NBS Educational Services, Inc.
- Director, Akademyang Filipino Association, Inc.
- Director, Museo del Galeon Foundation, Inc.
- Trustee, Henry Sy Foundation, Inc.
- Trustee, Felicidad T. Sy Foundation, Inc.

Experience and Relevant Skills

- Former Director of Development Bank of the Philippines, Association of SEA Graduate Schools of Management, Jaime V. Ongpin Institute of Business and Government, and Ateneo de Manila Graduate School of Business.
- Former President of Far Eastern University (PLC), FEU Silang, FEU Diliman, FEU East Asia College, and Association of SEA Institutes of Higher Learning.
- Former Dean of the Graduate School of Business, De La Salle University.
- Former Faculty member of the University of the East College of Business Administration.
- Her skills are in the fields of Academe, Foundations, Finance, Economics, Audit, Risk Management, Corporate Governance, and Related-party Transactions.

Board of Directors



Fernando Zobel de Ayala

Independent Director

Filipino, 64 years old

Appointed on January 1, 2012

Academic Qualifications

- Liberal Arts degree from Harvard College
- CIM from INSEAD France

Directorship

- Director, Ayala Corporation
- Director, Bank of the Philippine Islands
- Chairman, AC Health
- Chairman, Ayala Foundation
- Trustee, Georgetown University
- Trustee, Asia Society
- Trustee, Pilipinas Shell Foundation, Inc.
- Trustee, Caritas Manila

Experience and Relevant Skills

- Director Ayala Corporation from May 1994 to September 2022. Re-appointed in September 2023.
- Ayala Corporation's President and COO for 15 years, before assuming the role of CEO until 2022.
- Member of The Metropolitan Museum International Council, The Tate Asia Pacific Acquisitions Committee, Member of the Chief Executives Organisation, Asia Philanthropy Circle, and Habitat for Humanity International's Asia Pacific Development Council.
- His skills are in the fields of General Management, Real Estate, Utilities, and Arts and Culture.



Niña D. Aguas

Non-Executive Director

Filipino, 72 years old

Appointed on August 10, 2021

Academic Qualifications

- Bachelor of Science in Commerce, Accounting degree from the University of Santo Tomas
- Certified Public Accountant

Directorship

- Executive Chairperson of the Board of Trustees, The Insular Life Assurance Co., Ltd. and its subsidiaries: Insular Health Care, Inc. and Insular Foundation, Inc.
- Director, Monde Nissin Corporation
- Director, Union Bank of the Philippines
- Trustee, Insurance Institute for Asia and Pacific

Experience and Relevant Skills

- Formerly held directorship of the Corporation from 2016 to 2018.
- The first woman Executive Chairperson and the first woman CEO of Insular Life after more than a century of its operations, appointed in January 2018 and January 2016, respectively. A business leader with over 40 years in retail, wealth, investments, and private banking.
- Managed global, regional, and country-level businesses and operations in large international companies in developed and emerging markets in the Asia Pacific and the US.
- Member of the Governing Council of the Philippine Business Coalition for Women Empowerment (PBCWE), Nextgen Organisation of Women Corporate Directors (NOWCD) Philippines as well as NOWCD's global community network Women Corporate Directors (WCD). She served as a member of the Advisory Council for Gender and Development by the World Bank Group in 2018-2021.
- Her skills are in the fields of Strategic Visioning, Sound Financial Acumen, Operational and Risk Management Orientation, Transformational Client-centricity, Multi-cultural Sensitivity, and Stakeholder Management.



Amando M. Tetangco, Jr.

Independent Director

Filipino, 72 years old

Appointed on May 11, 2021

Academic Qualifications

- Graduated from Ateneo de Manila University with an AB Economics degree (*cum laude*)
- Obtained his Master's in Public Policy and Administration (Development Economics) at the University of Wisconsin at Madison, Wisconsin, USA, as a BSP scholar
- In 2023, conferred the Honorary Doctorate in Management by the Asian Institute of Management
- Attended various training programs at different institutions, including the Harvard Business School and the New York Institute of Finance

Directorship

- Director and Chairman, SM Investments Corporation
- Director and Vice Chairman, SM Prime Holdings, Inc.
- Director, Converge ICT Solutions, Inc.
- Director, Shell Pilipinas Corporation
- Director, Manila Hotel
- Director, Toyota Motor Philippines
- Legal with Economics
- Trustee, St. Luke's Medical Center
- Trustee, Tan Yan Kee Foundation
- Trustee, Foundation for Liberty and Prosperity

Experience and Relevant Skills

- Served as Governor of the Bangko Sentral ng Pilipinas (BSP) and Chairman of the Monetary Board from July 2005 to July 2017.
- Held various positions within the BSP, including Deputy Governor in charge of the Banking Services Sector, Economic Research, and Treasury.
- Held several government positions, including Chairman of the Anti-Money Laundering Council, the Financial Stability Coordination Council, and the Philippine International Convention Center.
- Served as Vice-Chair of the Agriculture Credit Policy Council and member of the Capital Markets Development Council and the Export Development Council.
- Served as Alternate Executive Director of the International Monetary Fund (IMF) in Washington, D.C. from 1992 to 1994.
- Represented the Philippines in several international forums and organisations, including the ASEAN Central Bank Forum, the Executives' Meeting of East Asia and Pacific Central Banks, and the South East Asia Central Banks.
- Held positions as Governor for the Philippines at the IMF and Alternate Governor at the World Bank and the Asian Development Bank.
- Chaired various international committees, including the Meeting of Small Open Economies at the Bank for International Settlements and the Alliance for Financial Inclusion Steering Committee.
- His skills are in the fields of Finance, Risk Management, Legal, Corporate Governance, and Regulatory.

Board of Directors



Reynaldo P. Abilo

Chief Financial Officer

Executive Director

Filipino, 41 years old

Appointed on January 2, 2021

Academic Qualifications

- Graduated *cum laude* from the University of the Philippines (Diliman) with a Bachelor's degree in Business Administration and Accountancy
- 11th place in the October 2004 CPA board exams

Directorship

- Vice President Finance, Treasurer and Chief Risk Officer of the Company
- Chairman, Tabangao Realty, Inc.
- Chairman, Shell Companies of the Philippines Multi-Employer Retirement Plan
- Director, Bonifacio Gas Corporation
- Director, Shell Energy Philippines, Inc.
- Trustee & Treasurer, Pilipinas Shell Foundation, Inc.

Experience and Relevant Skills

- Former Corporate Assurance Manager who established the assurance and internal audit functions of the Company.
- Formerly appointed as Finance Lead for Special Projects Advisor supporting the Global Downstream Marketing Growth Strategy.
- From 2012 to 2016, he was the Global Planning & Appraisal Manager for Marine Lubricants as well as the Project & Economics Lead for Downstream Global Commercial (GC) based in Singapore where he successfully managed the various planning, appraisal, and reporting processes for Marine and capital investments in GC.
- Joined Shell in 2009 as the Retail Economics Manager in the Philippines.
- Before Shell, he worked at Ernst & Young and Colgate-Palmolive.
- His skills are in the fields of Accounting and Finance, Risk Management, and Economics.



Luis C. la Ó

Non-Executive Director

Filipino, 77 years old

Appointed on May 3, 2018

Academic Qualifications

- Bachelor of Science degree in Management at Ateneo de Manila University
- Master's degree in Business Administration from De La Salle University
- General Insurance from the College of Insurance, Chartered Institute of London, United Kingdom.

Directorship

- Non-Executive Vice Chairman of the Board, The Insular Life Assurance Co., Ltd.
- Director, Insular Healthcare, Inc.

Experience and Relevant Skills

- Former Chairman of the Board of Directors of MAPFRE INSULAR Insurance Corporation.
- Previously occupied the following positions: Regional Vice President for Asia of the MAPFRE Group-Spain, President of Provident Insurance Corporation of the Soriano Group, and Senior Vice President of Universal Reinsurance Corporation of the Ayala Group.
- His skills are in the fields of General Management and Insurance.



Randolph T. Del Valle

Executive Director
(until 14 May 2024)

Filipino-British, 48 years old

Appointed on November 9, 2021

Academic Qualifications

- Chemical Engineer earning his Bachelor of Science in Chemical Engineering from the University of San Carlos (USC), Cebu
- MBA degree from London Business School, UK

Directorship

- Director, Bonifacio Gas Corporation

Experience and Relevant Skills

- Handled the Downstream Marketing Retail Business that covers ~1,100 sites serving approximately 1 million customers/day enabled by a strong team of >15,000 employees, retailers, and service champions.
- Formerly part of Group Strategy Consultancy based in London, United Kingdom / Hague, NL where he led various high-impact projects in Upstream, Integrated Gas, Shell Business Operations and Downstream.
- Formerly part of the selected core team members who played a pivotal role in effectively planning and executing Shell's largest strategic acquisition of BG Group in 2015/2016.
- His skills are in the fields of General Management, Engineering, and Retail.



Stuart Chaplin

Non-Executive Director

British, 48 years old

Appointed on August 10, 2022

Academic Qualifications

- MA in Economics and Management from the University of St. Andrews, United Kingdom

Directorship

- Vice President, Finance of Shell LNG Marketing and Trading, Global Shipping and Maritime
- Director, Cleantech Solar
- Member, Shell Foundation Audit and Investment Committees

Experience and Relevant Skills

- Former Chief Risk Officer of Shell Trading & Supply.
- Held the following positions in the Shell Group: Global Commercial Finance Manager & Director Shell Brands International; Global Head of Business Accounting & Analysis; Senior Manager, M&A and Financing; among others.
- Fellow of the Chartered Institute of Management Accountants and the Association of Corporate Treasurers.
- His skills are in the fields of Risk Management, Supply Chain, and Economics.

Board of Directors



Edgar O. Chua

Independent Director
(effective 14 May 2024)

Filipino, 67 years old

Appointed on May 14, 2024

Academic Qualifications

- Bachelor of Science in Chemical Engineering, De La Salle University (1978)
- Senior management course, INSEAD (Fontainebleau, France)
- Conferred Doctor of Humanities Honoris Causa, De La Salle Araneta University (2018)

Directorship

- Independent Director Positions for Metropolitan Bank and Trust Company, First Gen Corp, PHINMA Corp, Philcement, JG Summit Olefins Corp, and Former Independent Director at Integrated Microelectronics Inc (IMI) and Energy Development Corporation (EDC)
- Advisory Roles for Mitsubishi Motors Philippines Corporation and Coca-Cola Bottlers Corp.
- CEO Role for Amber Kinetics
- Chairmanships for Makati Business Club, De La Salle University, Business for Sustainable Development, and Philippine Eagle Foundation
- Other Leadership Roles as President of De La Salle Philippines and Trustee of various civic and business organisations

Experience and Relevant Skills

- He started his career as a Transport Analyst with Group Planning in the UK, where he concentrated on strategic transport planning and analysis.
- He was General Manager of the Shell Company of Cambodia, overseeing business operations and market development within the region.
- He held several regional leadership roles in Shell Oil Products East, including General Manager, Consumer Lubricants Asia Pacific, where he led growth and innovation in the lubricant business; B2B Fuels' Global Marketing Manager, leading global business development and strategic marketing projects.
- His areas of expertise include Economics, Supply Chain, and Risk Management, and he has a solid background in Leadership and Business Transformation.



Michael P. Ramolete

Executive Director
(effective 14 May 2024)

Filipino, 57 years old

Appointed on May 14, 2024

Academic Qualifications

- BS in Civil Engineering from the University of the Philippines
- MBA from Ateneo de Manila University
- Completed the Shell Executive Leadership programme at INSEAD

Directorship

- Senior Sponsor of the WIDEN network (gender balance initiative) for Shell Companies in the Philippines
- Active member of the Global Business Services (GBS) industry association
- Served as a Board of Trustees member of GICC PH

Experience and Relevant Skills

- He has 29 years of experience in Shell Business Operations (SBO), Retail Sales & Operations, Global Site Operations Excellence, Network Planning & Development, and Strategy Implementation.
- From 2019-2023, he was the Head/General Manager of SBO Centre Manila, where he successfully expanded the Centre by more than 20%, to 4,600 employees. Despite the challenges of the pandemic, he boosted employee engagement and under his leadership, SBO Manila served more than 150 Shell companies in 50+ countries.
- He has 25 years of Retail experience, including leading the top selling Metro Manila District for five consecutive years. He was the first back-to-back Global District Manager (2013/14) in the Annual Smiling Stars event (Beijing & Paris), and as a Cluster Network Manager, he oversaw key markets in Asia, such as India, China, and Vietnam.
- As a leader in Strategic Choices (Strategy), he spearheaded the roll-out of the Operator Platform Change in Asia and Oceania and coordinated global, local, and cross-business initiatives to drive Retail growth and competitiveness in the Philippines.
- As a Global Peak Performance Manager, he crafted and empowered frontliners to communicate the Retail proposition with a commercial-driven approach.

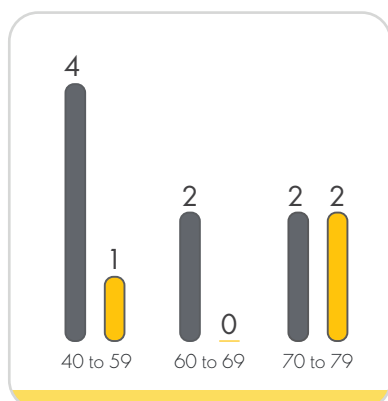
Board Diversity

405-1

Shell Pilipinas follows a structured process for selecting directors who can add value and provide independent judgment in the formulation of sound corporate strategies and policies. To support this, the Company has a policy on Board diversity that promotes diversity in sex, gender, age, ethnicity, culture, skills, competence, and knowledge.

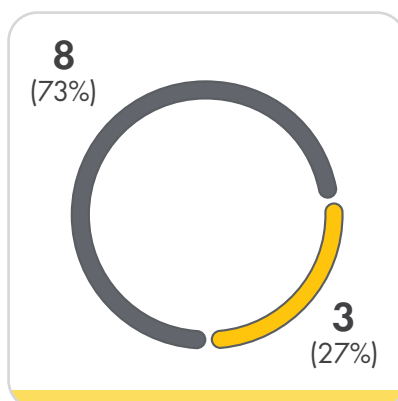
Director by Age

● Male ● Female



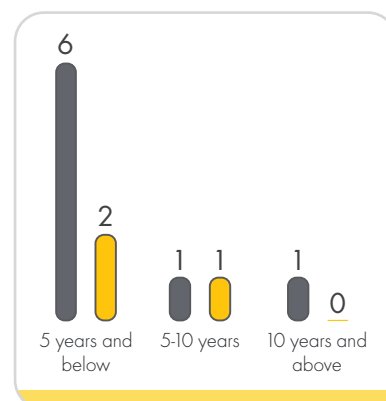
Director by Gender

● Male 8 ● Female 3



Director by Tenure

● Male ● Female



Board Committees

2-10, 2-12, 2-13

Committee	Description	Members
Board Audit and Risk Oversight 2024 Report of the Board Audit and Risk Oversight Committee to the Board of Directors 2024 Attestation of Internal Control	SPC established the Committee to enhance the Board's oversight capability over SPC's financial reporting, internal control system, internal and external audit processes, and compliance with applicable laws and regulations. The Committee is also responsible for the oversight of SPC's enterprise risk management ("ERM") system to ensure its functionality and effectiveness. Specific duties include: - Provide oversight over Management's activities in managing credit, market, liquidity, operational, legal, and other risks. - Perform oversight functions over internal and external auditors - Review the annual internal audit plan to ensure its conformity with the objectives of SPC - Prior to the commencement of the audit, discuss with the external auditor the nature, scope, and expense - Organise an internal audit department and appointment of an independent internal auditor - Monitor and evaluate the adequacy and effectiveness of the internal control system - Review reports submitted by the internal and external auditors - Review the quarterly, half-year, and annual financial statements before their submission to the Board - Coordinate, monitor, and facilitate compliance with laws, rules, and regulations - Evaluate and determine the non-audit work and review periodically the non-audit fees paid - Establish and identify the reporting line of the Internal Auditor	Chairman/Independent Director: - Amando M. Tetangco, Jr. Member/Independent Director: - Lydia B. Echauz - Cesar A. Buenaventura (up to 14 May 2024) - Edgar O. Chua (effective 14 May 2024) Member: - Luis C. la Ó - Stuart Chaplin

Committee	Description	Members
Related Party Transactions	The Committee evaluates on an ongoing basis existing relations between and among businesses and counterparts to ensure that all related parties are continuously identified, Related Party Transactions (RPTs) are monitored, and subsequent changes in relationships with counterparties (from non-related to related and vice versa) are captured. Related parties, RPTs and changes in relationships are reflected in the relevant reports to the Board regulators/supervisors. Specific duties include: - Evaluates all material RPTs to ensure that these are not undertaken on less favourable economic terms to the Corporation - Ensures that appropriate disclosure is made to related parties - Reports to the Board on a regular basis the status and aggregate exposures to each related party, as well as the total amount of exposures to all related parties - Ensures that transactions with related parties, including write-off of exposures, are subject to a periodic independent review or audit process - Oversees the implementation of the system for identifying, monitoring, measuring, controlling, and reporting RPTs, including a periodic review of RPT policies and procedures	Chairman/Independent Director: - Lydia B. Echauz Member/Independent Director: - Cesar A. Buenaventura (up to 14 May 2024) - Edgar O. Chua (effective 14 May 2024) Member: - Luis C. la Ó - Niña D. Aguas (up to 14 May 2024)
Corporate Governance	The Committee oversees the implementation of the corporate governance framework and periodically reviews the said framework to ensure that it remains appropriate in light of material changes to SPC's size, complexity, and business strategy as well as its business and regulatory environments, amongst others. Specific duties include: - Oversees periodic performance evaluation of the Board and its committees as well as the executive management, and conducts an annual self-evaluation of its performance - Ensures that the results of the Board evaluation are discussed and that concrete action plans are developed and implemented to address the identified areas for improvement - Recommends continuing education/training - Adopts CG policies and ensures that these are reviewed and updated regularly and consistently implemented - Proposes and plans relevant training for the Board and Management - Establishes a formal and transparent procedure to develop a policy - Functions as Compensation and Remuneration Committee	Chairman/Independent Director: - Fernando Zobel de Ayala Member/Independent Director: - Cesar A. Buenaventura (up to 14 May 2024) - Edgar O. Chua (effective 14 May 2024) - Lydia B. Echauz Member: - Atty. Erwin R. Orocio
Nomination	The Committee invites and screens nominations to the Board of Directors prior to the annual stockholders' meeting, and in the event of any vacancy in between stockholders' meetings. The Committee also ensures that all candidates nominated to become a member of the Board of Directors have the qualifications and none of the disqualifications as stated in the Revised Corporate Governance Manual. They also: - Encourage minority stockholders to nominate candidates for seats in the Board - Review the effectiveness of the Nomination Process under the Revised CG Manual - In consultation with the other members of the Board, revisit the role, duties, and responsibilities of the CEO - Consider the guidelines in the determination of such number of directorships for the Board	Chairman: - Lorelie Q. Osial Member/Independent Director: - Cesar A. Buenaventura (up to 14 May 2024) - Edgar O. Chua (effective 14 May 2024) Member: - Atty. Erwin R. Orocio Non-voting Member: - Paulo Angelo N. Arias
Sustainability	The Committee is accountable, when there is an opportunity, for steering the business to provide additional resources or support to particular social performance, social investment, and sustainability initiatives. It supports various engagements with external stakeholders, including the review of the sustainability-related content of the Company's Annual Report prior to its issuance.	Chairman: - Luis C. la Ó Member/Independent Director: - Amando M. Tetangco, Jr. Member: - Min Yih Tan - Stuart Chaplin Non-voting Member: - Sergio C. Bernal, Jr.

Board Attendance Meetings

All Shell Pilipinas directors ensure that their roles and responsibilities are given adequate attention, as proven by their record of attendance at all board and committee meetings, most especially during the Annual and Special Stockholders' Meeting. The table that follows summarises the board meeting and attendance details.

Name of Director	No. of Meetings Attended	Percentage Present
Amando M. Tetangco Jr.	7/7	100%
Fernando Zobel de Ayala	7/7	100%
Lydia B. Echauz	7/7	100%
Cesar A. Buenaventura (until 14 May 2024)	1/1	100%
Edgar O. Chua (effective 14 May 2024)	6/6	100%
Luis C. La' O	7/7	100%
Niña D. Aguas	7/7	100%
Min Yih Tan	7/7	100%
Lorelie Q. Osial	5/5	100%
Reynaldo P. Abilo	5/5	100%
Randolph T. Del Valle (until 14 May 2024)	1/1	100%
Michael P. Ramolete (effective 14 May 2024)	4/4	100%
Stuart Chaplin	7/7	100%

Board Attendance per Committee

Members	Corporate Governance Committee	Percentage Present
Cesar A. Buenaventura	2/2	100%
Edgar O. Chua	1/1	100%
Fernando Zobel de Ayala	3/3	100%
Lydia B. Echauz	3/3	100%
Members	Nomination Committee	Percentage Present
Lorelie Q. Osial	2/2	100%
Cesar A. Buenaventura	1/1	100%
Edgar O. Chua	1/1	100%
Members	Sustainability Committee	Percentage Present
Luis C. La' O	3/3	100%
Min Yih Tan	2/3	67%
Amando M. Tetangco, Jr.	3/3	100%
Stuart Chaplin	2/3	67%

Members	Related Party Transactions Committee	Percentage Present
Cesar A. Buenaventura	1/1	100%
Lydia B. Echauz	3/3	100%
Luis C. La' O	3/3	100%
Niña D. Aguas	1/1	100%
Edgar O. Chua	2/2	100%
Members	Board Audit and Risk Oversight Committee	Percentage Present
Amando M. Tetangco, Jr.	4/4	100%
Cesar A. Buenaventura	2/2	100%
Lydia B. Echauz	4/4	100%
Luis C. La' O	4/4	100%
Stuart Chaplin	2/4	50%
Edgar O. Chua	2/2	100%

Corporate Governance Structure

2-9, 2-11

Compliance System

The Board of Directors, Corporate Officers, and Management of SPC follow the Revised Manual on Corporate Governance (the "Manual") and acknowledge that the Manual guides SPC in the attainment of its goals and targets.

This Manual provides the practical requirements to explain details of Shell's General Business Principles and sustainable development, both of which govern how each of the Shell companies conducts its affairs.

Shell Companies have core values of honesty, integrity, and respect for people. These underlying corporate values determine principles that we apply to all transactions, large or small, and drive the behaviour expected of every Shell Pilipinas employee in the conduct of its business at all times.

This Manual is issued in compliance with the Philippines Securities and Exchange Commission (the "Commission" or "SEC") Memorandum Circular No. 19, Series of 2016, dated 22 November 2016, otherwise known as the Code of Corporate Governance for Publicly Listed Companies, to develop a strong corporate governance culture in line with recent developments in corporate governance (e.g. G20/OECD Principles of Corporate Governance, ASEAN Corporate Governance Scorecard). The Manual is aligned with the Shell General Business Principles.

Chief Compliance Officer

To ensure adherence to corporate principles and best practices provided for in the Revised Manual on Corporate Governance, the Board of Directors designates a Chief Compliance Officer, who is not a member of the Board. He has direct reporting responsibilities to the Chairman of the Board but is primarily liable to SPC and its shareholders and not to the Chairman or President of SPC. The Chief Compliance Officer is a separate individual from the Corporate Secretary.

The CCO performs the following duties and responsibilities:

- a. In coordination with the Corporate Secretary, ensure proper onboarding of new directors such as providing orientation programmes on SPC's business, articles of incorporation, and by-laws, among others;
- b. Monitor, review, evaluate, and ensure the compliance by SPC, its officers, and directors with the relevant laws, provisions, and requirements of this Manual, rules and regulations, and all governance issuances of regulatory agencies;
- c. Appear before the Commission upon summons on similar matters that need to be clarified by the same in relation to the compliance with the Manual;
- d. Determine violation/s of the Manual and recommend imposition of appropriate disciplinary action for violations thereof for further review and approval of the Board and the adoption of measures to prevent a repetition of the violations;
- e. Ensure the integrity and accuracy of all documentary submissions to regulators; and
- f. Collaborate with the Corporate Secretary and other departments to properly address compliance issues, which may be subject to investigation and subsequent litigation.

Remuneration Policy for Board of Directors

2-19, 2-20, 2-21

In accordance with SPC's amended by-laws, non-executive directors receive an honorarium for every regular or special meeting of the Board of Directors, and not salary or compensation for their services. On the other hand, executive directors receive annual compensation, including basic salary, mid-year bonus, and 13th-month pay. Like all regular employees, the executive officers are also enrolled in the Corporation's registered, and non-contributory non-contributory retirement plans.

The total amount of remuneration is as follows:

Director	Remuneration (in Php)
Cesar A. Buenaventura	1,800,000
Fernando Zobel de Ayala	2,700,000
Niña D. Aguas	2,500,000
Lorelie Q. Osial	-
Lydia B. Echauz	3,400,000
Reynaldo P. Abilo	-
Luis C. la Ó	3,400,000
Min Yih Tan	-
Amando M. Tetangco, Jr.	3,100,000
Stuart Chaplin	-
Randolph T. Del Valle	-
Edgar O. Chua	2,200,000
Michael P. Ramolete	-



Stockholdings of Directors

As of 31 March 2024

A. Directors

Name	Direct	Indirect	Total direct & indirect shares	% to Total Outstanding Shares
Cesar A. Buenaventura	200,001	0	200,001	0.01240%
Fernando Zobel de Ayala	1	0	1	0.00000%
Niña D. Aguas	164,357	0	164,357	0.01019%
Lorelie Q. Osial	0	1	1	0.00000%
Lydia B. Echauz	2,000	1	2,001	0.00012%
Reynaldo P. Abilo	16,000	1	16,001	0.00099%
Luis C. la Ó	0	1	1	0.00000%
Min Yih Tan	0	1	1	0.00000%
Amando M. Tetangco, Jr.	0	1	1	0.00000%
Stuart Chaplin	0	1	1	0.00000%
Randolph T. Del Valle	0	1	1	0.00000%
TOTAL	382,359	8	382,367	0.02370%

B. Officers

Name	Direct	Indirect	Total direct & indirect shares	% to Total Outstanding Shares
Sergio C. Bernal, Jr.	5,290	0	5,290	0.0003%
Paulo Angelo N. Arias	0	0	0	0.0000%
Atty. Erwin R. Orocio	6,290	0	6,290	0.0004%
Atty. Ralph D. Del Rosario	0	0	0	0.0000%
Atty. Mark Hadrian P. Gamo	3,000	0	3,000	0.0002%
Albert A. Lim	4,290	0	4,290	0.0003%
Kit Arvin M. Bermudez	0	1,600	1,600	0.0001%
Erwin R. Riñon	0	0	0	0.0000%
Jacqueline B. Famorca	0	0	0	0.0000%
Michael P. Ramolete	6,290	0	6,290	0.0004%
TOTAL	25,160	1,600	26,760	0.0017%

As of 31 December 2024

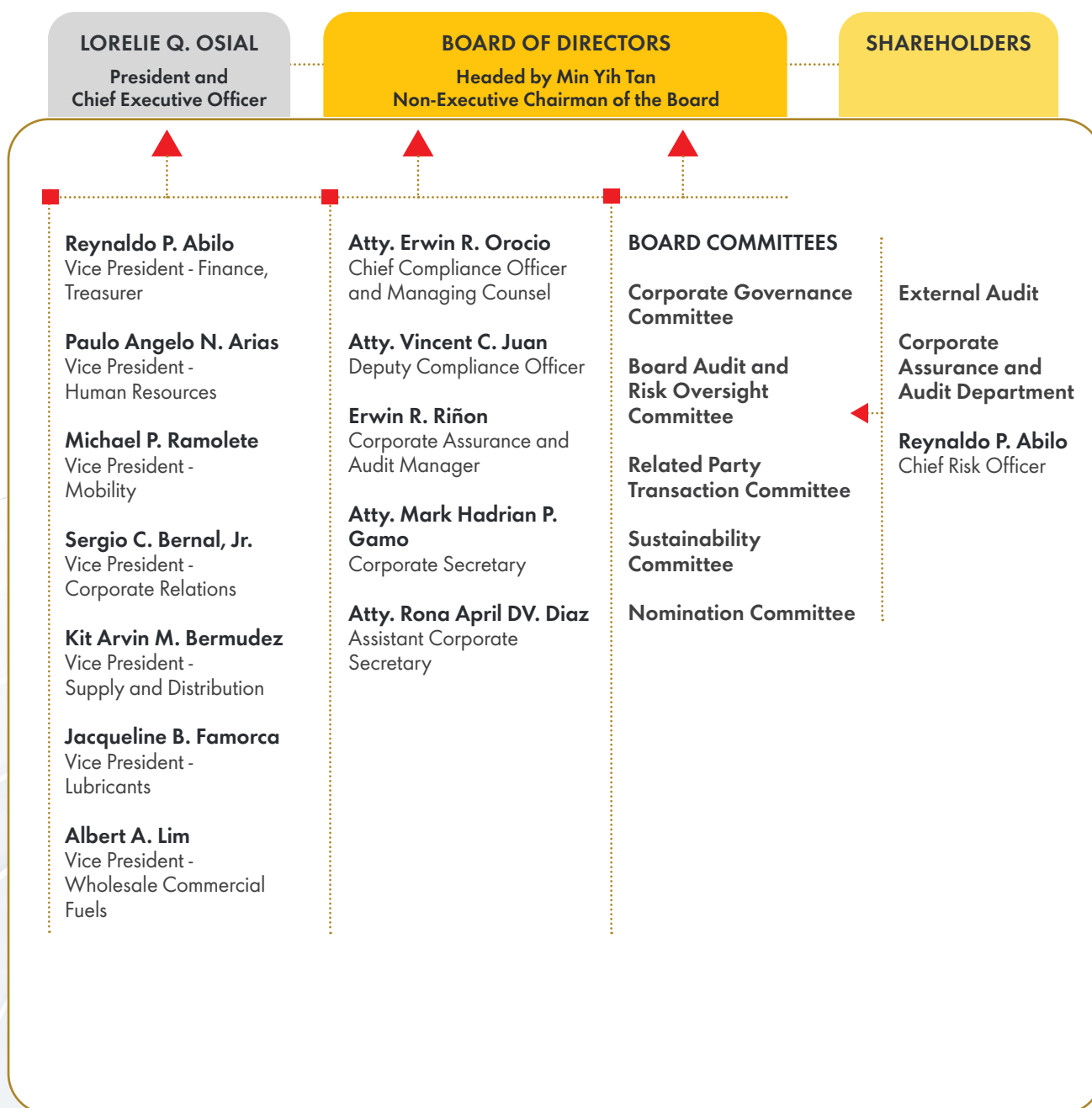
A. Directors

Name	Direct	Indirect	Total direct & indirect shares	% to Total Outstanding Shares
Edgar O. Chua	817,080	7,450	824,530	0.05110%
Fernando Zobel de Ayala	1	-	1	0.00000%
Niña D. Aguas	164,357	-	164,357	0.01019%
Lorelie Q. Osial	-	1	1	0.00000%
Lydia B. Echauz	2,000	1	2,001	0.00012%
Reynaldo P. Abilo	16,000	1	16,001	0.00099%
Luis C. la Ó	-	1	1	0.00000%
Min Yih Tan	-	1	1	0.00000%
Amando M. Tetangco, Jr.	-	1	1	0.00000%
Stuart Chaplin	-	1	1	0.00000%
Michael P. Ramolete	6,290	-	6,290	0.00039%
TOTAL	1,005,728	7,457	1,013,185	0.06280%

B. Officers

Name	Direct	Indirect	Total direct & indirect shares	% to Total Outstanding Shares
Sergio C. Bernal, Jr.	5,290	-	5,290	0.0003%
Paulo Angelo N. Arias	-	-	-	0.0000%
Atty. Erwin R. Orocio	6,290	-	6,290	0.0004%
Atty. Rona April Diaz	-	-	-	0.0000%
Atty. Mark Hadrian P. Gamo	3,000	-	3,000	0.0002%
Albert A. Lim	4,290	-	4,290	0.0003%
Kit Arvin M. Bermudez	-	1,600	1,600	0.0001%
Erwin R. Riñon	-	-	-	0.0000%
Jacqueline B. Famorca	-	-	-	0.0000%
TOTAL	18,870	1,600	20,470	0.0013%

Shell Pilipinas Corporation Organisational Chart



Board Roles and Responsibilities

2-14

It is the Board's responsibility to foster the long-term success of the Company and to sustain its competitiveness and profitability in a manner consistent with its corporate objectives and the best interest of its stockholders and other stakeholders.

The Board oversees the development of, formulates and approves the Company vision, mission, strategic objectives, business objectives and strategy, policies, and procedures that guide its activities, including the means to effectively monitor management's performance. The Company also monitors their implementation, in order to sustain SPC's long-term viability and strength.

The Board has a Board Charter that defines its roles, responsibilities, and accountabilities in carrying out its fiduciary duties.

Specific Duties and Responsibilities

I. Director

A director's office is one of trust and confidence. A director acts in the best interest of SPC in a manner characterised by transparency, accountability, and fairness. He also exercises leadership, prudence, and integrity in directing SPC towards sustained progress.

A director acts on a fully informed basis, in good faith, with due diligence and care, and in the best interest of the Company and all shareholders and other stakeholders.

II. Chairman of the Board

The Board is headed by a competent and qualified Chairman. To avoid conflict or a split board and to foster an appropriate balance

of power, increased accountability, and better capacity for independent decision-making, the Chairman of the Board is a separate person from the CEO.

The duties and responsibilities of the Chairman in relation to the Board include, among others, the following:

- a. Makes certain that the meeting agenda focuses on strategic matters, including the overall risk appetite of the Company, considering the developments in the business and regulatory environments, key governance concerns, and contentious issues that will significantly affect operations;
- b. Guarantees that the Board receives accurate, timely, relevant, insightful, concise, and clear information to enable it to make sound decisions;
- c. Facilitates discussions on key issues by fostering an environment conducive to constructive debate and leveraging the skills and expertise of individual directors;
- d. Ensures that the Board sufficiently challenges and inquiries into reports submitted and representations made by Management;
- e. Assures the availability of proper orientation for first-time directors and continuing training opportunities for all directors;
- f. Makes sure that the performance of the Board is evaluated at least once a year and discussed or followed up on;
- g. Ensures that the meetings of the Board are held in accordance with the by-laws or as the Chairman may deem necessary;
- h. Supervises the preparation of the agenda of the meeting in coordination

with the Corporate Secretary, taking into consideration the suggestions of the CEO, Management, and the Directors; and

- i. Maintains qualitative and timely lines of communication and information between the Board and Management.

III. Chief Executive Officer

The duties and responsibilities of the CEO include, among others, the following:

- a. Determines the Company's strategic direction and formulates and implements its strategic plan on the direction of the business;
- b. Communicates and implements the Company's vision, mission, values, and overall strategy and promotes any organisation or stakeholder change in relation to the same;
- c. Oversees the operations of the Company and manages human and financial resources in accordance with the strategic plan;
- d. Has a good working knowledge of the Company's industry and market and keeps up-to-date with its core business purpose;
- e. Directs, evaluates, and guides the work of the key officers of the Company;
- f. Manages the Company's resources prudently and ensures a proper balance of the same;
- g. Provides the Board with timely information and interfaces between the Board and the employees;
- h. Builds the corporate culture and motivates the employees of the Company; and
- i. Serves as the link between internal operations and external stakeholders.

Training

2-17

Shell Pilipinas provides training for Directors, including an orientation programme for first-time Directors and relevant annual continuing training for all Directors, in accordance with the Revised Corporate Governance Manual.

Leading with Integrity

2-18

The Board of Directors follows the best practices in corporate governance as laid down in Shell Pilipinas' Revised Manual on Corporate Governance and complies with the local Code of Corporate Governance for Publicly Listed Companies, in line with the G20/OECD Principles of Corporate Governance, as well as the ASEAN Corporate Governance Scorecard.

Board of Directors Self-Evaluation

Performance self-assessments are annually conducted for the Board, individual members of the Board, Committees, and the Management. Results are tabulated and presented by the Corporate Governance Committee to the Board. Every three years, an external facilitator conducts the self-assessment in compliance with the Code of Corporate Governance for publicly listed companies.

Business Assurance Letters

At the close of every year, business managers sign off on their respective Business Assurance Letters, addressed to the President and CEO, assuring that there have been no incidents of non-compliance or breaches of trust. Likewise, both the President and Chief Executive Officer and the Corporate Audit and Assurance Manager issue an attestation on the effectiveness of internal controls.

Board Audit and Risk Oversight Committee (BARC) Controls Assessment Statement

Based on the results of controls self-assessments and risk-based assurance reviews, the reliance on the work of SGV & Co, the Company's external auditor, on their audit of the December 31, 2024, financial statements, the assurance provided by the CAAD, as a result of their audit activities, the Committee assessed that Shell Pilipinas' systems of internal control, risk management, compliance, and governance processes are adequate and effective as of December 31, 2024.

Investor Briefings

Shell Pilipinas' ensures open communication with investors and stakeholders in line with its focus on good governance, transparency, and accountability.

To facilitate timely updates for its investors, the Company organises quarterly investor briefings through Shell webcast, hosted on Zoom. These sessions, led by the CEO, provide an overview of the quarter's financial and operational results, along with key developments and updates.

The Company also publishes an Annual and Sustainability Report (ASR) aligned with international reporting standards. This report highlights key achievements, outlines future plans and strategies, compares year-on-year performance, and serves as an industry benchmark. Additionally, Shell Pilipinas holds Annual Stockholders' Meetings to review financial performance, sustainability goals, and overarching strategies.

Shell Pilipinas ensures full compliance with all laws, rules, and regulations set by the SEC and PSE. Required documentation is submitted to

these organisations and made available on the Company's website.

Sustainability Governance and Reporting

2-16

A clear and focused policy on non-financial disclosures is done by the Board, with an emphasis on the management of the Company's economic, environmental, social, and governance issues. The Company also adopts a globally recognised standard or framework in reporting sustainability and non-financial disclosures. Committees on the Board also monitor, review, evaluate, and aim to ensure that the Company, its officers, and directors are in compliance with all applicable laws, provisions, and requirements of the Company's Revised Corporate Governance Manual, rules and regulations, and all governance issuances of regulatory agencies, including policies that address environmental and social factors affecting the industry.

In addition, consolidated stakeholder concerns and feedback regarding ESG matters are forwarded to the ASR Committee, which conducts a materiality assessment process every two years. The sustainability efforts of Shell Pilipinas are disclosed regularly and transparently through the Annual Sustainability Reports (ASR).

Enterprise Risk Management

3-3

Shell Pilipinas has risk management policies to ensure that the business operates in the most optimal way to achieve its goals as set out in the Powering Progress strategy. In line with this, SPC's Risk Management Policy explicitly states that management is responsible for implementing, operating, and monitoring the

system of internal control, which is designed to provide reasonable but not absolute assurance of achieving business objectives.

The approach to internal control includes several general and specific risk management processes and policies. The primary control mechanisms are self-appraisal processes in combination with strict accountability for results.

Visit this link to learn more about how **Shell Pilipinas manages enterprise risk.**

Cyber Security and Data Privacy

Shell Pilipinas is investing in technologies to protect the business and Information Technology (IT) landscape to prevent cyber security incidents from happening. The Company adopts the Line of Defense model, which is a market standard risk management model.

Shell also has a robust global IT incident reporting process and mechanism. Moreover, the Company is constantly building its recovery readiness capabilities to enable the rapid recovery from any incident and thrive in new circumstances after the event has passed.

Additionally, Shell cyber defence experts assess potentially damaging cyber threats and identify and remediate system vulnerabilities, based on threat intelligence and network scanning data. They also continuously monitor the Shell IT network for patterns of abnormal behaviour and when an incident is detected, assess the impact, and take action to contain and remediate the issue.

Cyber actors, attack methods and targets are evolving and becoming more sophisticated. Given this, Shell Pilipinas has the Think Secure Programme, which trains its staff members

on Cyber Fundamentals—a guideline for employees.

In 2024, there were no cybersecurity breaches in Shell Pilipinas.

Shell Pilipinas aims to protect and manage personal data in a professional, lawful, and ethical manner. Personal data is any information, on a physical document or in electronic form, relating to an identified or identifiable individual. Shell's Ethics and Compliance Manual instructs how the Company must implement Group requirements relating to compliance with Data Privacy laws. Also, SPC is governed by Shell's Binding Corporate Rules (BCR), which reflects the EU's General Data Protection Regulation (GDPR), as well as other requirements where the local law is stricter than the BCR.

There have been no data privacy-related incidents noted in 2024.

Supplier Assessments

3-3, 414-1, 414-2

Shell Pilipinas ensures that its business relationships, including with suppliers, follow high levels of business integrity. The Company has a contracting and procurement process in place when engaging with suppliers. Suppliers are vetted for risks related to HSSE, worker welfare, trade compliance, data privacy, and ethics and compliance. They also undergo a Supplier Financial Risk Assessment as part of the Company's due diligence process.

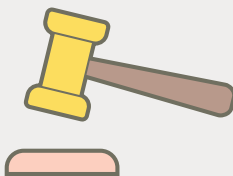
In addition, suppliers may be vetted for their human rights and social performance, risks related to geopolitics, and their business relationships.

Living by Our Principles

2-23, 2-24, 2-27, 3-3, 206-1, 205-2, 205-3, EM-RM-530a.1, EM-EP-510a.2, EM-EP-530a.1



Employees are informed and trained on Anti-Corruption Policies and Procedures



No legal cases relating to corruption, anti-competitive behaviour, anti-trust, and monopoly practices



No reported cases of non-compliance to environmental, social, and economic laws

Shell General Business Principles

The Shell General Business Principles (SGBP) set out the Company's responsibilities to shareholders, customers, employees, business partners, and society. They set the standards for how Shell Pilipinas conducts business with honesty, integrity, and respect for people. As part of these principles, the Company commits to contributing to sustainable development, balancing short- and long-term interests, and integrating economic, environmental, and social considerations into our decision-making.

All Shell employees, contractors, and individuals at joint ventures operated by the Company are expected to behave in line with these business principles. The Company undertakes a range of activities to help embed the SGBP within the organisation. These include training and encouraging people to discuss the dilemmas they face in their work.

Shell Code of Conduct

The Shell Code of Conduct explains how employees, contractors, and anyone else acting on behalf of Shell must behave to live up to our business principles. It covers safety, anti-bribery and corruption, fair competition, human rights, and other important areas. Shell employees, contractors, and third parties can report any potential breaches of the Code of Conduct confidentiality through several

channels, including anonymously through a global helpline operated by an independent provider. We maintain a stringent no retaliation policy to protect any person making an allegation in good faith.

Shell Ethics and Compliance Manual

Shell Pilipinas' Ethics and Compliance (E&C) standards are implemented through the Shell Ethics and Compliance Manual. It defines the requirements for businesses and functions to comply with laws on Anti-Bribery and Corruption, Anti-Money Laundering, Preventing the Facilitation of Tax Evasion, Anti-Trust, Data Privacy, and Trade Compliance. The manual provides guidance, advice, and training to help employees understand their responsibilities and how to act ethically and in full accordance with the law.

Shell Global Helpline

Shell Pilipinas employees, contractors, and third parties can report any potential breaches of the Code of Conduct confidentiality through several channels, including anonymously through a global helpline operated by an independent provider. The Company maintains a stringent no-retaliation policy to protect any person making an allegation in good faith.

Our Policies

2-15, 205-1, EM-RM-530a.1, EM-EP-530a.1

The Company aligns its practices with Philippine national laws and regulations, as well as international laws or legislations with international effect.

Anti-bribery and Anti-corruption. The Company has a zero-tolerance policy on the payment of bribes, facilitation payments, and political payments. It follows national and international laws prohibiting bribery and corruption. These includes the Revised Penal Code Anti-Graft and Corrupt Practices Act of the Philippines, the Foreign Corrupt Practices Act of the United States, and the Bribery Act of the United Kingdom.

Visit this link to learn more about our **Anti-Corruption, Bribery & Extortion Policy**.

Gifts and Acts of Hospitality. The Ethics and Compliance Manual provides guidelines on acceptable gifts and acts of hospitality, subject to recording requirements in the online Code of Conduct Register.

Conflict of Interest. Shell Pilipinas requires employees to declare perceived, potential, or actual conflicts of interest in the online Code of Conduct Register, subject to proper mitigations when necessary.

Data Privacy. Respecting privacy and protecting data is an important part of good business practice. The Company adheres to a data privacy manual following the General Data Protection Regulation of the European Union, and Philippines' Data Privacy Act of 2012 and its implementing rules and regulations. Its privacy compliance framework is governed by the Binding Corporate Rules approved by privacy regulatory authorities.

Whistleblowing Policy. Employees are duty-bound to report a potential Code of Conduct incident via the Global Helpline, their line manager or any Company leader, the Country Ethics & Compliance Manager, legal counsels, or Human Resources. Anyone can access **Shell Global Helpline** to report ethical or compliance incidents, even anonymously, by calling the US Call Collect No. +1 800-1-322-0377 or accessing the website directly for more information.

Shell Pilipinas will not tolerate any form of retaliation directed at anyone who raises a concern in good faith about a possible violation or participates in any investigation. Any act or threat of retaliation against such employees will be treated as a serious violation of the Code of Conduct.

Corporate Disclosure Policy. The Company complies with the reporting requirements under the Securities Regulations Code and its implementing rules and regulations, Philippine Stock Exchange Listing and Disclosure Rules, and its own Revised Corporate Disclosure Guide.

The Board of Directors ensures full disclosure of material information about the Company, with an increasing focus on non-financial and sustainability reporting. Additionally, the Company publishes an Integrated Annual Corporate Governance Report.

Insider Dealing. Compliance with the Securities Dealing Code is compulsory for every employee. Those with access to inside information about the Company, another Philippine publicly listed Company, or a traded commodity or commodity derivative, must not engage in any dealings until such time as this information is available to other market participants or publicly disclosed.

Appendix

100 GRI Content Index

105 Sustainability Accounting Standards Board (SASB)

108 Independent Auditors' Report

115 2024 Attestation of Internal Control

116 Report of the Board Audit and Risk Oversight Committee
to the Board of Directors



GRI Content Index


**CONTENT INDEX
ADVANCED SERVICE**
2025

GRI Content Index + Oil & Gas Sector Standard

For the Content Index – Advanced Service, GRI Services reviewed that the GRI content index has been presented in a way consistent with the requirements for reporting in accordance with the GRI Standards, and that the information in the index is clearly presented and accessible to the stakeholders.

Statement of use	Shell Pilipinas Corporation has reported in accordance with the GRI Standards for the period from 1 January 2024 to 31 December 2024.
GRI 1 used	GRI 1: Foundation 2021
Applicable GRI Sector Standard (s)	GRI 11: Oil and Gas Sector 2021

GRI Standard / Other Source	Disclosure	Location/ Direct Answer	Reason for Omission			GRI Sector Standard Ref. No.
			Requirement(s) Omitted	Reason	Explanation	
General Disclosures						
GRI 2: General Disclosures 2021	The organisation and its reporting practices					
	2-1	Organisational details	8-10, 12			
	2-2	Entities included in the organization’s sustainability reporting	6			
	2-3	Reporting period, frequency and contact point	6			
	2-4	Restatements of information	49			
	2-5	External assurance	This report has not been externally assured.			
	Activities and workers					
	2-6	Activities, value chain and other business relationships	14, 15			
	2-7	Employees	58-59			
	2-8	Workers who are not employees	58			
	Governance					
	2-9	Governance structure and composition	88			
	2-10	Nomination and selection of the highest governance body	85-86			
	2-11	Chair of the highest governance body	88			
	2-12	Role of the highest governance body in overseeing the management of impacts	85-86			
	2-13	Delegation of responsibility for managing impacts	85-86			
	2-14	Role of the highest governance body in sustainability reporting	93			
	2-15	Conflicts of interest	98			
	2-16	Communication of critical concerns	95			
	2-17	Collective knowledge of the highest governance body	94			
	2-18	Evaluation of the performance of the highest governance body	94			
	2-19	Remuneration policies	89			
	2-20	Process to determine remuneration	89			
	2-21	Annual total compensation ratio	89			
	Strategy, policies and practices					
	2-22	Statement on sustainable development strategy	3-5, 17, 18, 26-29, 33-35			
	2-23	Policy commitments	97			
	2-24	Embedding policy commitments	97			
	2-25	Processes to remediate negative impacts	67			
	2-26	Mechanisms for seeking advice and raising concerns	19-21			
	2-27	Compliance with laws and regulations	97			
	2-28	Membership associations	18			
	Stakeholder engagement					
	2-29	Approach to stakeholder engagement	19-21			
	2-30	Collective bargaining agreements	66			
Material Topics						
GRI 3: Material Topics 2021	3-1	Process to determine material topics	18			
	3-2	List of material topics	18			

GRI Standard / Other Source		Disclosure	Location/ Direct Answer	Reason for Omission			GRI Sector Standard Ref. No.
				Requirement(s) Omitted	Reason	Explanation	
Corporate Governance							
GRI 3: Material Topics 2021	3-3	Management of material topics	97				11.19.1, 11.20.1 and 11.22.1
GRI 206: Anti-competitive Behavior 2016	206-1	Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	97				11.19.2
GRI 205: Anti-corruption 2016	205-1	Operations assessed for risks related to corruption	98				11.20.2
	205-2	Communication and training about anti-corruption policies and procedures	97				11.20.3
	205-3	Confirmed incidents of corruption and actions taken	97				11.20.4
GRI 415: Public Policy 2016	415-1	Political contributions	There were no political contributions by the Company				11.22.2
Transparent, Accurate and Responsible Reporting							
GRI 3: Material Topics 2021	3-3	Management of material topics	19, 32				11.21.1
GRI 201: Economic Performance 2016	201-4	Financial assistance received from the government	No financial assistance received from the government				11.21.3
GRI 207: Tax 2019	207-1	Approach to tax	32				11.21.4
	207-2	Tax governance, control, and risk management	32				11.21.5
	207-3	Stakeholder engagement and management of concerns related to tax	19-21				11.21.6
	207-4	Country-by-country reporting	Shell Pilipinas only operates within the Philippine boundaries.				11.21.7
Supply Chain Management							
GRI 3: Material Topics 2021	3-3	Management of material topics	96				11.10.1
GRI 414: Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria	96				11.10.8
	414-2	Negative social impacts in the supply chain and actions taken	96				11.10.9
Economic Performance							
GRI 3: Material Topics 2021	3-3	Management of material topics	32, 48, 76				11.11.1, 11.2.1, 11.14.1 and 11.21.1
GRI 201: Economic Performance 2016	201-1	Direct economic value generated and distributed	30-31				11.14.2 and 11.21.2
	201-2	Financial implications and other risks and opportunities due to climate change	48				11.2.2
GRI 202: Market Presence 2016	202-2	Proportion of senior management hired from the local community	To ensure that there is a robust leadership pipeline, Pilipinas Shell hires the best Filipino talent, here and abroad, and promotes from the ranks."				11.11.2 and 11.14.3
GRI 203: Indirect Economic Impacts 2016	203-1	Infrastructure investments and services supported	31				11.14.4
	203-2	Significant indirect economic impacts	31				11.14.5
GRI 204: Procurement Practices 2016	204-1	Proportion of Spending on local suppliers		204-1-a to 204-1-c	Information unavailable	The Company has not yet disclosed its proportion of spending on local suppliers because this information is not centrally tracked. Currently, there is no standardized system in place to collect and consolidate data on procurement spending by supplier origin. Efforts are underway to enhance supplier data management, and the Company is evaluating processes to improve tracking mechanisms.	11.14.6

GRI Standard / Other Source		Disclosure	Location/ Direct Answer	Reason for Omission			GRI Sector Standard Ref. No.
				Requirement(s) Omitted	Reason	Explanation	
Employee Management							
GRI 3: Material Topics 2021	3-3	Management of material topics	58, 60, 62, 66				11.7.1, 11.10.1, 1.11.1, 11.12.1, and 11.13.1
GRI 402: Labor/ Management Relations 2016	402-1	Minimum notice periods regarding operational changes	There is no “standard” minimum number of weeks as engagement plans would depend on the change and the impact of the change on employees, but an engagement will be definitely be conducted prior to any change				11.7.2 and 11.10.5
GRI 401: Employment 2016	401-1	New employee hires and employee turnover	61				11.10.2
	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	62-63				11.10.3
	401-3	Parental leave	63				11.10.4 and 11.11.3
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee	68				11.10.6 and 11.11.4
	404-2	Programs for upgrading employee skills and transition assistance program	68				11.10.7 and 11.7.3
	404-3	Percentage of employees receiving regular performance and career development reviews	69				
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	59, 85				11.11.5
	405-2	Ratio of basic salary and remuneration of women to men	We do not differentiate in salary based on gender				11.11.6
GRI 406: Non- discrimination 2016	406-1	Incidents of discrimination and corrective actions taken	No incidents of discriminations were reported				11.11.7
GRI 409: Forced or Compulsory Labor 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor	No significant risk for incident of forced or compulsory labor				11.12.2
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	66				11.13.2
Local Community Development							
GRI 3: Material Topics 2021	3-3	Management of material topics	73				11.17.1 and 11.15.1
GRI 411: Rights of Indigenous Peoples 2016	411-1	Incidents of violations involving rights of indigenous peoples	No incidents of violations involving rights of indigenous peoples				11.17.2
GRI 413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments, and development programs	73				11.15.2
	413-2	Operations with significant actual and potential negative on local communities	73				11.15.3
Asset Integrity and Process Safety							
GRI 3: Material Topics 2021	3-3	Management of material topics	70				11.9.1 and 11.18.1
GRI 403: Occupational Health and Safety 2018	403-1	Occupational health and safety management system	70, 71				11.9.2
	403-2	Hazard identification, risk assessment, and incident investigation	70, 71				11.9.3
	403-3	Occupational health services	65, 71				11.9.4
	403-4	Worker participation, consultation, and communication on occupational health and safety	70				11.9.5
	403-5	Worker training on occupational health and safety	70				11.9.6
	403-6	Promotion of worker health	65, 71				11.9.7
	403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	70				11.9.8

GRI Standard / Other Source	Disclosure		Location/ Direct Answer	Reason for Omission			GRI Sector Standard Ref. No.
				Requirement(s) Omitted	Reason	Explanation	
	403-8	Workers covered by an occupational health and safety management system	100% of workers are covered by an occupational health and safety management system				11.9.9
	403-9	Work-related injuries	72				11.9.10
	403-10	Worker-related ill health	72				11.9.11
	GRI 410: Security Practices 2016	410-1 Security personnel trained in human rights policies or procedures	Security services are outsourced to third party and they are managing the training of security personnel deployed at Shell Pilipinas				11.18.2
Social Impact of operations on host communities, business partners, and local government							
GRI 3: Material Topics 2021	3-3	Management of material topics	73				
Social Investment							
GRI 3: Material Topics 2021	3-3	Management of material topics	73				
Energy Transition							
GRI 3: Material Topics 2021	3-3	Management of material topics	49				11.1.1, 11.2.1 and 11.3.1
GRI 302: Energy 2016	302-1	Energy consumption within the organisation	49				11.1.2
	302-2	Energy consumption outside of the organisation		302-2-a to 302-2-c	Not applicable	Shell Pilipinas does not measure its energy consumption outside the organization.	11.1.3
	302-3	Energy intensity	49				11.1.4
GRI 305: Emissions 2016	305-1	Direct (Scope 1) GHG emissions	49				11.1.5
	305-2	Energy indirect (Scope 2) GHG emissions	49				11.1.6
	305-3	Other indirect (Scope 3) GHG emissions		305-3-a to 305-3-g	Information unavailable	Shell Pilipinas has not yet disclosed Scope 3 emissions due to the absence of a centralized tracking system and challenges in obtaining reliable data from third-party suppliers and customers. The company is evaluating methodologies to estimate these emissions and enhance supplier engagement. A structured approach to Scope 3 accounting is expected in the next few years.	11.1.7
	305-4	GHG emissions intensity	49				11.1.8
	305-5	Reduction of GHG emissions	49				11.2.3
	305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions			Not applicable	Since 2022, Shell Pilipinas are no longer emitting nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions in Tabangao	11.3.2
Environmental Compliance & Impact including Biodiversity							
GRI 3: Material Topics 2021	3-3	Management of material topics	53, 54, 55				11.4.1, 11.5.1, 11.6.1 and 11.8.1
GRI 304: Biodiversity 2016	304-1	Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas			Not applicable	There are no operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	11.4.2
	304-2	Significant impacts of activities, products and services on biodiversity	54				11.4.3
	304-3	Habitats protected or restored			Not applicable	There are no habitats protected and restored	11.4.4
	304-4	IUCN Red List species and national conservation list species with habitats in areas affected by operations	No known IUCN Red List species and national conservation list species with habitats in areas affected by operations				11.4.5

GRI Standard / Other Source	Disclosure		Location/ Direct Answer	Reason for Omission			GRI Sector Standard Ref. No.
				Requirement(s) Omitted	Reason	Explanation	
GRI 306: Waste 2020	306-1	Waste generation and significant waste-related impacts	55				11.5.2
	306-2	Management of significant waste-related impacts	55				11.5.3
	306-3	Waste generated	55				11.5.4
	306-4	Waste diverted from disposal	55				11.5.5
	306-5	Waste directed to disposal	55				11.5.6
GRI 303: Water and Effluents 2018	303-1	Interactions with water as a shared resource	53				11.6.2
	303-2	Management of water discharge related impacts	53				11.6.3
	303-3	Water withdrawal	53				11.6.4
	303-4	Water discharge			Information unavailable	Shell Pilipinas has not yet disclosed water discharge data due to limitations in data availability across its operations. Current monitoring systems do not comprehensively capture discharge volumes and quality. The Company is evaluating methodologies to enhance data collection and reporting, ensuring alignment with regulatory and industry standards. Improvements in water discharge tracking are expected within the next few years.	11.6.5
	303-5	Water consumption	53				11.6.6
GRI 306: Effluents and Waste 2016	306-3	Significant Spills	54-55				11.8.2
Promotion of Sustainable Development							
GRI 3: Material Topics 2021	3-3	Management of material topics	18				
Customer Service							
GRI 3: Material Topics 2021	3-3	Management of material topics	40				11.3.1
GRI 416: Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories	All our products and services have been assessed of the health and safety impacts to our customers and operations that is in compliance to government regulations. All of our chemical and hydrocarbon products are assessed through the utilization of the Safety Data Sheet that is reviewed and maintained on a regular basis.				11.3.3
Brand Management and Product & Services Offerings							
GRI 3: Material Topics 2021	3-3	Management of material topics	39				
Development and Innovation and Evolving Customer Demands							
GRI 3: Material Topics 2021	3-3	Management of material topics	37				
Digital Transformation							
GRI 3: Material Topics 2021	3-3	Management of material topics	45				

Topics in the applicable GRI Sector Standards determined as not material	
Topic	Explanation
11.16 Land and resource rights	Our facilities have long been existing on the current locations. There has been no impact on the land and resource rights during the reporting period

Sustainability Accounting Standards Board (SASB)

Pilipinas Shell has also prepared this report following the industry-specific ESG guidance framework of SASB Standards Extractives & Minerals Processing Sector - Oil & Gas – Exploration & Production, Extractives & Minerals Processing Sector - Oil & Gas – Refining & Marketing. This content index provides an overview of Pilipinas Shell's Environmental, Social, and Governance data that align with these standards. Other SASB codes are omitted due to lack of applicability, confidentiality, or unavailability of data.

Extractives & Minerals Processing Sector - Oil & Gas – Exploration & Production					
Topic	Accounting Metric	Category	Unit of Measure	Code	Location/ Direct Answer
Greenhouse Gas Emissions	Gross global Scope 1 emissions, percentage methane, percentage covered under emissions-limiting regulations	Quantitative	Metric tons CO ₂ -e (t), 2 Percentage (%)	EM-EP-110a.1	49
	Amount of gross global Scope 1 emissions from: (1) flared hydrocarbons, (2) other combustion, (3) process emissions, (4) other vented emissions, and (5) fugitive emissions	Quantitative	Metric tons CO ₂ -e 2	EM-EP-110a.2	49
	Discussion of long-term and short-term strategy or plan to manage Scope 1 emissions, emissions reduction targets, and an analysis of performance against those targets	Discussion and Analysis	N/A	EM-EP-110a.3	49
Air Quality	Air emissions of the following pollutants: (1) NO _x (excluding N ₂ O), (2) SO _x , (3) volatile organic compounds (VOCs), and (4) particulate matter (PM ₁₀)	Quantitative	Metric tons (t)	EM-EP-120a.1	Since 2022, Shell Pilipinas Corporation are no longer emitting NO _x , SO _x , particulate matter (PM ₁₀), H ₂ S, and volatile organic compounds (VOCs) in Tabangao
Water Management	(1) Total fresh water withdrawn, (2) total fresh water consumed, percentage of each in regions with High or Extremely High Baseline Water Stress	Quantitative	Thousand cubic meters (m ³), Percentage (%)	EM-EP-140a.1	53
	Volume of produced water and flowback generated; percentage (1) discharged, (2) injected, (3) recycled; hydrocarbon content in discharged water	Quantitative	Thousand cubic meters (m ³), Percentage (%), Metric tons (t)	EM-EP-140a.2	Information unavailable.
	Percentage of hydraulically fractured wells for which there is public disclosure of all fracturing fluid chemicals used	Quantitative	Percentage (%)	EM-EP-140a.3	0%
	Percentage of hydraulic fracturing sites where ground or surface water quality deteriorated compared to a baseline	Quantitative	Percentage (%)	EM-EP-140a.4	0%
Security, Human Rights & Rights of Indigenous Peoples	Discussion of engagement processes and due diligence practices with respect to human rights, indigenous rights, and operation in areas of conflict	Discussion and Analysis	N/A	EM-EP-210a.0	19-21, 101
Community Relations	Discussion of process to manage risks and opportunities associated with community rights and interests	Discussion and Analysis	N/A	EM-EP-210b.1	76
Workforce Health & Safety	(1) Total recordable incident rate (TRIR), (2) fatality rate, (3) near miss frequency rate (NMFR), and (4) average hours of health, safety, and emergency response training for (a) full-time employees, (b) contract employees, and (c) short-service employees	Quantitative	Rate, Hours (h)	EM-EP-320a.1	72
	Discussion of management systems used to integrate a culture of safety throughout the exploration and production lifecycle	Quantitative	N/A	EM-EP-320a.2	70
Business Ethics & Transparency	Description of the management system for prevention of corruption and bribery throughout the value chain	Discussion and Analysis	N/A	EM-EP-510a.2	97
Management of the Legal & Regulatory Environment	Discussion of corporate positions related to government regulations and/or policy proposals that address environmental and social factors affecting the industry	Discussion and Analysis	N/A	EM-EP-530a.1	48, 97-98
Activity Metric		Category	Unit of Measure	Code	Location/ Direct Answer
Production of: (1) oil, (2) natural gas, (3) synthetic oil, and (4) synthetic gas		Quantitative	Thousand barrels per day (Mbbbl/day); Million standard cubic feet per day (MMscf/day)	EM-EP-000.A	0
Number of offshore sites		Quantitative	Number	EM-EP-000.B	0
Number of terrestrial sites		Quantitative	Number	EM-EP-000.C	0

Extractives & Minerals Processing Sector - Oil & Gas – Refining & Marketing

Topic	Accounting Metric	Category	Unit of Measure	Code	Location/ Direct Answer
Greenhouse Gas Emissions	Gross global Scope 1 emissions, percentage covered under emissions-limiting regulations	Quantitative	Metric tons (t) CO ₂ e, Percentage (%)	EM-RM-110a.1	49
	Discussion of long-term and short-term strategy or plan to manage Scope 1 emissions, emissions reduction targets, and an analysis of performance against those targets	Discussion and Analysis	N/A	EM-RM-110a.2	49
Air Quality	Air emissions of the following pollutants: (1) NO _x (excluding N ₂ O), (2) SO _x , (3) particulate matter (PM ₁₀), (4) H ₂ S, and (5) volatile organic compounds (VOCs)			EM-RM-120a.1	Since 2022, Shell Pilipinas Corporation are no longer emitting NO _x , SO _x , particulate matter (PM ₁₀), H ₂ S, and volatile organic compounds (VOCs) in Tabangao
	Number of refineries in or near areas of dense population			EM-RM-120a.2	0
Water Management	(1) Total fresh water withdrawn, (2) percentage recycled, (3) percentage in regions with High or Extremely High Baseline Water Stress	Quantitative	Thousand cubic meters (m ³), Percentage (%)	EM-RM-140a.1	53
	Number of incidents of non-compliance associated with water quality permits, standards, and regulations	Quantitative	Number	EM-RM-140a.2	0
Hazardous Materials Management	Amount of hazardous waste generated, percentage recycled	Quantitative	Metric tons (t), Percentage (%)	EM-RM-150a.1	55
	(1) Number of underground storage tanks (USTs), (2) number of UST releases requiring cleanup, and (3) percentage in states with UST financial assurance funds	Quantitative	EM-RM-150a.1	EM-RM-150a.2	There are no underground storage tank systems (USTs) for petroleum and hazardous substances.

Extractives & Minerals Processing Sector - Oil & Gas – Refining & Marketing

Topic	Accounting Metric	Category	Unit of Measure	Code	Location/ Direct Answer
Product Specifications & Clean Fuel Blends	Percentage of Renewable Volume Obligation (RVO) met through: (1) production of renewable fuels, (2) purchase of “separated” renewable identification numbers (RIN)	Quantitative	Percentage (%)	EM-RM-410a.1	The Biofuels Act of 2006 was implemented with the aim of reducing dependence on imported fuels. It also aimed to develop and utilise indigenous renewable and sustainable clean energy sources to reduce dependence on imported oil; to mitigate toxic and greenhouse gas (GHG) emissions; to increase rural employment and income; and to ensure the availability of alternative and renewable clean energy without any detriment to the natural ecosystem, biodiversity and food reserves of the country. Shell Pilipinas currently blends diesel with 2% coconut methyl ester (CME) and gasoline with 10% ethanol as mandated in the current Philippine National Standards.
	Total addressable market and share of market for advanced biofuels and associated infrastructure	Quantitative	Reporting currency, Percentage (%)	EM-RM-410a.2	There are currently no advanced biofuels available.
Pricing Integrity & Transparency	Total amount of monetary losses as a result of legal proceedings associated with price fixing or price manipulation	Quantitative	Reporting currency	EM-RM-520a.1	Php0 Bn
Management of the Legal & Regulatory Environment	Discussion of corporate positions related to government regulations and/or policy proposals that address environmental and social factors affecting the industry	Discussion and Analysis	N/A	EM-RM-530a.1	48, 97-98
Critical Incident Risk Management	Process Safety Event (PSE) rates for Loss of Primary Containment (LOPC) of greater consequence (Tier 1) and lesser consequence (Tier 2)	Quantitative	Rate	EM-RM-540a.1	0%
	Challenges to Safety Systems indicator rate (Tier 3)	Quantitative	Rate	EM-RM-540a.2	0%

Independent Auditors' Report



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Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Shell Pilipinas Corporation (the Company), which comprise the statements of financial position as at December 31, 2024 and 2023, and the statements of comprehensive income, statements of changes in equity and statements of cash flows for each of the three years in the period ended December 31, 2024, and notes to the financial statements, including material accounting policy information.

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2024 and 2023, and its financial performance and its cash flows for each of the three years in the period ended December 31, 2024 in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.





We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Assessment of provisions and contingencies for tax cases and recoverability of claims from the government

The Company is involved in legal proceedings and assessments for excise tax arising from importations of Catalytic Cracked Gasoline (CCG), Light Catalytic Cracked Gasoline (LCCG) and Alkylate. This matter is significant to our audit because the determination of whether any provision should be recognized and the estimation of the potential liability resulting from these tax assessments require significant judgment by management. The inherent uncertainty over the outcome of these tax matters is brought about by the differences in the interpretation and implementation of the relevant laws and tax rulings.

In addition, the Company has claims from the government relating to excise duties paid under protest for Alkylate shipments amounting to ₱4.55 billion as at December 31, 2024. We considered this as a key audit matter because of the materiality of the amount involved, and the significant management judgment required in assessing whether there is any indication of impairment.

The Company's disclosures on these matters are included in Notes 9 and 27 to the financial statements.

Audit response

We discussed with management the status of the tax assessments and claims from the government, and opinions of the Company's external legal counsels. We involved our internal specialist in the evaluation of management's assessments on whether any provision for tax contingencies should be recognized and the estimation of such amounts. We obtained management's assessment on whether there is any indication that the claims from the government may be impaired. We evaluated the tax position of the Company by considering the relevant tax laws, rulings, and jurisprudence.

Other Information

Other information consists of the information included in the SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2024, but does not include the financial statements and our auditor's report thereon. The SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2024 are expected to be made available to us after the date of this auditor's report. Management is responsible for these other information.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.





In connection with our audits of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with PFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.





- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on the Supplementary Information Required Under Revenue Regulations 15-2010

Our audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The supplementary information required under Revenue Regulations 15-2010 in Note 30 to the financial statements is presented for purposes of filing with the Bureau of Internal Revenue and is not a required part of the basic financial statements. Such information is the responsibility of the management of Shell Pilipinas Corporation. The information has been subjected to the auditing procedures applied in our audit of the basic financial statements. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.





The engagement partner on the audit resulting in this independent auditor's report is Editha V. Estacio.

SYCIP GORRES VELAYO & CO.


Editha V. Estacio
Partner

March 25, 2025





SyCip Gorres Velayo & Co.
6760 Ayala Avenue
1226 Makati City
Philippines

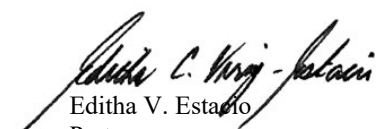
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INDEPENDENT AUDITOR'S REPORT ON SUPPLEMENTARY SCHEDULES

The Stockholders and the Board of Directors
Shell Pilipinas Corporation
41st floor, The Finance Centre, 26th Street corner 9th Avenue
Bonifacio Global City, Brgy. Fort Bonifacio, Taguig City, Metro Manila

We have audited in accordance with Philippine Standards on Auditing, the financial statements of Shell Pilipinas Corporation (the Company), as at December 31, 2024 and 2023, and for each of the three years in the period ended December 31, 2024, and have issued our report thereon dated March 25, 2025. Our audits were made for the purpose of forming an opinion on the basic financial statements taken as a whole. The schedules listed in the Index to the Supplementary Schedules are the responsibility of the Company's management. These schedules are presented for purposes of complying with the Revised Securities Regulation Code Rule 68, and are not part of the basic financial statements. These schedules have been subjected to the auditing procedures applied in the audit of the basic financial statements and, in our opinion, fairly state, in all material respects, the financial information required to be set forth therein in relation to the basic financial statements taken as a whole.

SYCIP GORRES VELAYO & CO.


Editha V. Estacio
Partner

March 25, 2025





SyCip Gorres Velayo & Co.
6760 Ayala Avenue
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Philippines

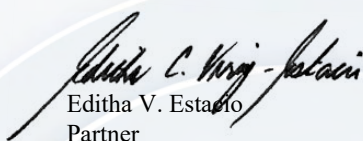
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INDEPENDENT AUDITOR'S REPORT ON COMPONENTS OF FINANCIAL SOUNDNESS INDICATORS

The Stockholders and the Board of Directors
Shell Pilipinas Corporation
41st floor, The Finance Centre, 26th Street corner 9th Avenue
Bonifacio Global City, Brgy. Fort Bonifacio, Taguig City, Metro Manila

We have audited in accordance with Philippine Standards on Auditing, the financial statements of Shell Pilipinas Corporation (the Company) as at December 31, 2024 and 2023 and for each of the three years in the period ended December 31, 2024, and have issued our report thereon dated March 25, 2025. Our audits were made for the purpose of forming an opinion on the basic financial statements taken as a whole. The Supplementary Schedule on Financial Soundness Indicators, including their definitions, formulas, calculation, and their appropriateness or usefulness to the intended users, are the responsibility of the Company's management. These financial soundness indicators are not measures of operating performance defined by Philippine Financial Reporting Standards (PFRS) Accounting Standards and may not be comparable to similarly titled measures presented by other companies. This schedule is presented for the purpose of complying with the Revised Securities Regulation Code Rule 68 issued by the Securities and Exchange Commission, and is not a required part of the basic financial statements prepared in accordance with PFRS Accounting Standards. The components of these financial soundness indicators have been traced to the Company's financial statements as at December 31, 2024 and 2023 and for each of the three years in the period ended December 31, 2024 and no material exceptions were noted.

SYCIP GORRES VELAYO & CO.


Editha V. Estacio
Partner

March 25, 2025



A member firm of Ernst & Young Global Limited

2024 Attestation of Internal Control

March 18, 2025

The Board Audit and Risk Oversight Committee ("Committee")
Shell Pilipinas Corporation

The Corporate Assurance and Audit Department (CAAD) had reviewed the adequacy and effectiveness of the overall internal control system of Shell Pilipinas Corporation (SPC or Company) for the year ended December 31, 2024. The review covered all material controls, including financial, operational, and compliance controls.

The review approach was based on the results of the SPC Management Business Assurance Letter (BAL) process and the various assurance activities undertaken within the Company for the year ended December 31, 2024. Management's response to controls self-assessment, in line with the BAL process, was either a "qualification", "commentary", or "no issue". Responses to the Business Assurance Letter were validated by CAAD in conjunction with the results of the various assurance activities, which were risk-based and were not intended to cover all areas of SPC nor all possible risks. The risk-based assurance plan was approved by, and the results were reported to the Committee. CAAD activities conform with the International Standards for the Professional Practice of Internal Auditing and are continuously evaluated through internal and external assessments.

Based on the results of controls self-assessments, risk-based assurance reviews, and the reliance on the work of Sycip, Gorres, Velayo & Co. (SGV & Co.), the Company's external auditor, on their audit of the Company's December 31, 2024 financial statements, we conclude that, to the best of our knowledge and confidence, SPC's system of internal control is generally adequate and effective.

Sincerely yours,



Lorelie Q. Osial
President and Chief Executive Officer



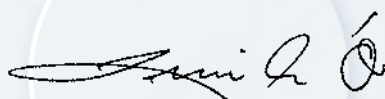
Erwin R. Riñon
Corporate Assurance Manager

Report of the Board Audit and Risk Oversight Committee to the Board of Directors

The Board of Directors
Shell Pilipinas Corporation

In compliance with the Board Audit and Risk Oversight Committee (BARC) Charter and Corporate Governance Manual, the Committee confirms the following:

- An independent director chairs the BARC; three of the five members are independent directors; all the members are not executives of Shell Pilipinas;
- The Committee held four meetings in 2024. Two meetings had complete attendance, and two meetings were attended by four out of five members;
- The Committee reviewed the quarterly risk visual and the corresponding risk mitigations;
- The Committee discussed and confirmed the independence of the external auditor and internal auditor;
- The Committee reviewed and approved the internal audit plan to ensure its conformity with the objectives of the company, including the audit scope, resources, and budget necessary to implement it;
- The Committee reviewed the reports of the Internal Auditors and understood management's commitment in implementing appropriate corrective actions promptly, including addressing governance, risk management, internal controls system, and compliance issues;
- The Committee, in consideration of management's recommendation, recommended to the Board of Directors the re-appointment of SGV & Co. as independent external auditor for 2025, based on the review of their performance and qualifications;
- The Committee reviewed and approved all audit and audit-related services provided by SGV & Co. to the Company and the related fees for such services;
- The Committee discussed and approved the overall scope and the audit plans of SGV & Co. and reviewed the results of the audits and their assessment of the overall quality of the financial reporting process;
- The Committee reviewed the quarterly and the annual financial statements of the Company, including Management's Discussion and Analysis of Financial Condition and Results of Operations as of and for the year ended December 31, 2024;
- The Committee discussed the financial results with Company's management, which has the primary responsibility for the financial statements and with SGV & Co., who expresses an opinion on the conformity of the audited financial statements with Philippine Financial Reporting Standards; and
- Based on the BARC's review and in reliance on the reports of Internal Auditors and Independent Auditors including management's representations, the Committee confirmed that there is reasonable assurance that the governance, risk management, and internal controls system including financial reporting controls of the Company are adequate and effective



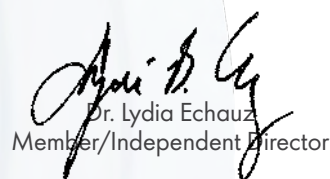
Mr. Luis C. la O
Member/Non-Executive Director



Mr. Edgar Chua
Member/Independent Director



Mr. Amando T. Tangco Jr.
Chairman/Independent Director



Dr. Lydia Echauz
Member/Independent Director



Mr. Stuart Chaplin
Member/Non-Executive Director

Team Behind the Report

Corporate Disclosure Committee

Reynaldo Abilo

Chief Financial Officer

Erwin Orocio

Corporate Legal Counsel

Serge Bernal

Head of Corporate Relations

Lorelie Osial

Chief Executive Officer

Investor Relations Team

Cristine Volfango

Investor Relations Advisor

Business and Function Focals

- Brand Management
- Corporate Audit and Assurance
- Corporate Relations
- Category Management
- Country Chair Office
- Distribution Operations
- Ethics & Compliance
- Finance
- Human Resource Health
- HSSE
- Legal
- Marketing
- Pilipinas Shell Foundation, Inc.
- Real Estate
- Sustainability

Writing, Layout, and Creatives

GCSS, Inc. and Perez Numedia, Inc.



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